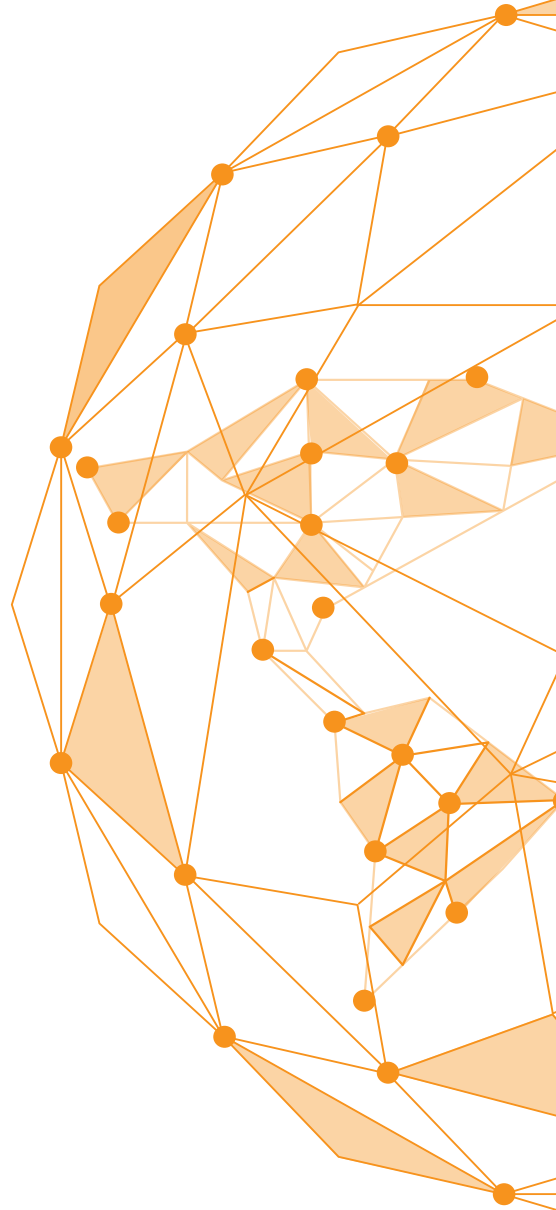


Government Publications Registration Number

11-1140100-000100-10

ACRC KOREA Annual Report

20 19



Anti-Corruption &
Civil Rights Commission

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Greetings from the Chairperson



Since its establishment in 2008, the Anti-Corruption and Civil Rights Commission (ACRC) has been committed to creating a society free of corruption and foul play and to realizing a credible government by addressing illegal and unreasonable administrative actions causing inconveniences to the public.

In 2019, the ACRC kept up its efforts to prevent corruption and protect people's rights and interests in their daily lives, so that we can create an inclusive society with integrity.

First of all, the ACRC continued to implement reforms to fight corruption at a national level in a comprehensive and systematic manner through the Anti-Corruption Policy Consultative Council.

The Commission also conducted an inspection on the hiring practices of public institutions and redressed nearly 3,000 cases of unfair hiring, as part of the efforts to eliminate rule-breaking and privileges that still remain in many aspects of our society. The Act on Prohibition of False Claims for Public Funds and Recovery of Illicit Profits was also enacted, which is expected to serve as a ground-breaking opportunity to combat fraudulent claims of public subsidies.

With the public paying ever more attention to corruption and public interest reporting, the ACRC worked to protect and support courageous whistleblowers through an improved system of laws by strengthening proxy reporting by lawyers, which does not disclose the reporter's real name.

Not least because of the Commission's efforts, Korea's ranking on the Corruption Perception Index (CPI) published by Transparency International (TI) in 2019 improved by 6 notches from the previous year (57 points / 45th in 2018 → 59 points / 39th in 2019) to reach a record high. The country also ranked 20th (8.33 points on a 10-point scale) on the Index of Public Integrity (IPI) in 2019 published by the European Research Center for Anti-Corruption and State-Building (ERCAS), which was the second highest in Asia. All these indices suggest a significant improvement in the perceptions and reputation of Korea's efforts towards anti-corruption and integrity.

The ACRC also worked to protect the rights and interests of citizens with a focus on actual people and the arena of actual life. Our Commission listened to what various people had to say and addressed nearly 30,000 cases of civil complaints through the Outreach Program for Complaint-Handling and on-site meetings on corporate grievances. In addition, we provided 116 cases of legal assistance for economically disadvantaged people by appointing public representatives for administrative appeals. It also accepted nearly 1,500 administrative appeal cases, to actively address the people's rights and interests caused by illegal and illegitimate administrative actions.



The ACRC continued to demonstrate its commitment to communicating with the public and coming up with policies that reflect people's needs. Our Commission established the Government Complaints Counseling Center, a one-stop office where complaints involving multiple agencies can be addressed in a comprehensive and flexible manner in a single location. The ACRC also conducted in-depth analyses of the complaints received through e-People and disclosed the results on the Civil Complaint Big Data at a Glance, based on which the Commission pushed for improvements in laws and systems by identifying nearly 90 cases of rule-breaking, injustices and safety threats that occur in daily lives.

This year, which marks the fourth year of the inauguration of the current administration, the ACRC is determined to achieve anti-corruption reforms whose effects can be felt by the general public and contribute to creating a more inclusive society by continuing to protect people's rights and interests, in a more transparent and down-to-earth manner.

At the ACRC, we will maintain our efforts to further raise the bar for the integrity of public officials to live up to the heightened expectations of our people by enacting conflict of interest statutes. We are also committed to expanding the scope of protection for public interest reporters and eliminate factors for injustices and unfair privileges people encounter in their daily lives to establish integrity in our society in general.

The ACRC is willing, and mandated, to play a leading role in handling complaints and administrative appeals to promptly address the violations of people's rights and interests caused by illegal and unfair administrative actions. Our Commission will expand communication with people on the ground, including the Outreach Program for Complaint-Handling, to take the lead in providing administrative services that can empower our people.

The ACRC 2019 Annual Report is a faithful record of the efforts made by our Commission over the years. We hope that this Annual Report will be helpful for everyone interested in our activities and be able to serve as a source for policy development and research.

June 2020



Pak Un Jong

Chairperson

Anti-Corruption and Civil Rights Commission





Part 01

Assessment and
Future Direction of the ACRC



Chapter 1.

Achievements for the Past Year and the Way Forward

The Anti-Corruption and Civil Rights Commission (ACRC) of Korea was established on February 29, 2008 by integrating three institutions, namely Ombudsman of Korea, Korea Independent Commission Against Corruption and the Administrative Appeals Commission under the Prime Minister, to effectively prevent corrupt practices and swiftly resolve infringements on people's rights and interests caused by unreasonable administrative actions.

Since its launch, the ACRC has been operating a comprehensive system to further protect people's rights and interests. It has taken the initiative in preventing corruption and protecting people's rights and interests through civil complaint-handling and administrative appeals. The ACRC has also made multi-directional efforts to facilitate people's participation in public administration effectively by running a communication platform to that end.

Enhancement of National Integrity by Continuously Leading Anti-corruption Reforms

The ACRC focused on helping anti-corruption reforms take root in civil service as well as in everyday lives of people, so that our society can become more transparent and fairer. The Commission continued to push forward with a comprehensive and systematic anti-corruption reforms at a national level through the Anti-Corruption Policy Consultative Council. In 2019, two council meetings were held (the 4th and 5th council meetings) to discuss government-wide anti-corruption measures and tasks to tackle cheating and unfair privileges, and developed improvement measures.

The ACRC took bold action to raise anti-corruption and integrity issues — issues that are unlikely to be raised by the government — through the Public-Private Consultative Council for Transparent Society, and proposed solutions to tackle corruption in our society to live up to the expectations of the public. For the past year, a total of five anti-corruption policy proposals were made by the Council, such as promoting the Transparent Society Pact and strengthening the transparency of information on local council members holding more than one office.

The ACRC held quarterly meetings of the Consultation Council for Eradication of Everyday Corruption to discuss tasks to address nine major types of everyday corruption, including kindergarten and school corruption, improper hiring practices, and false insurance claims made by illegal medical institutions. The ACRC monitored the progress and implementation status of the relevant tasks on the part of the competent government agencies to facilitate speedy improvements. In addition, the Act on Prohibition of False Claims for Public Funds and Recovery of Illicit Profits (hereinafter referred to as the Public Funds Recovery Act) was enacted, with an aim to eradicate a perception where public funds are equated with free, easy money and to fundamentally root out fraudulent claims of government subsidies.

As a result of such efforts, Korea scored 59 on a 100-point scale on the Corruption Perception Index (CPI) in 2019, published on January 23 this year, ranking 39th out of 180 countries surveyed, which was the highest score ever for Korea since 1995, when the survey was first started. The country ranked 20th out of 117 countries on the Index of Public Integrity (IPI) of 2019 published by the European Research Centre for Anti-Corruption and State-building (ERCAS). In the 2019 Corruption Risk Matrix assessment, Korea ranked 23rd among the 200 countries surveyed, demonstrating that the country's reputation for corruption prevention and transparency is consistently improving in the international community.

Establishment of an Environment Where Whistleblowers Feel Safe by Strengthening their Protection

The ACRC has been committed to reinforcing the system to protect corruption reporters. The amendment of the Act on the Prevention of Corruption and the Establishment and Management of the Anti-Corruption and Civil Rights Commission (hereinafter referred to as the ACRC Act) on October 17, 2019, contributed to greatly strengthening the level of protection provided for corruption reporters. The system of charge for compelling compliance, recommendation of reconciliation, and relief fund were newly introduced, and legal grounds were established to punish those who force withdrawal of reporting or interrupt the reporting process, which offer corruption reporters a protection comparable to what is provided by the Protection of Public Interest Reporters Act.

In addition, to make better use of the system of proxy reporting by lawyer, which does not require disclosure of the reporter's real name, the ACRC has been running an advisory group consisting of lawyers since July 2019. The cost for consultation and proxy reporting was provided from the government budget to alleviate the burden imposed on whistleblowers and create an environment where people feel safe about filing public interest and/or corruption reports. Furthermore, a celebratory event for the 1st Public Interest whistleblower Day was held on December 9, 2019 to raise the pride of whistleblowers and spread positive perceptions about whistleblowing.

As a result of such efforts, in 2019, the ACRC handled 236 cases for protection, which was the highest ever. The average period taken to make compensation for reporters was shortened from 211 days in 2017 to 160 days in 2018, and then to 79 days in 2019. In the case of public interest reporting, it was shortened greatly, from 416 days in 2017 to 127 days in 2018, and then to 80 days in 2019.

Pushing Forward with Wider Range of Relief of People's Rights and Interests, with People at the Center

In 2019, the ACRC actively addressed civil complaints, which represent the voice of people. The Commission issued 633 recommendations for correction and expression of opinion, which was a 41.3% increase from 2018. It also led 1,819 cases of mediation and agreement

to prevent social conflict and distrust in public administration. It accepted a total of 1,567 cases of administrative appeals regarding illegal and unfair administrative actions.

The ACRC also identified and addressed collective complaints that were pending for a long period of time due to the failure of local governments for successful resolution, thereby protecting the rights and interests of nearly 45,000 people. The Commission also reached out to people through the Outreach Program for Complaint-Handling and on-site meetings on corporate grievances to directly listen to what people have to say and worked to fundamentally address the grievances by making necessary improvements.

On October 1, 2019, the ACRC launched the Government Complaints Counseling Center, a one-stop place where complaints involving multiple agencies can be addressed in a single location.

Realization of Policy Formulation with the Public Based on Open Communication

The ACRC implemented a project to newly establish the next-generation version of the e-People system designed to encourage the participation of and communication with people since 2005, so that it can function as a more convenient and efficient platform. The Commission worked to actively reflect people's ideas about policy that are suggested through People's Idea Box to allow the public to play a central role in policy improvements.

The ACRC established a website for the Civil Complaint Big Data at a Glance, which provides various formats of visualized materials about complaints collected from the analysis system, expanding disclosure of public data. The big data system helped the Commission provide support for public institutions in promptly improving policies based on the analysis and forecast of complaints about major policies.

The ACRC worked to improve systems in a way that reflects public opinion to make the effects actually felt by the people. In 2019, the Commission recommended improvements for 13 cases of loopholes in laws and systems for the following issues, which it selected as



the four major areas for corruption prevention: cheating and unfair privileges in daily life; waste of public budget; collusive private-public ties; and a lack of supervision. It also developed and recommended improvement measures for 31 cases related to employment, living and safety, housing and welfare, and public health and medical care, which are the four major areas for public welfare and safety. The Commission went on to implement 56 cases of institutional improvements to promptly address inconveniences that people face in their everyday lives.

The Way Forward

This year, the ACRC is determined to achieve anti-corruption reforms whose effects can be felt by the general public and contribute to creating a more inclusive society by continuing to protect people's rights and interests, in a more transparent and down-to-earth manner.

First, to complete the reforms for corruption prevention and fairness, the ACRC will devote itself to implementing reforms to prevent corruption and create a fairer society along with the people; consistently strengthening the integrity standards for public officials to live up to the public expectations; and establishing integrity as part of the culture of our society.

Second, to improve injustices in people's everyday lives, the ACRC will continue to address unfair privileges and preferential treatments which block equal access to opportunities; promote reporting against corrupt practices and public interest infringements; thoroughly expand the network of protection for public interest reporters; and establish criteria for a fair use of public funds based on stable enforcement of the Public Funds Recovery Act.

Third, to further protect people's rights and interests, the ACRC will actively address civil complaints caused by unlawful, unfair and passive public administration; further protect people's rights and interests with no loophole through active communication with those in the field and complaint consultations; and continue to promote institutional improvements and cooperation with other entities to fundamentally address complaints and grievances.

Fourth, to formulate policies that reflect people's voices, the ACRC will provide its utmost support to help enhance trust in the government by expanding people's participation throughout the policy process from formulation to follow-up management and providing scientific analyses on civil complaints and policy feedback.





Chapter 2.

Organization and Operation of the ACRC

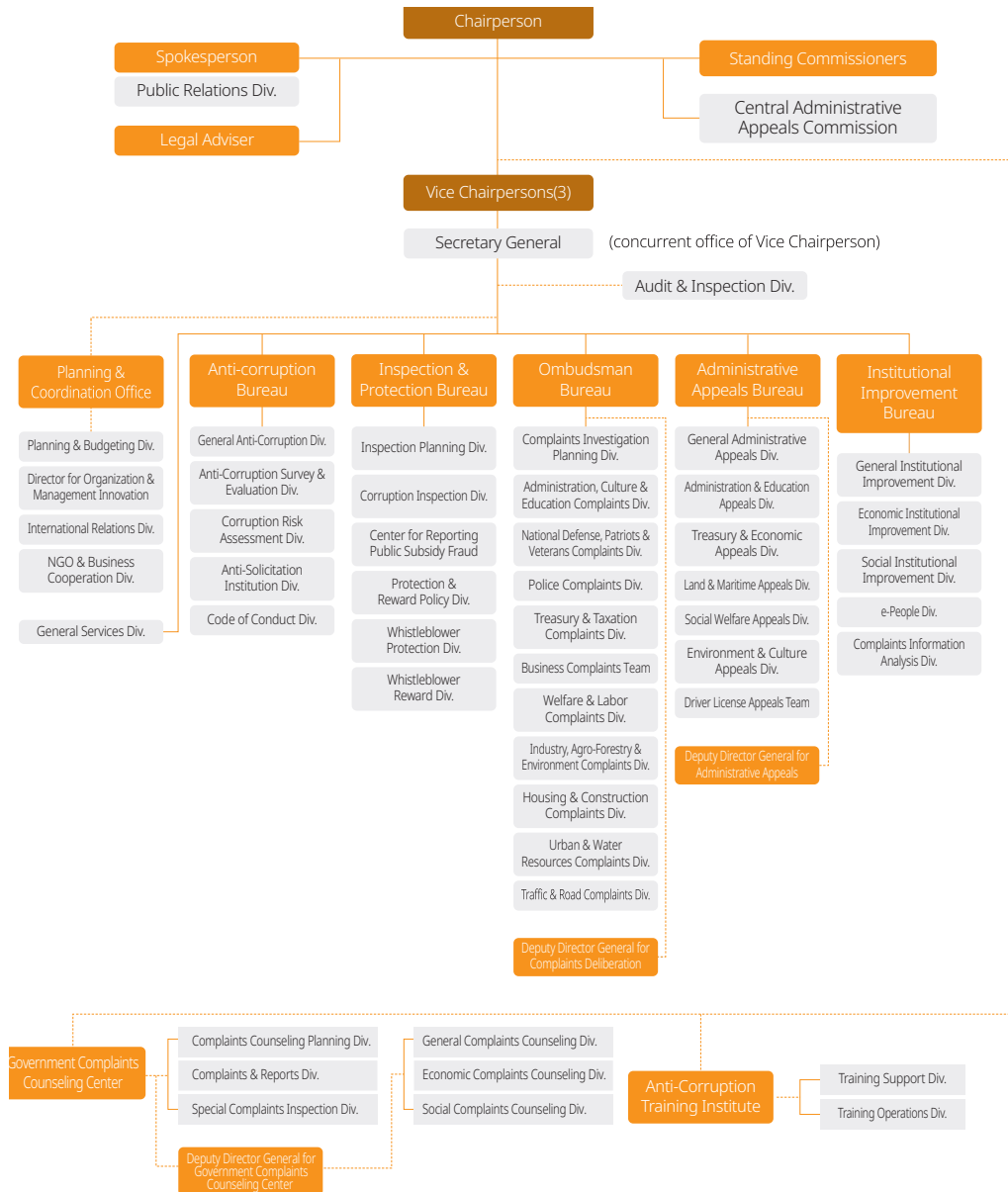
1. Organization

The ACRC consists of 15 members, including a Chairperson, three Vice Chairpersons, and three standing commissioners. The Chairperson, Vice Chairpersons, and other commissioners are appointed or commissioned based on their ability to fairly and independently perform duties with respect to civil complaints and anti-corruption. Three Vice Chairpersons assist the Chairperson by taking charge of works on complaints and grievances, anti-corruption, and the Central Administrative Appeals Commission (CAAC).

A secretariat has been established under the ACRC. The position of Secretary General is concurrently held by the Vice Chairperson designated by the Chairperson. The Secretary General receives orders from the Chairperson in order to take charge of work and direct and supervise employees.

The secretariat oversees a number of departments including the General Affairs Division, the Anti-Corruption Bureau, the Inspection & Protection Bureau (newly established on July 2, 2018), the Ombudsman Bureau, the Administrative Appeals Bureau and the Institutional Improvement Bureau. A spokesperson and a legal advisor are available to assist the Chairperson while the Planning & Coordination Office and the Director for Audit and Inspection assist the Secretary General. The ACRC's headquarters consists of one Office, five Bureaus, two Deputy Director Generals' Offices, one spokesperson's office, and 39 divisions; in total, 468 employees work for the ACRC. There are also two affiliated organizations—the Government Complaint Counselling Center (expanded and reorganized from the previous ACRC Seoul Complaints Center on Oct. 1, 2019) with 32 employees, and the Anti-Corruption Training Institute with 24 employees

Organization Chart



Number of Employees

Total	Political service	Senior executive service	Grade 3 · 4	Grade 4	Grade 4 · 5	Grade 5	Grade 6 and under	Office with special experiences	Research service	Special service
551	4	17	14	34	41	200	230	7	1	3

2. Budget

The ACRC's annual budget for 2019 was KRW 87.498 billion. This included KRW 44.873 billion for personnel expenses, KRW 7.294 billion for basic expenses, and KRW 35.331 billion for primary work expenses.

3. Committee Operation

In 2019, the plenary committee held 23 meetings to handle 668 items, the small committees held 233 meetings to handle 31,605 items, and the subcommittees held 59 meetings to handle 1,081 items. The plenary committee, consisting of the ACRC members, deliberates and decides upon major issues for the ACRC. Five small committees, each consisting of three members, deliberate and decide upon items regarding civil complaints, and two subcommittees deliberate and decide upon items regarding anti-corruption.

Committee Meetings

Committee			2019
Plenary committee	Meeting		23
	Resolution		136
	Decision		403
	Report		129
	Total		668
Small committee	1st small committee	Meeting	45
		Item	3,958
	2nd small committee	Meeting	47
		Item	2,715
	3rd small committee	Meeting	47
		Item	21,738
	4th small committee	Meeting	47
		Item	1,564
	5th small committee	Meeting	47
		Item	1,630
	Total	Meeting	233
		Item	31,605
Subcommittee	First subcommittee	Meeting	26
		Item	523
	Second subcommittee	Meeting	33
		Item	558
	Total	Meeting	59
		Item	1,081



Chapter 3.

Private-Public Cooperation and Support for Ethical Business Management

Since its launch in 2008, the ACRC has expanded the scope of its communication and cooperation with civic groups in order to protect people's rights and interests and spread a culture of integrity. It has also enhanced government-level support for economic associations and businesses to improve ethical business management.

1. Promotion of Private-Public Governance

(1) Operation of the Public-Private Consultative Council for Transparent Society

Composed of 30 leaders from different sectors of Korean society including economics, professional circles, civil society, journalism, academia and public service, the Public-Private Consultative Council for Transparent Society took bold action to raise anti-corruption and integrity issues – issues that are unlikely to be raised by the government – and proposed solutions to successfully tackle corruption in our society.

The Council also led social discourses about corruption and integrity by hosting open forums about introducing the system for prevention of conflict of interest for public officials, internal audit for businesses and realization of social values, and improving effectiveness of the protection of public interest whistleblowers.

Participating Organization of the Council

Sector	Organization	Sector	Organization
Economy	Korea Chamber of Commerce and Industry	Professional	Korean Bar Association
	Korea Federation of Small and Medium Business		The Institute of Internal Auditors
	Korea Employers Federation		The Korean Institute of Certified Public Accountants
	Korean Women Entrepreneurs Association		Korea National Council on Social Welfare
Civil Society	People's Solidarity for Participatory Democracy/ Joint Representative	Media · Academia	Public Enterprises' Consultative Council for Transparent Society
	Citizens' Coalition for Economic Justice		Korean Broadcasters Association
	Transparency International-Korea		Korean Association of Newspapers
	YMCA Korea		The Women's News
	HungSaDan Transparency Movement		Korean Institute of Criminology
	Korean Women's Association United		The Korea Institute of Public Administration
	Korean National Council of Women		The Korean Association for Corruption Studies
	The National Council of Young Organizations in Korea		The Korean Academy of Business Ethics
Public	The Anti-Corruption & Civil Rights Commission	Public Interest	Seoul National University Senate
	Governors Association of Korea		Communication Culture Academy
	National Association of Mayors		Korea Transparency Movement Headquarters

As a result, the Council announced the following five policy proposals in 2019: promoting the Transparent Society Pact; strengthening the transparency of information on local council members holding more than one office; facilitating public interest reporting through reinforced protections for public interest whistleblowers; improving fairness and transparency of the system for pre-construction sales of apartments; and improving fairness in employing new clerical employees of private elementary and middle schools.

Policy proposals made by the Council

<Proposal to promote the Transparent Society Pact (April 2, 2019)>

- ① Organizations that participate in the Public-Private Consultative Council for Transparent Society to take part in the team for promotion of the Transparent Society Pact and to actively explore measures for facilitating signing of the Pact in relevant fields and for its implementation
- ② Local communities to sign the Local Transparent Society Pact, with local Public-Private Consultative Councils for Transparent Society playing the central role
- ③ Public institutions to sign and implement the Transparent Society Pact that includes concrete implementation tasks for realization of transparent management
- ④ The ACRC to develop and distribute working-level guidelines for the Transparent Society Pact and to provide consulting thereof for its wider spread across our society

<Proposal to strengthen the transparency of information on local council members holding more than one office (July 11, 2019)>

- ① To require local council members to report even when they hold no concurrent office and to push forward with legislation requiring the disclosure of the detailed statement of reporting about concurrent offices (Local Autonomy Act)
- ② To require disciplinary action against failure to report concurrent office or false reporting (Local Autonomy Act) and to specify the level of discriminatory action against each type of violation (ordinance)
- ③ To include compliance obligation of transparency responsibilities in the oath of office and to install an organization that monitors and advises on the concurrent offices held by local council members, which is taken part in by local residents, civic groups, experts, and so on

<Proposal to facilitate reporting through reinforced protection for public interest whistleblowers (October 11, 2019)>

- ① To establish concrete legal criteria for decision on whether an act falls in the category of 'acts that violate public interest' and to expand the range of protection subject to public interest reporting
- ② To increase the number of items for which relief fund is paid for public interest whistleblowers, including relevant legal fee, job training fee for reemployment, and so

on, and to rationalize the amount of payment and pay emergency relief fund

- ③ To make not only the ACRC but also all public institutions receive proxy reporting by a lawyer, distribute guidelines on the protection of public interest whistleblowers, and reinforce public institutions' capabilities to protect whistleblowers
- ④ To inspect how agencies for proxy public interest reporting are run and to establish system to manage them
- ⑤ To make education about protection of public interest whistleblowers mandatory and to enable companies that have a system for handling of public interest reporting and protection of public interest reporters in place to get additional credits in bidding for public contracts

<Proposal to improve fairness and transparency of the system for pre-construction sales of apartments (December 12, 2019)>

- ① To make the authorities decide on defects based on the approved project plans (including approved changes), not as-built drawings and to make constructors notify the result of supervision to prospective residents
- ② To make constructors specify exterior and interior materials and approve only a change into higher-quality materials than originally-planned ones, and to make constructors notify such change to prospective residents
- ③ The authorities to identify major items to be included in the list of finishing materials which is offered to prospective buyers and to include the detail of and reason for change in the subject of supervision
- ④ Local governments to encourage supervisors to thoroughly conduct inspections on the current status of construction and on the use of apartments

<Proposal to improve fairness in employing new clerical employees of private schools (December 12, 2019)>

- ① To introduce a system of evaluating private school clerical workers' qualification to do practical administration
- ② To stipulate the principle of open competitive employment of clerical workers in the Private School Act, and not to provide financial support for personnel expenses in case the principle is not abided by
- ③ To oblige public disclosure of the current status of employment of a relative of a director or principal of a private school as well as such employee's duties to the competent office of education and on the official website of the school, and to establish plans for sanction for a case of non-compliance

(2) Support for the Establishment and Operation of the Municipal and Provincial Public-Private Consultative Councils for Transparent Society

The ACRC actively explained the imperativeness and need for establishment of the municipal and provincial Public-Private Consultative Council to spread the culture of integrity in local communities and encourage the residents to participate in anti-corruption policy formulation. The Commission supported the establishment of the Councils and as of the end of 2019, all of the 17 metropolitan cities and provinces across the country proclaimed the ordinance for the establishment of their own Public-Private Consultative Council for Transparent Society and appointed the members of the Councils. 15 cities and provinces among them started to operate the Councils by hosting regular council meetings.

(3) Implementation of Public Monitoring on Policies for Transparency

At the moment, there is a large gap between public officials and the general public in the perceptions about the level of corruption in our society, and the level of people's trust in the government is very low. The ACRC formed and operated People's Integrity Policy Monitoring Group, consisting of 70 ordinary citizens including college students, workers, and full-time mothers, to get feedback about what people think of the policy direction and policy changes from the viewpoint of the general public, who are the user and beneficiary of anti-corruption and transparency policies.

In 2019, the ACRC worked to find out the causes of cheating in everyday life by listening to the experiences and opinions of the monitor group to turn them into improved policies. The Commission identified six types of cheating in everyday life and suggested solutions based on people's opinions gathered through two rounds of discussions, a national survey, and People's Idea Box.

(4) Facilitation of Operation of Citizen Integrity Inspector System

The ACRC worked to enhance accountability and transparency of public administration

through better utilization of a private sector participatory corruption prevention system, the Citizen Integrity Inspector System, which public institutions of different levels already have in place.

To this end, the ACRC assesses performance and achievements of the Citizen Integrity Inspector System of public institutions at all levels through the Anti-Corruption Initiative Assessment (AIA). As of 2019, 260 out of 270 public institutions (96.3%) subject to the assessment are utilizing the system and the majority of them performed practical activities under the system, such as enactment/revision of relevant rules and implementation of audits in compliance with Citizen Inspectors' demand for correction, to show the fact that the system has well taken root.

2. Multi-directional Spread of a Culture of Integrity through Participation and Collaboration

(1) Support for Signing of the Transparent Society Pact in Each Region and Sector

The ACRC hosted workshops in 17 metropolitan cities and provinces and carried out on-demand consulting on the Transparent Society Pact at 255 public institutions in 14 regions nationwide, so that the Transparent Society Pact can be signed by different regional and sectoral entities. The Commission also systematically supported the signing of the Pact by launching the Preparatory Group for Implementation of the Transparent Society Pact in May and distributing the Transparent Society Pact Guide in March.

As a result of such efforts, seven metropolitan cities and provinces signed the Transparent Society Pact in 2019 participated by local governments, public institutions, economic and professional groups, civil organizations and businesses. The Pact for national defense was signed on March 22 by 24 institutions and organizations including the Ministry of National Defense. 29 institutions and businesses in the defense industry also signed the Pact to reaffirm their commitment to corruption prevention in the field of defense and ethical

management of defense businesses on June 22.

In the second half of 2019, 36 public corporations including Korea Electric Power Corporation (KEPCO) signed the Transparent Society Pact for public enterprises on July 19, as part of the efforts to earn more trust from the public and society in general by addressing the issues including improper hiring practices in the sector. The Transparent Society Pact for the accounting sector was signed on October 31 with participation of 46 organizations and corporations including the Korean Institute of Certified Public Accountants and accounting firms, to pledge their commitment to improving accounting transparency and expanding the participation in and practice of the culture of integrity.

(2) Deployment of the 'One Integrity Practice per Public Institution Movement' Based on Collaboration with Public Institutions

Through close collaboration and solidarity with public institutions that serve as a window of communication with people, the ACRC took the initiative in a multi-directional spread of the culture of integrity in the public sector.

The 'One Integrity Practice per Public Institution Movement' is designed to encourage public institutions to take the lead in improving fairness and transparency in carrying out their own duties, and produced substantial achievements in 2019.



Major examples of 'One Integrity Practice per Public Institution Movement'

Name of institution	Major content
Seoul National Univ. Chungbuk National Univ. Pusan National Univ.	· Introduction of integrity education into the regular college curriculum
Educational Broadcasting System (EBS)	· Production and broadcasting of a transparency campaign video celebrating the International Anti-Corruption Day (November 25 ~ December 20) · Rebroadcast of the video on various media platforms owned by public institutions and by public facilities such as ports, airports, railways and community centers
KEPCO Engineering & Construction Company	· Implementation of the 'Program for Co-prosperity and the Culture of Integrity' with 84 partner companies
The Export-Import Bank of Korea	· Inclusion of client companies' efforts to eradicate corrupt practices in credit policies, such as credit rating and favorable interest rates
Gyeonggi Province	· Introduction of the cost disclosure system for public construction projects worth 1 billion won or more

(3) Discovery of and Support for Programs for Voluntary Spread of Integrity and Promotion of People's Rights and Interests in the Private Sector

The ACRC has publicly recruited and supported private projects since 2007 and offered subsidies for them with the goal of helping civic and social groups autonomously spread a culture of integrity and promote their own projects for improving people's rights.

In 2019, nine projects were selected based on the assessment of its repercussion, creativity, and business capacity of the applicant organizations, and total 199 million won of budget was provided for them.

The programs selected for the support for this year includes the 'Youth Transparency Film Festival' with film critics; production and performance of a theatrical play titled 'Rider' that portrayed injustices such as issues surrounding young delivery men working for a delivery platform, non-regular workers and unfair employment contracts; and a content development project for integrity education targeting children aged between four and seven.



'Youth Transparency Film Festival' with film critics



Performance of theatrical play 'Rider' at a small theater in Daehakro, Seoul



Development of integrity education content for children

3. Support for Ethical Management

The International Organization for Standardization (ISO)'s Anti-Bribery Management System (ISO37001) was announced in October, 2016 and the International Accounting Standards Board (IASB)'s IFRS was introduced in 2011. Since such international standards, in effect, work as non-financial trade barriers, transparency and ethics are emerging as key elements for survival and competitiveness of businesses in global trade.

The ACRC has therefore supported a number of projects in order to cultivate a transparent and fair business environment and to instill a culture of ethical management in businesses in 2019.

(1) Production and Distribution of the Monthly Web-magazine 'Business Ethics Brief'

The 'Business Ethics Brief' is a web-magazine published since April 2005 to support ethical management of domestic companies. The magazine is available in the form of webzine or brochure and provides businesses and the academia with up-to-date information and trends in ethical management from both at home and abroad. It is posted on the website and blog of the ACRC as well to improve access to the information by the general public as well as by businesses.

In 2019, the magazine created a new section called 「Let's Introduce the ISO 37001」 to help businesses establish a management system that can prevent corruption and fulfill global standards. The new section illustrated cases where the Anti-Bribery Management System (ISO-37001) was introduced and applied. An editorial advisory council meeting of the magazine was held in the first and second half of the year to increase the reader satisfaction by actively listening to the opinions of subscribers to improve the content and readability.

(2) Operation of Education Courses for Ethical Business Management

The ACRC is running diverse education courses including customized programs provided for individual companies and professional training courses for ethical management to help build the capabilities of compliance personnel and raise awareness of ethical management among corporate executives. The content of such training courses focus mainly on the most wanted educational needs of businesses, such as the Improper Solicitation and Graft Act and ISO37001 (Anti-Bribery Management System), so that the level of satisfaction with the programs can be consistently improved.

This year, intensive training was offered mostly to pharmaceutical companies, defense contractors, and small-and-medium-sized enterprises that have a structurally poor environment for ethical business management.

Plus, the ACRC published and distributed the Casebook on Public Enterprises' Success & Failure of Ethical Management (39 cases of success, 20 cases of failure) to private companies based on collaboration with the Public-Private Consultative Council for Transparent Society of public enterprises. The Commission provided best practices of ethical business management at global companies for domestic companies through cooperation with economic organizations, as part of its efforts to help businesses obtain global competitiveness.





Chapter 4.

International Cooperation

The ACRC has worked as the anti-corruption control tower of the Korean government, to sincerely implement international conventions such as the United Nations Convention Against Corruption (UNCAC) and the OECD Convention on Combating Bribery of Foreign Public Officials in International Business Transactions (OECD Anti-Bribery Convention), and has actively participated in the international anti-corruption initiatives of the G20, APEC, etc.

The 19th International Anti-Corruption Conference (IACC) and the 9th session of the Assembly of the Parties to International Anti-Corruption Academy (IACA) will be hosted in Seoul from June 1 to 5, 2020. For a successful hosting of the world's largest international anti-corruption forum, the ACRC signed a MOU with the co-host in 2019 and has been thoroughly preparing for the event by forming an independent preparatory group and selecting an agency specialized in international events.

The technical support project carried out with the UNDP was the Anti-Corruption Initiative Assessment to Vietnam in 2016-2017, the Anti-Corruption Risk Assessment to Kosovo and Myanmar in 2018, and the Anti-Corruption Initiative Assessment to Malaysia and Uzbekistan in 2019 again. It also signed MOUs for anti-corruption cooperation with Kuwait and Uzbekistan in 2019, in addition to the six other countries that signed the MOU before.

As for the field of ombudsman, Chairperson Pak Un Jong of the ACRC was appointed as the regional director of Asia at the International Ombudsman Institute (IOI). The Chairperson is also working as a director of the Asian Ombudsman Association (AOA).

1. International Anti-Corruption Cooperation

The ACRC participates in multi-lateral anti-corruption rounds including implementation of two international anti-corruption conventions, exchanges and cooperates with international organizations and overseas anti-corruption organizations, and also provides various training programs and technical support to countries that wish to benchmark Korea's anti-corruption policies.

(1) Preparation for the Hosting of the 2020 International Anti-Corruption Conference

At the closing ceremony of the 18th International Anti-Corruption Conference (IACC) held in Copenhagen, Denmark on October 25, 2018, South Korea was officially announced as the host country for the 19th conference.

The conference includes 7-8 plenary sessions, roughly 50 workshops, and other celebratory events such as the film festival, concert, and activities for youth journalists. The IACC Council decided on the agenda of the conference in August as "Designing 2030 : Truth, Trust, and Transparency" to discuss the joint efforts needed for the next decade to realize a fair and sustainable future in 2030.

To prepare for such a large-scale international conference, the ACRC signed an MOU for hosting the event with Transparency International in May 2019, and launched a preparatory planning group in July. The Commission selected an international conference organizing agency in November based on an open competitive contracting by Public Procurement Service of Korea, and signed the contract in December with COEX Seoul, the conference venue.

In the meantime, it was decided that the Korea is to host the 9th IACA Assembly of Parties with the IACC to attract more high-profile attendees in government delegations to the IACC



and improve the status of the country within the international organization, which was approved at the 8th session of the Assembly of Parties held in Kazakhstan on October 2-4, 2019.

(2) Implementation of the International Anti-Corruption Conventions and Participation in Anti-Corruption Rounds

The Republic of Korea signed the UN Convention Against Corruption (UNCAC) in 2003. The Act on Special Cases Concerning Confiscation and Recovery of Stolen Assets was passed by the National Assembly on February 29, 2008, resulting in the official ratification and implementation of the convention. A total of 186 countries, including Korea, were contracting parties as of June 2018.

On December 16 to 20, 2019, the 8th UN Convention Against Corruption Conference of the Parties was hosted in Abu Dhabi, the UAE, with 1,200 delegates from 156 state parties and several international organizations. At the conference, the ACRC Chairperson Pak Un Jong gave a key-note speech where she introduced Korea's efforts to carry out the recommendations from the first-round implementation review. She also mentioned the International Anti-Corruption Conference and the IACA Assembly of Parties, which are scheduled to be hosted in Seoul in June 2020. As a key-note speaker, the Chairperson also attended the UNDP workshop held as a special event, where she drew much attention for her presentation about the technical support for anti-corruption policies provided by Korea to developing countries and ICT-based activities designed to improve the government's accountability towards the public.

At the general assembly, the majority of the state parties welcomed the hosting of the UN General Assembly Special Session on Anti-Corruption (UNGASS), which will be held at the UN headquarters in New York on April 26 to 28, 2021. The state parties also made an agreement on the preparatory procedures for UNGASS at the level of the UNCAC Conference of the Parties.

Korea ratified the OECD Anti-Bribery Convention, by enacting the Act on Combating Bribery of Foreign Public Officials in International Business Transactions in December 1998, which has been enforced since February 1999. As of 2018, 44 countries including 36 OECD members have ratified the Convention.

Korea had its first-round review in July 1999, which examined the enactment of domestic legislation for implementing the Convention, and had the second-round review on implementation in November 2004 with Australia and Finland as reviewing countries. In October 2011, Korea successfully completed the third-round implementation review on the prosecution and punishment of violations of the Convention with Finland and Israel as reviewing countries. The country implemented recommendations issued during the third-round review.

In December 2018, the report was adopted for the fourth-round implementation review on Korea with Italy and Finland as reviewers. Major recommendations included are as follows: △ strengthening regulations on corporations; △ reinforcing cooperation between the prosecution and police, including information sharing; △ active investigation into accounting fraud for the purpose of overseas bribery; and △ enhancing the ability of government agencies and private organizations to detect overseas bribery. The Korean delegation provided written and oral reports on the implementation status of the recommendations issued during the fourth-round implementation review at the conference held at the OECD headquarters located in Paris on December 10 to 13, 2019.

Regarding the protection of whistleblowers, the main agenda of the G20 Anti-Corruption Working Group of 2019, the ACRC contributed to developing the high-level principles based on its experience of operating the protection system for whistleblowers in Korea. At the G20 Summit held in Osaka in June, the High-level Principles for Effective Protection of Whistleblowers and the G20 Compendium of Good Practices for Promoting Integrity and Transparency in Infrastructure Development were adopted as the annex of the summit.

The ACRC participates in the APEC Anti-Corruption and Transparency Experts Working Group Meeting and its workshop every year to publicize the Korean government's efforts for and commitment to fighting corruption, while contributing to improving the anti-corruption capabilities of the member countries. At the 28th meeting held in February 2019, the ACRC introduced the launch of the Public-Private Consultative Council for Transparent Society and its efforts to fight everyday corruption in Korea. At the 29th meeting held in August, the ACRC made a presentation about Korea's efforts to improve its laws and systems for corruption prevention, such as the enactment of the Act on Prohibition of False Claims for Public Funds and Recovery of Illicit Profits, as well as the current status of public interest reporting in Korea and its efforts to provide further protection and support for whistleblowers, including the introduction of the system of proxy reporting by a lawyer.

As for the ADB/OECD Anti-Corruption Initiative for Asia-Pacific, a meeting was hosted in Hanoi, Vietnam, by the Government Inspectorate of Vietnam on December 4-5, 2019. Held under the theme of prevention and eradication of corruption in infrastructure projects in the Asia-Pacific region, the 3rd public transparency network meeting, the 23rd coordination group meeting and the high-level session were hosted, where the Standing Commissioner Kim Ui Hwan of the ACRC pointed out the problems and vulnerabilities in the anti-corruption policies in the region and drew much attention from the participants.

(3) Cooperation with International Organizations for Corruption Prevention

The ACRC has been actively engaging the International Anti-Corruption Academy (IACA), an international organization in charge of anti-corruption education and training, since the two organizations signed an MOU for cooperation in March 2012. The ACRC Chairperson Pak Un Jong was elected a new member of the IACA's Board of Governors (2019-2024) at the Assembly of Parties in 2018. At the 8th Assembly of Parties held in Nur-Sultan, Kazakhstan in October 2019, Korea was selected as the host country of the 9th Assembly, which is expected to serve as an opportunity to improve the country's status at an international organization, along with the ACRC Chairperson's election as a board member.

The ACRC cooperates with the UNDP to share Korea's anti-corruption experiences and pass on its excellent anti-corruption systems to developing countries. As the first such cooperative project between the two, a pilot project was launched in 2016, to pass on Korea's Anti-Corruption Initiative Assessment (AIA) to public institutions of Vietnam. In 2018, the ACRC provided technical support for the launch of the Corruption Risk Assessment in Myanmar and Kosovo. In 2019, the Commission offered technical support to Uzbekistan and Malaysia for the launch of the Anti-Corruption Initiative Assessment.

(4) Bilateral Cooperation

The ACRC, based on its MOUs on anti-corruption cooperation signed with Indonesia, Vietnam, Mongolia, Tunisia, Myanmar, Iraq, and Qatar, has promoted cooperation in order to pass on its anti-corruption policies and aid its partners in strengthening internal anti-corruption capabilities. In 2019, the Commission newly signed the anti-corruption cooperation MOU with Kuwait, and Uzbekistan.

In May 2019, the ACRC visited Ulan Bator, Mongolia, to review the implementation of anti-corruption cooperation activities and to share major anti-corruption policies as well as latest anti-corruption activities of the two countries with the Mongolian Anti-Corruption Agency.

At the request of Indonesia in October 2019, the ACRC visited the country's capital, Jakarta to share Korea's experiences and know-how in the Corruption Risk Assessment by explaining relevant indicators and cases and implementing practical training sessions.

In December 2019, the ACRC visited Hanoi, Vietnam, to review the implementation of the country's anti-corruption activities and to share the implementation progress of major anti-corruption policies with the Central Commission for Internal Affairs of Vietnam.

2. International Cooperation for Ombudsman Institutions

The ACRC actively participates in the International Ombudsman Institute (IOI) and Asian Ombudsman Association (AOA) activities, and signs MOUs with Ombudsmen of other countries to engage in policy exchanges and protect the rights of Korean residents in those countries.

(1) Multilateral Cooperation

Since the launch of the ACRC in 2008, its Chairpersons have actively participated in the meetings of Board of Directors and Conferences of the IOI as board members representing Asia and incorporating Asia's opinions into the IOI's policies. Pak Un Jong who became the Chairperson in June, 2017 was elected as Regional Director on December 4, 2017, taking over the role of her predecessor. Chairperson Pak Un Jong attended the IOI Board Meeting held in Merida, Mexico on May 13 to 19, 2019, as the representative of the Asian region, to discuss IOI membership qualification deliberation and revision of rules.

In the Asian region, the ACRC Chairperson Pak Un Jong was elected a board member of the Asian Ombudsman Association (AOA) at the AOA General Assembly held in Istanbul, Turkey on November 18, 2019. The Chairperson is committed to actively sharing Korea's experiences with other Asian member countries and engage in diverse efforts for further development and collaboration.

(2) Bilateral Cooperation

Since signing of an MOU with Indonesian Ombudsman to protect the rights and interests of Korean expatriates in Indonesia and to share best policies in 2010, the ACRC has expanded its efforts to build bilateral cooperation with foreign Ombudsmen by signing additional MOUs with the Ombudsman of Thailand, Vietnam, and NSW Ombudsman of Australia.



In 2018, there was a need to sign an MOU with Australia's state ombudsmen, to provide more direct support for handling grievances of Koreans living in the country, which led the ACRC to sign a 3-year MOU with the ombudsman of the State of New South Wales on December 4, the state in Australia with the largest number of Koreans. The ACRC delegation visited Sydney for June 11 to 13, 2019, to meet Korean businessmen in the country and listen to their grievances related to business operations at a meeting jointly hosted by the Korean Consulate General in Sydney. To resolve their grievances, the ACRC agreed to review measures for cooperation with relevant agencies and visited the NSW Ombudsman to make sure that civil complaints raised by Koreans living in Australia be handled properly and exchange views on the complaint-handling systems of the two countries.

Since the signing of an MOU in December 2011, the ACRC and the Ombudsman of Thailand have been engaged in active cooperation by opening exclusive consultation windows for each other and having joint discussions on civil complaints from the people of the two countries. In March 2019, the Ombudsman of Thailand visited the ACRC for cooperation for the MOU implementation. On the 17th of the month, a Korea-Thailand joint discussion session was held to listen to grievances of nearly 50 Thai workers in Korea, along with consultation of the Outreach Program for Complaint-Handling, and the Ombudsman Implementation Cooperation Meeting was held on the 18th.

In accordance with the ACRC's proposal to sign an MOU in May 2012, the ACRC and the Government Inspectorate of Vietnam (GIV) signed an MOU on March 27, 2013. The Delegation of the ACRC led by Vice Chairperson Kwon Tae-sung visited Vietnam on June 5, 2019 and had a policy consultative meeting with the Vice Chairman of the Vietnamese counterpart. Then, the two organizations hosted a follow-up policy consultative meeting in Sejong City, Korea, in December 2019.

3. Policy Cooperation and International Promotion

(1) Anti-corruption Technical Support Project

The ACRC provides MOU signatories with policy training to share Korea's experiences in anti-corruption policy, as well as with in-depth training courses for public officials in those countries where policy introduction is in progress through technical support provided in the past, or in the case of such request from the signatories.

As more countries around the world want to know Korea's outstanding anti-corruption policies, such as the Anti-Corruption Initiative Assessment and Corruption Risk Assessment, more training sessions are being given to foreign public officials aimed at strengthening their capabilities. In 2019, the ACRC held several sessions to share the anti-corruption experience for the president of the Kuwait Anti-Corruption Authority invited to Korea (March 13-15); the Malaysia delegation at the Anti-Corruption Initiative Assessment Workshop (April 24-26); the Uzbekistan delegation at Anti-Corruption Initiative Assessment Workshop (September 3-5); the president of State Audit Institution of Oman (October 23-24); and the Administrative Control Agency of Egypt (November 25-27).

(2) International Promotion

Since the launch of the ACRC in 2008, it has held annual policy briefings for foreign CEOs in Korea in order to hear their difficulties in business and explain the Korean government's efforts toward improving national integrity. The policy briefing hosted by the ACRC on April 12, 2019 was attended by 11 executives of foreign chambers of commerce in Korea, including the Executive Director of the American Chamber of Commerce in Korea, the Director and Chairperson of the British Chamber of Commerce in Korea, the Chairperson of the Canadian Chamber of Commerce in Korea, and the Chairperson of the European Chamber of Commerce in Korea. They complimented Korea's rise on the latest Corruption Perception Index, as well as the improvement in the culture of integrity in Korean society in

general. They also mentioned that foreign businesses in Korea are committed to continuing to make efforts towards corruption prevention.

To enhance awareness of the ACRC and promote the Korean government's activities for improving people's rights, the ACRC also produces yearly promotional brochures, newsletters, and white papers for distribution to foreign governments, international organizations, international assessment organizations, foreign economic organizations in Korea, and foreign reporters. It also provides access to press releases, key policy documents and English publications via its English website (www.acrc.go.kr/en).

Each year, employees of many foreign anti-corruption authorities and public officials of relevant organizations visit the ACRC in order to benchmark its anti-corruption and ombudsman policies and operating experiences. A total of 2,651 such visitors have been recorded since the 2008 launch of the ACRC including Uzbek Deputy Prosecutor General, president of Kuwait Anti-Corruption Authority, and president of State Audit Institution of Oman. In 2019, 343 people from 37 countries—primarily in Asia, the Middle East, and Africa—visited the ACRC on 29 occasions.



Chapter 5.

Public Relations

The ACRC conducted a range of publicity campaigns including promotions through the media and digital media as well as policy advertisements about major anti-corruption policies and activities, communicating with people and raising the public awareness of anti-corruption policies.

In June 2019, the Task Force for Digital Communication was newly established to further improve communication with the public by carrying out publicity campaigns using digital media. The TF produced and distributed high-quality digital content and live-streaming on YouTube.

1. Raising People's Understanding of Policy and Establishing a Social Consensus through Media Coverage

One of the major channels to publicize policies of the ACRC is the Chairperson and Vice Chairperson's appearing in TV and radio shows, interviews and contributions to newspapers and press releases. In addition, the Commission strengthened its international public relations activities, distributing 44 English press releases to foreign media outlets and companies to improve the country's Corruption Perception Index (CPI) and to publicize the government's anti-corruption efforts and achievements.

Year	Press release distribution (Cases)	Media coverage (Cases)
2019	369	6,805
2018	333	5,112
2017	307	3,803

Improper hirings at public institutions give a sense of frustration and deprivation to young people in their 20s and 30s. The ACRC conducted a complete enumeration survey government-wide on the issue and announced the result in February. Chairperson Pak Un Jong held a briefing to announce the survey result and had interviews on TV news shows such as *News 1st Street* of Yonhap News TV and *This is News Jockey Chung Kwan Yong* of CBS, which drew much attention from the media.



Announcement of the survey result on improper hiring practices at public institutions (Feb. 20, 2019, Government Complex, Seoul)

Appeared on *HEART TO HEART*, a show aired by Arirang TV, the Chairperson explained the IACC scheduled to be held in Korea in June 2020 and asked for interest and participation by many people.

In celebration of the 3rd anniversary of the Improper Solicitation and Graft Act in September, the ACRC published the result of the awareness survey of the general public, public officials and those in the affected industries under the theme of 'the Improper Solicitation and Graft Act for Greater Transparency,' as well as the current status of reporting and handling of relevant cases by public institutions. Many media outlets reported that the Improper Solicitation and Graft Act has positively contributed to the spread of the culture of integrity in Korea. The Chairperson also conducted interviews with *This Is Lee Suk-Ee with a Fresh Perspective*, a TBS radio show and *Segye's Invitation* of the Segyeilbo, a newspaper, to let more people know that the Improper Solicitation and Graft Act is taking root in our society.

2. Expanded Communication with the Public through Digital Media

The Korean government pushed forward with reinforcing digital communication government-wide to actively respond to the rapidly changing digital media environment. At

the moment, 31 government agencies have professional staff to create digital content and are operating digital communication teams. The ACRC also employed 7 professional digital communication staff including a writer, video producer and graphic designer in June 2019 and formed the Task Force for Digital Communication.

The newly established Task Force for Digital Communication produced familiar and fun content that can help people easily understand and relate to the policies of the Commission, which was distributed through the ACRC's official social media channels. The Commission also launched its YouTube channel called the ACRC Vision to where it posts a range of content including live-streaming enabling real-time communication with the users, giving the ACRC an opportunity to come a step closer to the public.

Thumbnails of programs on the ACRC Vision



3. Raising Awareness of Major Policies through Policy Advertisements

The ACRC was active in promoting its policies through the media of private and public institutions to raise the public awareness of the Commission's major policies and facilitate their use.

The ACRC released promotional content about 110 Government Call Center, e-People, protections and rewards for corruption reporting, the protection program for public interest whistleblowers, administrative appeals and People's Idea Box in the format of video, poster and leaflet on TV, radio, newspapers, buses and electronic display boards to raise the public

awareness of the ACRC's policies and encourage their participation in and use of those policies. And in an awareness survey in 2019, 44.6 percent of the respondents said that they were aware of the ACRC's major policies, which was a 5.2 percentage-point increase from 39.4 percent in 2018.

4. Forming a Better Consensus among the Public through Newsletters and Video Clips

The ACRC produced and distributed ACRC Newsletter, a newsletter covering its major activities and citizen-friendly policies, as well as video clips explaining major policies.

The first issue of the ACRC's quarterly Newsletter was released in March 2008, and 63 issues in total – with the 63rd issue being the Winter issue for 2019 - have been published to date. 10,500 copies of each issue published in 2019 were distributed to community service centers, post offices, banks and libraries, which serve as windows of communication with the public.

In addition, as part of the publicity campaigns to facilitate public interest reporting, the ACRC collaborated with EBS to produce a documentary featuring the story of whistleblowers in our society with a calm and touching narrative, which was aired on a terrestrial broadcast channel of EBS-TV.





Part 02

Implementation of Anti-Corruption
Policies for a Country of Integrity



Chapter 1.

Reinforced Implementation of Government-wide Anti-Corruption Policies

1. Operation of the Anti-Corruption Policy Consultation Council for a Fair Society

The effectiveness of anti-corruption policy can be guaranteed only when it is formulated and implemented government-wide rather than by individual public institutions. The Chairperson of the Anti-Corruption Policy Consultation Council in an attempt to set the direction of anti-corruption policies and discuss detailed measures at a national level, so that it can implement comprehensive and systematic policies to fight corruption.

The council, which was presided over by the president, was attended by the Chairperson of the Anti-Corruption and Civil Rights Commission, the Chairperson of the Korea Fair Trade Commission, the Chairperson of the Financial Services Commission, the Minister of the Office for Government Policy Coordination, the Minister of Justice, the Minister of National Defense, the Minister of the Interior and Safety, the Minister of Personnel Management, the Prosecutor General of the Supreme Prosecutors' Office, the Commissioner of National Tax Service, the Commissioner of Korea Customs Service, the Commissioner General of Korea National Police Agency, and the Senior Presidential Secretary for Civil Affairs. Also in attendance were heads of agencies related to items on the council agenda, along with the Chairperson of the Board of Audit and Inspection of Korea and the Director of the National Intelligence Service.

The Anti-Corruption Policy Consultation Council holds discussions on the establishment of efficient anti-corruption policies, including the establishment and implementation of anti-

corruption measures at a national level, government measures to address corruption cases, reviews on the implementation of anti-corruption policies and progress management thereof, and investigations on corruption cases and information sharing.

Major agenda at the Anti-Corruption Policy Consultation Council

Session	Major agenda
1st (Sep. 26, 2017)	<A country free of corruption> ■ Strategies for anti-corruption policy implementation; reinforced punishment for grave corruption crimes; measures to eradicate unfair practices related to public welfare; and measures to combat corruption in defense projects
2nd (Apr. 18, 2018)	<A country of integrity for its people> ■ The Five-Year Comprehensive Anti-Corruption Plan; corruption prevention measures in the field of safety; measures to eradicate power abuse in the public sector; prevention of technology leaks and recovery of profits gained from offshore crime; and prevention of offshore tax evasion
3rd (Nov. 20, 2018)	<A fair society without privileges and foul play> ■ Eradication of school corruption; reinforcing the public nature of kindergartens; implementation plan for eradication of corrupt hiring practices in public institutions; eradication of entrenched corruption at a local level; and eradication of corrupt practices related to reconstruction and redevelopment projects
4th (Jun. 20, 2019)	<A fair country without privileges> ■ Eradication of tax evasion through new kinds of illegal schemes by high-income people; measures to address illegal acts at long-term care centers for the elderly; and measures to improve accounting transparency and auditing in school foundations
5th (Nov. 8, 2019)	<A fair country with continuous reforms for anti-corruption> ■ Achievements and future direction of the Anti-Corruption Policy Consultation Council; measures to eradicate preferential treatments for retired officials; measures to remedy injustices in the private education market including private cram schools; and measures to establish fair employment in the public sector and the application to the private sector

At the 4th Consultation Council meeting held on June 20, 2019, the following three issues were discussed: measures to eradicate tax evasion through new kinds of illegal schemes by high-income people (National Tax Service); measures to address illegal acts at long-term care centers for the elderly (Ministry of Health and Welfare); and measures to improve accounting transparency and auditing in school foundations (Ministry of Education).

Held on November 8th, 2019 under the theme of the Anti-Corruption Policy Consultation Council for a Fair Society, the 5th Consultation Council meeting addressed corrupt and unfair practices that have long been around in our society with the following agenda: eradication of

preferential treatments for retired high-ranking public officials and reinforced management of their reemployment (Ministry of Personnel Management); measures to eradicate preferential treatments for retired judicial officials (Ministry of Justice); measures for fair taxation to eradicate preferential treatments for retired officials (National Tax Service); measures to remedy injustices in the private education market including private cram schools (Ministry of Education); and measures to establish fair employment in the public sector and the application to the private sector (Ministry of Employment and Labor).

Through the agenda of ‘Achievements and Future Direction of the Anti-Corruption Policy Consultation Council’ at the 5th Consultation Council meeting, the ACRC reported to the President and other council members on the achievements and future direction for the expansion and restructuring of the Council. The next Consultation Council meeting will be called the ‘Anti-Corruption Policy Consultation Council for a Fair Society,’ which will involve a wider range of agencies, including the Ministry of Economy and Finance, Ministry of Education and Ministry of Employment and Labor, to discuss issues ranging from anti-corruption to measures to improve fairness in the economy for public welfare.

2. Management for the Smooth Implementation of the Five-Year Comprehensive Anti-Corruption Plan

The Five-Year Comprehensive Anti-Corruption Plan was officially announced at the 2nd Anti-Corruption Policy Consultation Council meeting held on April 18, 2018. The Plan was specified based on public opinion-gathering and coordination among relevant agencies through People’s Idea Box, the Public-Private Consultative Council for Transparent Society and meetings with young people in their 20s and 30s, and reflects the anti-corruption tasks collected by each government agency.

To make sure that the Five-Year Comprehensive Anti-Corruption Plan is implemented and monitored in an efficient and systematic way, the ACRC established a management system for anti-corruption policy tasks in April 2019 to track the implementation performance on a

quarterly basis.

As of the 3rd quarter of 2019, more than 80 percent of 87 unit tasks are under normal implementation, and the vast majority of task delays are attributable to delays in legislative discussions on the draft and/or revision bills submitted to the National Assembly or delays in bill crafting due to disagreements among different agencies or the process for opinion gathering, which raises the need for efforts to establish alternative measures based on further legislative support and consultation.

Among the implementation tasks of 2019, enactment and/or amendment of laws led to significant improvements in the legal system. The Act on Prohibition of False Claims for Public Funds and Recovery of Illicit Profits was enacted to close public finance loopholes. With the enactment of the Act on the Establishment and Operation of the Investigation Agency for Crimes Committed by High-Ranking Officials, a response system was established to address power-related corruption cases implicating high-ranking officials. The amendment of the Public Service Ethics Act established stricter standards for the conduct of retired officials and expanded the restrictions on their employment in the fields related to safety.

3. Establishment and Distribution of the 2019 'Guidelines on Anti-Corruption and Integrity Policy'

The ACRC establishes and promotes anti-corruption policy guidelines early every year. The objective of the guidelines is to encourage public institutions to voluntarily work for anti-corruption by providing necessary information for the implementation of integrity initiatives and to ensure that government-wide anti-corruption activities are smoothly implemented by sharing the government's anti-corruption policy direction.

The 2019 Anti-Corruption Policy Guidelines briefing meeting was held at the great hall of Building 15, Government Complex Sejong on February 13, and was attended by inspection

and audit officers from approximately 100 public institutions, including central government agencies, local governments, metropolitan and provincial offices of education and organizations related to public service.

The ACRC set out key tasks to be implemented by public institutions for the year in the 2019 'Guidelines on Anti-Corruption and Integrity Policy.' In order to make clear its commitment to effectively implementing anti-corruption and integrity policy, the Commission presented four major strategies in 2019: Remedy for unjust practices; monitoring of anti-corruption rules; protection of corruption reporters and whistleblowers; and public engagement. The Commission also worked to publicize relevant policies by sharing guidelines and a wide range of materials with all public institutions and publishing them on its website.





Chapter 2.

Prompt Response to Corruption Issues to Live up to People's Expectations

1. Eradication of Improper Hiring Practices in Public Institutions

Improper hiring practices in public institutions are a serious problem in that they give deep distrust and frustration to young people in their 20s and 30s and cause social inequality.

For the exhaustive investigation on hiring practices in public institutions, the government implemented a special inspection on 1,190 public institutions starting from October 2017, in collaboration with the ACRC, the Ministry of Economy and Finance, and the Ministry of the Interior and Safety.

In an effort to readily deal with improper hiring practices, the government launched Team on the Eradication of Improper Hiring Practices in Public Institutions on November 2, 2018, which was formed under the lead of the ACRC and participated in by relevant agencies.

From November 6, 2018 to January 31, 2019, the Team conducted a complete enumeration survey of the entire 1,205 public institutions in the country on every single case of new hirings since the special inspection in 2017 and transfers from temporary to permanent positions over the recent 5 years.

For 36 cases, the ACRC asked the prosecution and police for investigations to verify illegal acts; and for 146 cases, the ACRC requested heads of public institutions to take strict measures including discipline and reprimands against the personnel in charge of hiring. The Commission also made sure that improvement measures be taken for 2,452 cases involving

work negligence. The survey identified 53 persons who suffered disadvantages from improper hirings, for whom the ACRC is planning to promptly complete redemption measures in accordance with the Detailed Guidelines on the Redemption of Victims announced in May 2018, by providing the victims with yet another opportunity for employment at the hiring stage.

The survey also revealed the defects in the system which undermine fair employment, and the ACRC sought improvements to fundamentally prevent corrupt hiring practices. A range of relevant agencies and departments joined in discussing improvement measures for the hiring system of public institutions to come up with the following measures: strict punishment of the involved personnel; reinforced control inside and outside of the institutions; improvement in transparency in the hiring process; and prevention of improper hiring of relatives.

The special inspection of 2017 and the complete enumeration survey of 2018 revealed some institutions with recurring cases of hiring corruption and certain positions related to health care, sports and culture over which improper hiring frequently took place. In the second half of 2019, the ACRC conducted a special inspection on those institutions considered prone to corruption regarding their hiring status, and implemented measures to analyze the causes of frequent occurrence of improper hiring as well as measures to improve the system in a way that takes into account the specific situations of each field.

2. Implementation of Measures to Tackle Cheating and Privileges in Daily Lives (Everyday Corruption)

The Korean public have been calling for the improvement of unfair and unreasonable practices encountered in their daily lives – unfair treatment towards soldiers serving as residence staff for high-ranking military officers (2017), improper hiring practices in public institutions (2017~2018), and corruption cases involving private kindergartens (2018) - in addition to addressing the existing cases of grand corruption and acceptance of bribery.

Prevalent corruption that people experience in their daily lives can cause social discontent, as it triggers a sense of loss and deprivation among the public.

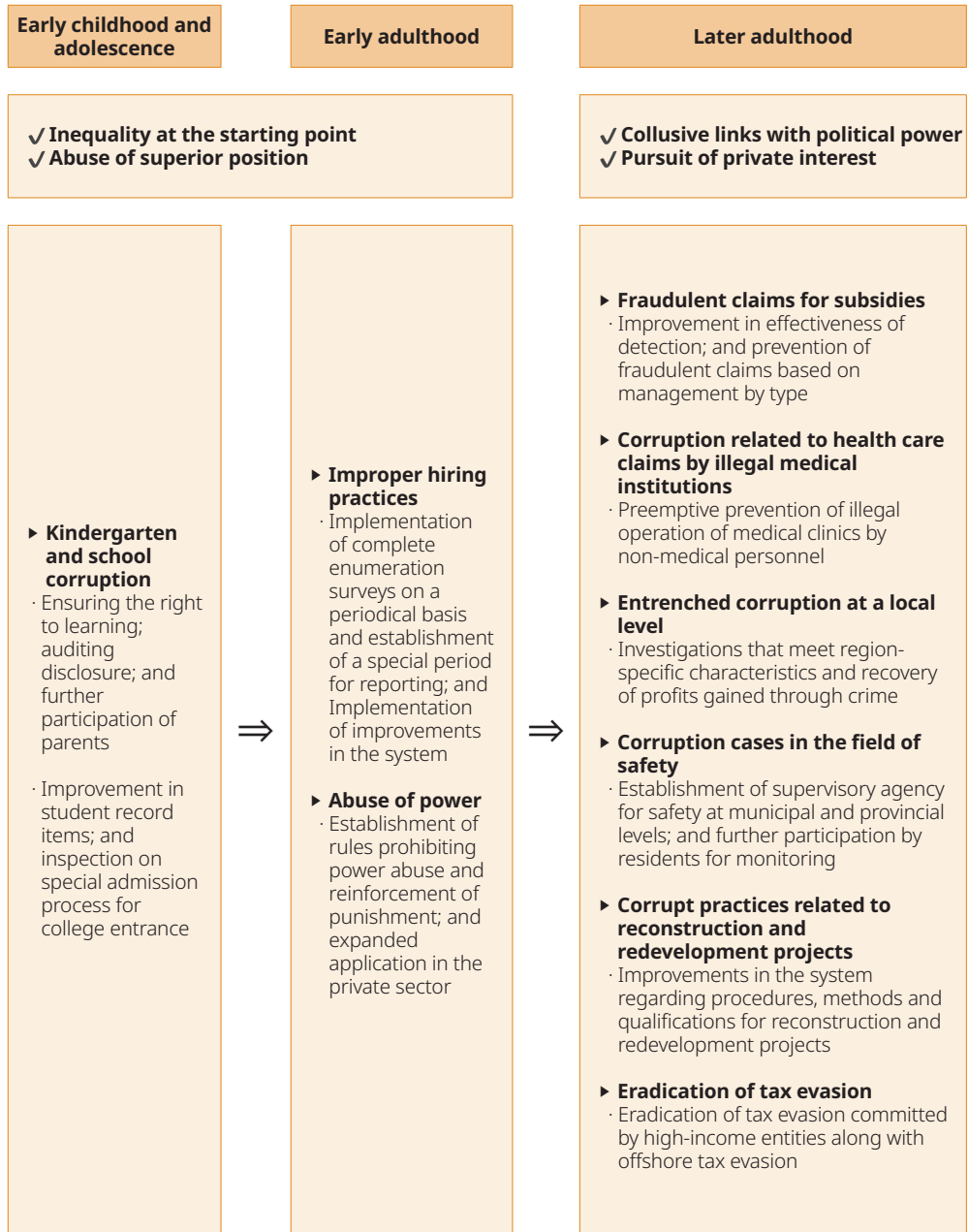
At the 3rd Anti-Corruption Policy Consultation Council, the government set out to implement comprehensive measures to eradicate prevalent corruption encountered in the daily lives of the public, after reporting on the 9 tasks to address everyday corruption and the plan for the operation of a government-wide response system.

Depending on people's life cycle ranging from early childhood and adolescence to early adulthood to later adulthood, everyday corruption can be classified into the three categories of Δ inequality at the starting point Δ abuse of superior position and Δ collusive links with political power and pursuit of private interest. The abovementioned categories involve 9 tasks in total. With an aim to monitor the task implementation status and facilitate cooperation among relevant agencies, the Consultation Council for Eradication of Everyday Corruption is in operation under the lead of the ACRC and with the participation of agencies in charge of addressing the tasks.

At the moment, the 9 tasks to eradicate everyday corruption are being implemented according to the implementation plan of each competent agency. But most of the tasks are closely related to the rights and duties of the people, which require legislative measures including enactment and amendment of laws and regulations.

With each task involving various and complex interests, the task implementation requires further cooperation among agencies along with discussions on measures to address major issues, rather than isolated implementation of competent agencies. The ACRC held the Consultation Council for Eradication of Everyday Corruption on a quarterly basis to monitor the progress and implementation status of each task.

9 tasks related to everyday corruption in each stage of people's life cycle



In 2019, the Consultation Council for Eradication of Everyday Corruption was held 4 times in total, with each session held under different themes, such as tasks with remarkable outcomes, reinforcement of collaboration among agencies, the progress status of major bills, and major achievements of the year and future plans. The ACRC also played a role in revising and implementing the relevant subsidiary statutes - such as enforcement decrees related to the task implementation - as promptly as possible to allow people to actually feel the effects of policy change.

3. Improving Practices Violating the Purpose of the Improper Solicitation and Graft Act

Inspection on Municipal Festivals and Sponsorship for Scholarship Foundations

There were a steady stream of media reports on local municipalities routinely asking for donations and provision of goods in organizing local festivals and running scholarship foundations, as well as inquiries about the authoritative interpretation of the Improper Solicitation and Graft Act regarding sponsorship for public institutions. From September 2018 to May 2019, the ACRC investigated sponsorships provided to 108 provincial and municipal governments for local festivals and scholarship foundations, and conducted on-site inspections for the details. The Commission notified the entire provincial and municipal governments about the measures on July 18 to make sure that sponsorships do not serve as a means for municipalities and public institutions to abuse their power and take bribes, and that public institutions should strictly comply with legal requirements and secure transparency when accepting sponsorships.

Inspection on the Practice of Local Governments Providing Conveniences for Parking

With a series of media reports on the practice where public officials were provided with preferential convenience for parking as a privilege when they visited local governments,

many of the public came to pay attention to the issue. In fact, such provision of preferential convenience despite a lack of parking spaces in many parts of the country amounts to acceptance of money and valuables, etc. under the Improper Solicitation and Graft Act, and causes inconvenience to citizens who visit public agencies for administrative services. Following its investigation from June to August 2019 on the cases where local governments provided preferential convenience for parking to public officials at other institutions, the ACRC notified the entire provincial and municipal governments on September 24 about the measures for improvement that are to be implemented, such as strengthening the internal rules on parking into an ordinance (as a statute), and elimination of general provisions which confer excessive discretion on the head of the local government in determining exceptions.





Chapter 3.

Re-establishing Standards of Conduct for Civil Service with Integrity

1. Achievements and Improvement Plans for the Implementation of the Improper Solicitation and Graft Act

Enacted and implemented on September 28, 2016 based on the public aspirations for a society of integrity, the Improper Solicitation and Graft Act is now changing people's perceptions about solicitations or the act of offering entertainment that have been condoned as a common social practice. In the survey on the awareness of the Improper Solicitation and Graft Act conducted in August 2019, 87.7% of the public, 96.6% of public officials, 97.7% of public service-related institutions, and 92.8% of educational personnel agreed with the implementation of the Act, demonstrating a high level of support for the Act in general in our society. Based on this public support for the Improper Solicitation and Graft Act, the ACRC is focusing its capabilities on creating a credible culture of civil service through stable enforcement of the Act.

(1) Maximization of the Scope of the Application of the Act through Collaboration

In an effort to enhance the effectiveness of the Improper Solicitation and Graft Act, the ACRC has been committed to improving the Act and implementing a wide range of training and education, as well as communicating the main points of the Act to public institutions through internal anti-solicitation officials of each organization. In 2019, the ACRC focused on creating a culture of integrity in the private sector with the Improper Solicitation and Graft Act at the center by educating citizens, who are public service users, and work-related interested parties as well as public officials.

To reach out to people from various walks of life in the private sector, the Commission participated in the Public-Private Consultative Council for Transparent Society, Corporate Ombudsman On-Site Conference and On-Site Conference for Entrepreneurs and Business Owners to provide direct answers to the inquiries from the public. The ACRC also signed an MOU for Eradication of Improper Solicitations on June 3 with 5 public enterprises in close working relationships with the private sector (Korea Railroad Corporation, Korea Electric Power Corporation, etc.) to encourage public institutions to voluntarily work to improve their system and culture, and had face-to-face meetings with work-related personnel, including the construction and project managers, to raise their awareness about violations that are likely to take place in the business process.

(2) Investigation on the Enforcement of the Improper Solicitation and Graft Act in Public Institutions

In an attempt to understand the status of institutional management and enforcement achievements of the Act from the implementation of the Improper Solicitation and Graft Act (September 28, 2016) to the end of June 2019, the ACRC investigated the receipt and handling of the violation reports and the status of education about the Act.

The investigation found a total of 22,645 cases of receipt of violation reports, of which improper solicitations accounted for 4,946 cases (21.8%), acceptance of money or valuables 2,352 cases (10.4%), and external lectures 15,347 cases (67.8%). And for 306 cases, administrative fines, criminal punishments, etc. were imposed.

Receipt and handling of reports on the violation of the Act

Category		2017		2018		2019	Total
		1st half	2nd half	1st half	2nd half	1st half	
Received reports	Improper solicitation	242	193	2,055	1,275	1,181	4,946
	Acceptance of money or other valuables	620	347	547	412	426	2,352
	Outside lectures	3,190	1,007	3,621	591	6,938	15,347
	Subtotal	4,052	1,547	6,223	2,278	8,545	22,645
Penalty		306 cases * Criminal penalty (53 cases) + Administrative fine and disciplinary surcharge (253 cases)					

(3) Implementation of the Awareness Survey on the Effectiveness of the Enforcement of the Improper Solicitation and Graft Act

The awareness survey on the Improper Solicitation and Graft Act published by Hankook Research in August 2019 (conducted of 3,029 people - 1,000 citizens, 500 public officials, 300 executives and employees at public service-related institutions, 401 teachers and school staff at primary and secondary schools and colleges, 202 executives and employees at media companies, and 622 people in the affected occupations) suggests that changes in the perceptions and behaviors of major actors show improvements in social perceptions and practices in general with the enforcement of the Improper Solicitation and Graft Act.

A majority of respondents said that the implementation of the Act has positive effects on our society (87.7% of citizens; 96.6% of public officials), and that they have come to perceive routinely offered gifts, entertainment and favors as 'inappropriate acts' after the Act's implementation.

Awareness survey result (August 2019, Hankook Research)

- Percentage of respondents who said that the Act's implementation has positive effects on our society

Survey period	Citizens	Public officials	Public service-related institutions	Journalists	Teachers and school staff
Aug. '19	87.7	96.6	97.7	79.2	92.8
Sep. '18	87.5	95.0	96.0	81.0	91.9

- Percentage of respondents who said that they have come to perceive routinely offered entertainment and favors as inappropriate acts

Survey period	Citizens	Public officials	Public service-related institutions	Journalists	Teachers and school staff
Aug. '19	79.5	87.2	87.3	78.7	83.5
Sep. '18	64.5	72.8	78.2	82.0	83.3

(4) Facilitation of Training and Education for Public Institutions for Strict Enforcement of the Act

With the implementation of the Improper Solicitation and Graft Act, the ACRC has been hosting workshops and meetings for internal anti-solicitation officials who are in charge of consultation and report-handling in public institutions, so that it can help improve the understanding of public officials, etc. subject to the Act about the provisions and reinforce the capability of each public institution to implement relevant programs.

At the workshops for all institutions, the ACRC provided training in a way that caters to the need of each agency: explanations on the main points of the Act; case studies and interpretation of major precedents along with Q&A sessions; and precautions for protecting reporters, report-handling cases and investigation methods.

(5) Establishment of the Guides for Interpreting the Act and Enhancement of the Rate of the Authoritative Interpretation on the Act

With the public paying close attention to the Improper Solicitation and Graft Act, there have been a steady stream of requests for authoritative interpretation on the Act. As of December 2019, the number of inquiries received by the ACRC is nearly 21,800, counted from August 2016, when inquiries of authoritative interpretation on the Act started in earnest.

The ACRC appointed the 3rd Advisory Group for the Interpretation of the Improper Solicitation and Graft Act, which is comprised of experts in many different fields, to provide clear answers to the interpretation requests from the public. First launched in March 2017, the Advisory Group was organized for the third time in 2019, whose number of members dramatically increased from 34 to 51, and is participated in by experts from various sectors - including female members - in the fields of law, business, education, journalism, civic advocacy, information and communications and labor relations.

To promptly respond to the requests for authoritative interpretation, the Group provided consultations on demand. For the cases with a sharp conflict of interest, varying interpretative opinions, or newly emerging issues, the Advisory Group had 10 sessions of meetings for in-depth discussions on the interpretation, and provided consultations for a total of 126 cases and thereby establishing specific guides for the Act's interpretation.

With an aim to improve the authoritative interpretation capability of each public institution, the ACRC published the Revised Explanatory Guide and Manuals, which serves as the basis for law enforcement, and communicated guidelines based on the latest cases in the format of major ruling casebooks, authoritative interpretation casebooks in English and best practice casebooks. The Commission also simplified the reporting system to improve the process of authoritative interpretation, further enhancing the response rate for authoritative interpretation from 95.8% in December 2018 to 99.7% in December 2019.

2. Strengthening the Code of Conduct for Public Officials and the Initiative for the Enactment of the Act on Prevention of Conflict of Interest in Activities of Public Officials

(1) Strengthening of the Code of Conduct for Public Officials

The Code of Conduct for Public Officials stipulates the standards of behavior that public officials should comply with to ensure fair conduct of public affairs and prevent corruption. It works both as a code of ethics declaring the values to be pursued and as a code of practice stating detailed standards and procedures to be observed by all members of the organization.

The Code of Conduct for Public Officials, enacted as a presidential decree, is applied to both state and local public officials; the Code of Conduct for Local Assembly Members is applied to local assembly members; the Code of Conduct, established as a regulation of other constitutional institutions, namely, the National Assembly, Supreme Court, Constitutional Court and National Election Commission, is applied to public officials of those institutions; while the Code of Conduct for Executive Officers and Employees of Organizations Related to Public Service, enacted as an internal regulation of such organizations in accordance with Article 3-2 of the Public Service Ethics Act, is applied to all employees of organizations related to public service.

The ACRC amended the Code of Conduct for Public Officials in December 2018 to fight abuse of power in the public sector and inappropriate practices where supervisory agencies make unreasonable requests to the entities under their supervision to provide special treatment and/or preferential services that go beyond usual expectations related to business trips, events and training. The Commission also worked to create a culture of public service free of unfair practices by providing support for enactment and/or amendment of the Code of Conduct in each agency to help them establish the newly introduced standards of

behavior, and by stepping up training efforts to improve the understanding of public officials about the expected behavior.

The ACRC amended the Code of Conduct for Local Council Members, which was implemented in March 2019, to ensure their fair and transparent conduct of affairs and enhance public trust in the system of local autonomy, as part of the efforts to introduce new standards of behavior reflecting characteristics of their status and duties as local council members to prevent conflict of interest and prohibit power abuse as well as improper solicitations made to private actors.

(2) The Initiative for the Enactment of the Act on Prevention of Conflict of Interest in Activities of Public Officials

The ACRC is committed to enacting the Act on Prevention of Conflict of Interest of Public Officials to effectively prevent and control potential situations of conflict of interest that public officials might face in the process of performing their jobs. After proposing the legislative bill of the Act in July 2019, the Commission collected a wide range of opinions through various channels, including opinion requests made to relevant agencies, regulatory reviews and other government legislation reviews. The government proposal for the Act was submitted to the National Assembly in January 2020, after getting through the Vice Ministerial meeting and Cabinet meeting.

The Act on Prevention of Conflict of Interest of Public Officials stipulates specific standards of behaviors to be complied with by public officials working for central government agencies and local governments as well as executives and employees at public service-related institutions in the process of performing their duties. In cases where public officials – those in charge of permit and license, approval, inspection and examination, budgeting and funding, investigation and judgment, hiring and promotion, and auditing - come to realize that they have a conflict of interest with their duties, they are required to report to the head of the agency they belong to and make a recusal request within 5 days from the date when

they became aware of the fact, so that they can be excluded from the task in question. Public officials are also required to report to the head of the agency they belong to in the cases where they themselves, and their spouses engage in monetary, securities or real estate transactions with work-related personnel, to prevent illegitimate transactions between them. The Act also contains provisions to prevent situations in the first place where public officials are faced with conflict of interest by prohibiting them from engaging in external activities that can undermine the fair conduct of their duties, such as getting paid for personally providing advice and/or consultation to work-related personnel.

The Act on Prevention of Conflict of Interest of Public Officials also bans public officials from using the goods, vehicles, land and facilities of public institutions for private use. They are also strictly prohibited from using - or letting third-parties use - secret information obtained while performing their work duties for private gains. The Act requires high-ranking officials – public officials at the vice-minister level or higher, members of the National Assembly, and heads of local governments and public service-related institutions – to submit their work experience in the private sector for 3 years prior to their appointment or inauguration, applying much stricter standards for conflict of interest than other public officials.



Chapter 4.

Support for Public Institutions to Enhance Integrity

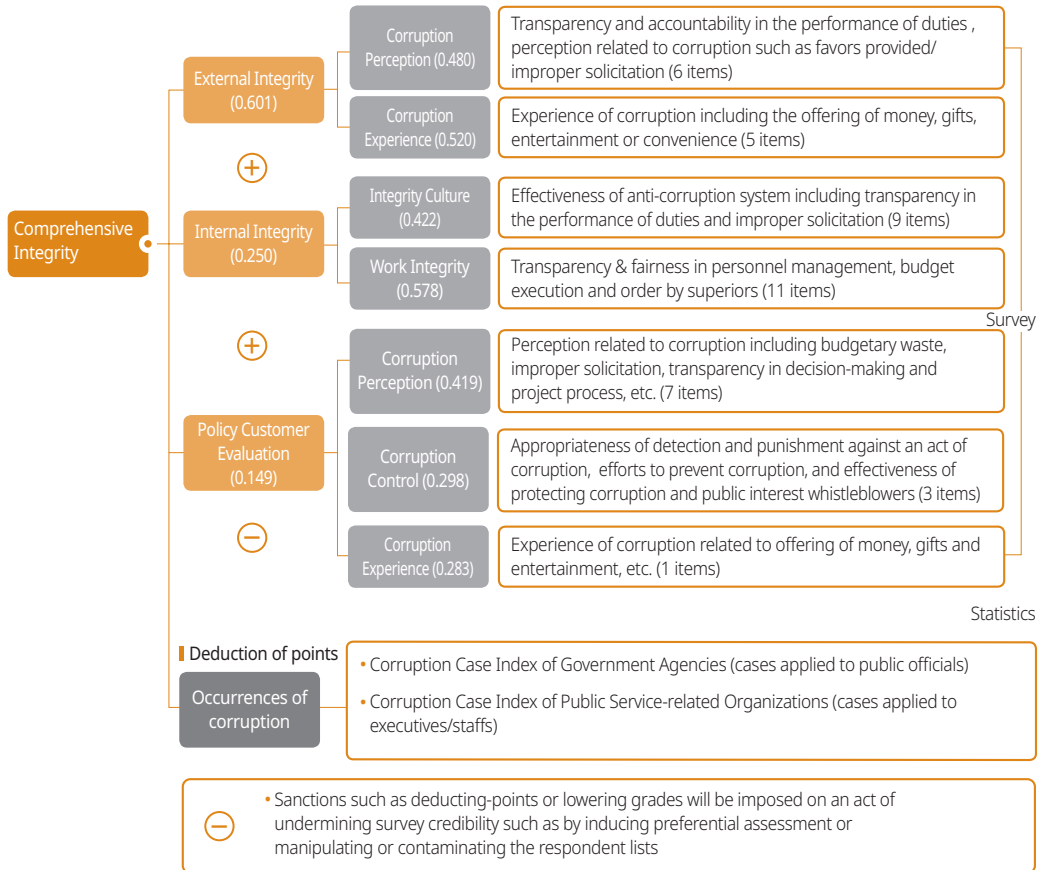
1. Integrity Assessment for Public Institutions

The ACRC has been assessing the integrity level of public institutions every year since 2002, with an aim to help them make voluntary efforts for anti-corruption and transparency by assessing their level of integrity and corruption-prone areas, and providing and disclosing the assessment results.

The level of public institutions' integrity is estimated in the form of "Comprehensive Integrity," based on the results of surveys responded by the public who experienced the administrative services of public institutions (external integrity), employees of the institutions (internal integrity), and experts and work-related personnel (policy customer evaluation), and on the occurrences of corruption cases in the institutions, which then were interpreted as numeric points and deducted from the overall score.

A separate model is used to assess the integrity level of public institutions with functions that are different from other regular public institutions, such as public health institutions, national and public universities, and local councils. The integrity level is calculated in the form of institutional grades (1st ~ 5th grades) and scores (a 10-point scale), and the grades with smaller numbers and points in higher numbers represent a higher integrity level.

Public institutions' Integrity Assessment model (2019)

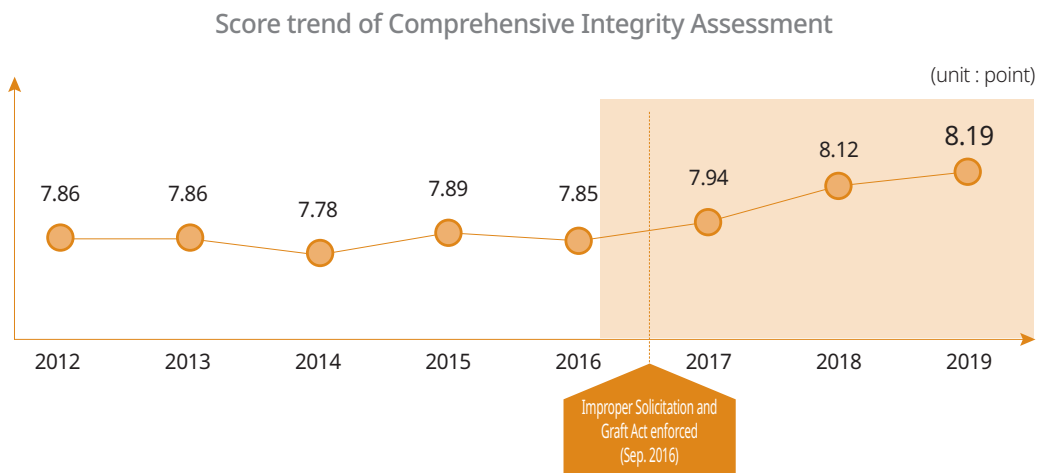


In 2019, the integrity assessment was conducted for 732 public institutions, including central and local government agencies, Offices of Education (District Offices of Education included), public service-related institutions, public and national universities and public health institutions.

In the 2019 assessment, the way the occurrence of corruption cases is deducted from the overall integrity score was improved to better reflect the reality. In the previous assessments, the points were deducted equally regardless of when the corruption cases took place, but

starting from the 2019 assessment, different weights were given to each case depending on the point of occurrence.

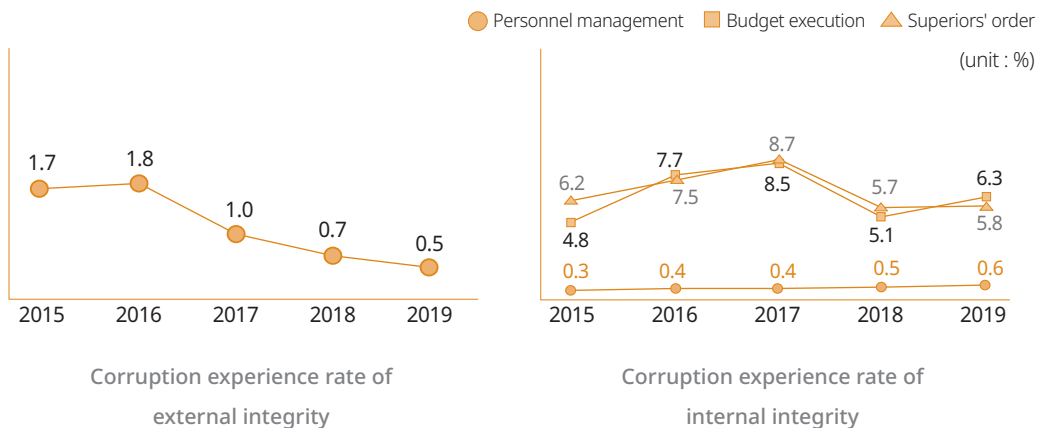
Announced on December 7th, the average comprehensive integrity score of 609 public institutions was 8.19 points on a 10-point scale, a 0.07 point increase from the previous year. The average score continued to slightly fluctuated until 2016, but increased for three consecutive years.



Assessed by the public who experienced administrative services of public institutions, external integrity increased 0.12 points from the previous year. However, there was a decline in internal integrity assessed by public officials themselves and policy customer evaluation assessed by experts and work-related personnel. The decrease in internal integrity suggests the existence of factors within the work process of the institution in question that are susceptible to corruption, which requires improvement. At the same time, it seems to be attributable to a recent trend where public officials have become stricter on the customary practices that were not considered inappropriate in the past, as there has been a greater emphasis on anti-corruption and fairness these days.

Since the implementation of the Improper Solicitation and Graft Act since September 2016, there has been a steady decline in the percentage of the general public who are exposed to corruption in their experience of administrative services delivered by public institutions. In 2017, 1.0% of the citizen respondents who said they had corruption experiences of offering money or valuables, entertainment and/or conveniences while dealing with public institutions. The number decreased to 0.7% in 2018, and further declined to 0.5% in 2019. However, the percentage of public officials who said they had corruption experiences in the internal work process slightly increased compared to 2018 to 0.6%, 6.3% and 5.8% for HR issues, budget execution and work instructions, respectively.

Changes in the corruption experience rate related to external/internal integrity



2. Anti-Corruption Initiative Assessment (AIA) for Public Institutions

In an attempt to encourage enhanced integrity in the public sector by evaluating and supporting voluntary anti-corruption efforts by public institutions, the ACRC has conducted anti-corruption initiative assessments of public institutions since 2002.

The AIA score is calculated by reviewing the achievements reported by each institution based on written evaluations and on-site examinations by external and internal experts to determine and announce the integrity level (grade 1 to 5) of target institutions by type.

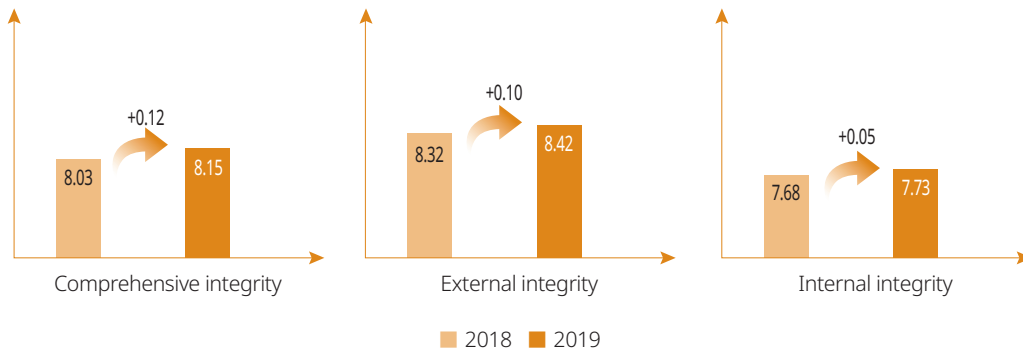
The 2019 AIA was conducted for 270 public institutions, including central government agencies, local governments, and public service-related institutions over a certain size. The institutions with low scores in the Integrity Assessment of the previous year were newly included for the AIA assessment, whereas those with high scores were excluded to strengthen the link between the integrity assessment and AIA.

Corresponding to the procedures of integrity policy enforcement, the AIA was conducted for three phases of planning, implementation, and achievement and wider adoption. The assessment scores were deducted for the non-implementation of anti-corruption measures. The establishment of anti-corruption plans was assessed for the category of planning. For implementation, the assessment was conducted on whether the institution worked to create an ecosystem for integrity and secure effectiveness in controlling corruption. The efforts for wider adoption of achievements in transparent administration and management was the third assessment category, and scores were deducted for the way anti-corruption programs were operated.

The 2019 AIA result found that the institutions which established and actively implemented anti-corruption measures in a systematic and effective way experienced an improvement of 0.12 points in the Integrity Assessment, which is 0.05 points higher than the average increase of 0.07 points for the entire institutions assessed.

It suggests that the aggressive efforts made by each institution to fight corruption positively affected the increase in their Integrity Assessment scores. What is notable is that there was an increase in the Integrity Assessment scores of the institutions which experienced an improvement in the AIA, while the average Integrity Assessment score of the entire institutions assessed by public officials declined. This may be because the aggressive implementation of measures for transparency led to a positive change in the perceptions of public officials about the integrity level of those institutions.

Integrity score increase of institutions whose AIA grade improved



3. Support for Integrity Consulting for Institutions Vulnerable to Corruption

Integrity consulting is a program provided by the ACRC for public institutions with a relatively low level of integrity or for those in need of improving anti-corruption capabilities, aiming to analyze their problems and causes and come up with solutions that suit the needs of each institution. The ACRC is committed to enhancing the overall integrity level of public institutions by helping institutions with low integrity improve through integrity consulting and spreading those successes to other institutions.

Integrity consulting has been implemented since 2006 as part of the efforts to provide better consulting for public institutions, as reported at the 7th Anti-Corruption Consultative Council of Relevant Agencies held on March 17, 2006. It is provided for all types of public institutions, including central government agencies, local governments, municipal and provincial offices of education and public service-related institutions.

Since 2019, the ACRC has started to use integrity consulting as a policy tool to spread the Commission's anti-corruption measures, not just as a supportive measure for institutions with a low level of integrity. The ACRC provided collaborative consulting for low-integrity local

government agencies within cities and provinces along with metropolitan government agencies. The Commission also established networks to fight entrenched corruption at a local level by laying the foundation to use those institutions provided with integrity consulting as a channel for gathering opinions and identifying factors for corruption. In June 2019, the ACRC implemented FGIs (Focus Group Interviews) to discuss the areas vulnerable to corruption with those in charge of subsidies, contracts, HR tasks and public relations at local government agencies.

Out of the 24 institutions which received integrity consulting services, most institutions experienced an increase in their integrity levels. The 24 institutions autonomously established and implemented plans according to the consulting recommendations, and showed an average improvement rate of 5.1 %, which is 4.2%p higher than the average improvement rate of 0.9% for all institutions. The comprehensive integrity scores of 17 out of the 24 institutions increased from the previous year, while those of 5 institutions stayed the same and 2 institutions decreased.





Chapter 5.

Improvement of Laws and Systems for Effective Prevention of Corruption

1. Overview of the Corruption Risk Assessment (CRA)

The Corruption Risk Assessment is a system which prevents acts of corruption through the analysis and evaluation of corruption-causing factors in laws and other types of regulations. The system was introduced through a revision of the Anti-Corruption Act on December 29, 2005. The assessment is conducted mainly on new or recently amended bills, current laws and subordinate statutes, local government ordinances, and bylaws of public service-related institutions. Once an assessment has been completed, countermeasures for improvement are recommended to the pertinent institutions. It was first introduced by the amendment of the ACRC Act on December 29, 2005.

2. Performance of the CRA

CRA Cases Involving New or Amended Bills

In 2019, 1,644 draft or revision bills were assessed for the possibility of corruption. Within these bills, 335 corruption-causing factors were identified in 113 statutes, and revisions of the concerned provisions were recommended to the institutions in question.

Statistics of new & amended bills assessed in 2019

Total number of bills assessed	Agreement on the original bill	Recommendation for improvement
1,644 (100%)	1,531 (93.1%)	113 (6.9%) with 335 recommendations

Strengthening the Effectiveness of the CRA

In an effort to strengthen the effectiveness of the CRA, the ACRC conducted follow-up investigations on a sustained basis on whether the institutions that were recommended to improve the enacted/amended laws and regulations actually implemented the recommendations. The ACRC conducted an inspection with a focus on unfulfilled tasks in the 2018 inspection in the first half of 2019, where the implementation rate was 87.3%. The Commission continued to check on and encouraged the implementation of recommendations by conducting on-site investigations on institutions with low rates of implementation, along with performance assessments of institutions on the implementation of recommendations for improvement in connection with the AIA, and thereby strengthening the effectiveness of the CRA.

Strengthening the Internal CRA Capabilities of Public Service-related Institutions

On November 15, 2019, the ACRC provided CRA consulting for 61 relevant persons from 28 public service-related institutions at Korea Rail Network Authority office. Detailed explanations on the method, standards and procedures of assessment for the enacted/amended bylaws as well as assessment cases were provided, and advisory members and personnel in charge of the CRA also participated in Q&As, discussions and information sharing. The relevant personnel at public service-related institutions were highly interested in the session, since the ACRC can conduct direct assessments and make recommendations for improvement if necessary, starting from October 2019 - as is the case with local laws and regulations - with the amendment of the ACRC Act.

3. CRA Cases Involving Current Laws and Regulations

In addition to assessing enacted/amended laws and regulations to prevent factors for corruption at the legislative phase, the ACRC is eligible to analyze and review factors for corruption that exist in current laws and regulations and make recommendations for



improvement to the competent agencies.

In 2019, the ACRC pursued improvements of the system, with a focus on laws and regulations as well as bylaws which have profound effects on the daily lives of many people.

Improving the Effectiveness of the Assessments on Tower Crane Inspection Agencies

In March 2019, the ACRC sought to improve the effectiveness of the system for assessing tower crane inspection agencies. There were no well-established provisions to prevent conflict of interest for the members of the assessment council, who are eligible to assess poor inspections of the agents and force them out of business, which provides much room for corruption such as illegal lobbying of inspection agents. The ACRC recommended that the Enforcement Decree of the Construction Machinery Management Act be amended to establish provisions to prevent conflict of interest for the private members of the assessment council, including the standards for exclusion/avoidance/recusal, causes of disqualification, and limits on term and reappointment.

Improving Transparency in Supporting and Managing Municipal/Provincial Athletic Associations

In August 2019, the ACRC worked on improving the transparency of the system for supporting and managing municipal/provincial athletic associations. There is no adequate and specific basis for subsidizing operating costs including personnel expenses for athletic associations. The budget for promoting sports was allocated and subsidized as a routine process, and a series of corruption cases took place, which had to do with inappropriate hiring of staff, poor management of donations, and other cases of misappropriation and illegitimate execution of subsidies. The ACRC recommended that the scope and standards for budget support be clarified through enactment/amendment of ordinances; that control measures be put in place, such as imposing a ban on the use of the subsidy other than the

original purpose, and requiring the use of dedicated cards; and that provisions be established for competitive employment of staff and restrictions on the purpose of using the subsidies.

Improving Operational Transparency of Financial Institutions for Lower-Income People, Including Regional Cooperatives of Nonghyup and Suhyup Bank

In November 2019, the ACRC came up with measures to improve transparency in operating financial institutions for lower-income people, such as regional cooperatives of Nonghyup and Suhyup Bank. There have been frequent occurrences of corrupt practices, including misappropriation of public funds committed by executives and/or employees of the member cooperatives, malfeasance and acceptance of bribes, and illegal elections taking advantage of false registration of residence and false documents. Some cooperative presidents revised the bylaw to receive 500 billion won under the pretext of a special reward for their services, indicating the extent of serious moral hazard. The ACRC recommended that the preferential grant of monetary rewards for cooperative presidents be limited; that disqualified people be excluded from joining the cooperative; and that measures be established to improve fairness in operating the HR Recommendation Committee of the National Agricultural Cooperative Federation.



Chapter 6.

Anti-Corruption and Integrity Education for Raising Integrity Awareness

1. Realization of Substantiality through Customized Integrity Education for Target Institutions

(1) Operation of Face-to-face Integrity Training Courses

As the only institute dedicated to anti-corruption and integrity education in Korea, the Anti-Corruption Training Institute (ACTI) has been implementing integrity education for public officials, with the demand for integrity education increasing more than ever since public officials are legally required to complete the education starting from 2018.

To keep pace with the changes in the policy environment, the ACTI established the following four key strategies: ① further reinforcement of integrity education for public officials; ② systematic implementation of customized education for target institutions; ③ training of integrity education instructors; ④ and the spread of a culture of integrity across the general public.

Based on the demand survey, the ACTI implemented integrity education for public institutions and theme-based group training for 19,694 people (16 courses, 128 sessions, as of December 31, 2019).

2019 curriculum for face-to-face integrity training courses

Field in detail	Course name
Integrity education for institutions (3 courses)	▶ On-demand integrity education for institutions integrity capability (public officials) ▶ Integrity education for institution members visiting the Training Institute ▶ Course for integrity improvement
Customized training for mandatory integrity education (6 courses)	▶ Course for improvement in integrity leadership (high-ranking public officials, school principals) ▶ Course for improvement in integrity capability for newcomers (public officials/public service-related institutions) ▶ Course for improvement in integrity capability for public officials promoted ▶ Course for improvement in corruption response capacity (employees of public institutions in corruption risk area) ▶ Course for public officials in charge of audit and integrity (public institutions)
Instructor training and education for teachers (4 courses)	▶ Basic course for anti-corruption instructor training (Basic • Professional • Lecture demonstration) ▶ Job training course for integrity education DREAM teachers
Others (4 courses)	▶ Course for reinforcing integrity capability(public officials/general public) ▶ Course for accurate understanding about the Improper Solicitation and Graft Act (public officials) ▶ Course to understand Ombudsmanship (employees in charge of complaint handling at public institutions) ▶ Course to communicate ACRC works (ACRC employees)

As part of efforts to spread a culture of integrity among public officials, the ACTI selected a wide range of public institutions including central government agencies, and conducted on-demand integrity education for institutions, in which 16,259 public officials participated (44 sessions, as of December 31, 2019).

With the launch of a variety of courses including one for high-ranking public officials following the implementation of mandatory anti-corruption and integrity education, 4,741 high-ranking public officials received integrity education this year. A large number of high-ranking officials – those at the vice-minister level or higher – participated in on-demand integrity education for institutions involving their entire personnel, demonstrating a high commitment to transparency, which has greatly contributed to the spread of a culture of integrity.

High-ranking officials who participated in the education in 2019

▶ Constitutional institutions	Chief Justice of the Supreme Court; Minister of National Court Administration; Chief of Incheon District Court
▶ Central government agencies	Minister of Land, Infrastructure and Transport; Chairman of the Financial Services Commission; Administrator of the Korea Meteorological Administration; Director of Korea Centers for Disease Control & Prevention Center; President of Chonnam National University
▶ Local governments	Mayor of Busan Metropolitan City; Mayor of Ulsan Metropolitan City; Mayor of Sejong Metropolitan Autonomous City
▶ Local educational autonomous agencies	Superintendent of Education of North Chungcheong Province; Superintendent of Education of North Gyeongsang Province; Superintendent of Education of Daejeon Metropolitan City; Superintendent of Education of Incheon Metropolitan City; Superintendent of Education of South Gyeongsang Province; Superintendent of Education of South Jeolla Province
▶ Public service-related institutions	CEO of Korea Rural Community Corporation; CEO of Seoul Housing & Communities Corporation

In addition, the ACRC dramatically expanded the anti-corruption training courses for local council members that were piloted in 2018 to help establish a transparent image of local councils trusted by local residents, and implemented the courses for 17 local councils in Seoul Metropolitan City, North Chungcheong Province, Pohang City, etc. Among the 17 local councils which participated in the training courses, the Seoul Metropolitan Council became the first local council to sign the Anti-Corruption and Transparency Pact with the ACRC on April 30, with an aim to fight corruption in local councils and create a culture of anti-corruption and transparency. What is noteworthy is that the 6 local councils which completed the training courses and whose integrity levels were assessed in 2019 (Seoul Metropolitan City, North Chungcheong Province, Cheonan City, Jeonju City, Pohang City, Gwanak District of Seoul) all experienced an increase in their level of integrity compared to the previous year.

Anti-corruption training courses for local councils in 2019

▶ Metropolitan and provincial councils	North Chungcheong Province (November 25); Seoul Metropolitan City (December 12)
▶ Municipal and district councils	Gimpo City, Anyang City (March 5); Cheonan City (March 12); Yeongju City, Bonghwa County (April 9); Jeonju City (April 23); Gunpo City, Jung District of Incheon (May 22); Gwanak District of Seoul (June 4); Hongcheon County, Geumjeong District of Busan (June 28); Gyeongsan City (July 15-16); Yeongdeungpo District of Seoul (August 5); Pohang City (September 2); Yangcheon District of Seoul (November 13)

The ACRC also conducted a customized course for integrity enhancement for the Korea Meteorological Administration and Bonghwa County Office in connection with integrity consulting and integrity education, based on the analysis of the integrity assessment for those institutions. For two days from May 9, the Commission delivered an integrity leadership course for high-ranking officials at the Korea Meteorological Administration (KMA), which was the first case to provide such course for a central government agency, and most high-ranking officials including the Administrator of the KMA participated in the integrity education.

The ACRC is operating courses to train integrity education instructors to meet the ever growing demand for integrity education, as anti-corruption training has become a requirement for public officials. The Commission trained 420 basic integrity education instructors who are capable of providing integrity education at each institution, as well as 92 professional instructors who passed the professional training course for integrity education. 8 elective instructors were also trained and recognized by the Deliberation Committee on the Operation of Integrity Education Instructor.

In April, the ACRC revised the Rules on the Operation of and Support for Integrity Education Instructors to reorganize the instructor training system from a three-phase to a five-phase course, and reinforced instructor expertise by increasing the number of refresher training sessions from once every two years to once a year. In July, the Commission introduced a talent donation program for the first time to support small sized public institutions in face-to-

face integrity education and to provide opportunity to public interest reporters or new instructors to deliver integrity lectures. After the launch of the program, the instructors who donate their talents gave around 2.8 times more lectures than three months ago, when the program was not put in place yet.

The ACRC newly introduced customized courses for different types of personnel, including the course for those in charge of auditing and anti-corruption tasks, the course on understanding ombudsman-ship for those dealing with civil complaints, and the course on communication for people's rights and interests targeting the ACRC employees. The Commission also overhauled the course to improve the capability for corruption response into a participatory training course, which it submitted to the training course development section of the 2019 Public Human Resource Development Competition supervised by the Ministry of Personnel Management. Participated in by every training institute in the public sector, the Competition received a total of 22 proposals and the ACTI was awarded with the Prize of the Minister of Personnel Management, or the equivalent to the joint second prize.

As part of the official development assistance (ODA) projects to provide support for improving anti-corruption capabilities of developing countries, the ACRC held the 7th Integrity Training Course for Anti-Corruption Practitioners for 16 public officials from 15 countries, including Egypt, the Republic of South Africa and Armenia, for 10 days starting from May 13. The Commission also held customized training courses on anti-corruption policy for the delegations of Iraq's Commission of Integrity and the Anti-Corruption Commission of Myanmar – the entities which signed an MOU with the ACRC on cooperation for anti-corruption in June and September, respectively - and conducted policy training for 148 public officials from a total of 25 countries.

(2) Operation of the Online Anti-Corruption Training Courses

The ACTI runs the Online Anti-Corruption Training Courses through its Online Education Center (<http://acti.nhi.go.kr>), so that more public officials can receive integrity education

online in a convenient way. In the 12-year period since the establishment of the ACRC (2008 - 2019), approximately 960,000 public officials completed online courses.

The Online Anti-Corruption Training Courses provide a wide range of programs, using 10 types of curricula developed by the ACRC and content on civil service ethics and integrity developed by other institutions.

The number of officials taking online training courses has been increasing every year since 2008. In the case of the courses directly operated by the ACTI – excluding courses operated by each public institution – 177,132 public officials received online training in 2019, or twice the number in 2014.

(3) Content Development for Integrity Education

With a recent increase in attention to and demand for integrity education, many public institutions are in need of various content that can be used for integrity education conducted within the institutions. The ACTI gathered opinions from the members of ACRC advisory committee and those in charge of integrity education in public institutions to produce and distribute various forms of content that can be immediately used when conducting integrity education.

In recognition that fighting corruption and establishing a culture of integrity across our society desperately requires changes in the perceptions of every single citizen as well as the efforts in the public sector, the ACRC started in 2019 to develop customized content for the general public from all walks of life, going beyond content development primarily targeting public officials.

Content for integrity education was produced in the following three categories: △ education content for the public; △ education content for future generations; and △ education content for public officials.



First of all, in the category of education content for the public, the ACRC produced 2 integrity courses (Stories of integrity in the humanities; and Integrity in daily lives) in the format of MOOC (Massive Open Online Course), which is widely used today in universities and lifelong learning institutes, and posted for operation on K-MOOC (Korean MOOC) and GSEEK (Lifelong learning institute of Gyeonggi Province) - the two major MOOC operators in Korea.

The Commission also produced 4 different types of short education content with effective delivery in the format of micro learning titled 'Cheongsajin (meaning 'blueprint' in Korean; A transparent future with integrity),' which it posted on YouTube and other social media platforms as well as on the website of the ACTI.

In the category of education content for future generations, the ACRC developed an educational game called 'The Jewel of Faith' to help cultivate young minds who will function as citizens with integrity in the future. A professional game development company was involved in the process for developing this content to improve the fun and durability of the game. The Commission also organized an advisory group for content development consisting of 10 incumbent teachers to make sure that the game is applied to actual education.

With a theme of a medieval fantasy to stimulate curiosity of students, the game allows them to play the role of a king, guardian of the jewel and strategist of each kingdom to trade jewels symbolizing fairness, responsibility, commitment, moderation, honesty and consideration. The players are reminded of the values related to integrity and are put in dilemma situations where they have to distinguish fair trades from unfair ones based on their own attitudes towards integrity.

In the category of education for public officials, the ACRC developed and distributed the 'Standard Lecture Notes: Case Studies on Corruption and Public-Interest Reporting' to provide support for integrity instructors and those in charge of training at each institution, so that front-line public officials can have better understanding about a wide range of actual

cases and programs related to corruption and public interest reporting.

The Commission also developed the 'Integrity Leadership Course for Millennials,' a new participatory training course of the Anti-Corruption Training Institute, which will be implemented from 2020. The leadership course applies the gamification technique to integrity education at each stage of the career path as public officials to allow the trainees to actively participate in the course, instead of passively receiving what is delivered in the program.

Lastly, the ACRC has been developing new online courses every year to meet the growing demand for integrity education since September 2016, when public officials were required to complete integrity education. In 2019, the Commission added a course entitled 'Improving Judgment Skills Related to Integrity' to the existing curricula on elective integrity education for public officials.

2. Operation of Anti-Corruption Outreach Programs to Spread a Culture of Integrity

(1) Operation of Participatory Integrity Education for the General Public

To fundamentally address problems arising from corruption, a culture of integrity has to be established in our society, which raises the need to expand integrity education to cover the general public ranging from teenagers to adults as well as public officials, so that we can have future citizens with integrity and a sense of responsibility.

To this end, the ACTI stepped up its efforts to connect and communicate with the public about the value of integrity.

First of all, the Institute continued to distribute educational content on social media to keep pace with the latest trends and held a broadcast lecture that can be readily accessible for the



public. The Institute organized a special lecture with a theme of integrity, on a lecture show platform called 'Time to change the world, 15 minutes (abbreviated as Sebas)', which is gaining rapid popularity in Korea with an increase in the number of social media users.

Conducted at KT Chamber Hall located in Mokdong on June 20 under the theme of 'Integrity to change the world,' the lecture was provided by 5 panelists including a public interest reporter, lawyer and psychologist for an audience of approximately 420, delivering the thoughts and experiences of each panelist regarding the values of integrity, fairness and justice.

The video of the lecture was distributed via a range of media platforms including YouTube, Facebook and CBS-TV, with the number of views estimated at as many as 2.6 million, as of the end of December 2019.

The ACRC also implemented a participatory program for integrity experience targeting senior elementary school and middle school students, such as building stories and debating on integrity. The program for integrity experience was participated in by 1,205 students from 10 schools.

For 12th graders, the Commission organized a camp for a culture of integrity. Participated in by 1,395 students from 8 schools, the camp was designed to teach the value of integrity while having an enjoyable experience, consisting of a range of programs such as the Golden Bell Quiz, special history lectures, traditional performance shows and raps on integrity.

In 2019, the ACRC established a course on anti-corruption and integrity aligned with the official curricula of colleges to help college students have better understanding about anti-corruption laws and systems and raise their awareness of integrity issues. The anti-corruption and integrity course was taken by a total of 725 students at Pusan National University, Seoul National University and Chungbuk National University.

The Commission also implemented an integrity course for the general public. Consisting of

an integrity concert, special history lectures with the theme of integrity and a talk show on the Improper Solicitation and Graft Act, the course was provided 6 times for a total of 1,180 citizens including the Citizen Inspector General for South Chungcheong Province, the members of the Association for Regional Prosperity of Taebaek City, and those who participated in local integrity festivals.

(2) Operation of the Public Contest for Integrity Content

The project of the public contest for integrity content is aimed at raising the public awareness about transparency in our society by selecting and publicizing outstanding content which reflects the heightened interest of Koreans in this issue, with the implementation of the Improper Solicitation and Graft Act.

In 2019, the contest categories were expanded to further encourage participation of the public, by adding a new category for raps to the existing ones for stories and memoirs, and changing the category for short movies to documentaries. Educational content for new categories and areas were also added.

Many people from all walks of life - public officials, office workers, college students, housewives, teenagers, and soldiers - participated in the contest, to which a total of 1,066 pieces of stories, memoirs, story-telling videos, documentaries and raps were submitte

Contest categories and prize details

Category	Story·Memoir	Story-telling video	Documentary	Rap	Total
Number of works for each category	·Public officials 747 ·General 159	·Individuals 25 ·Teams 26	·Individuals 6 ·Teams 23	·Individuals 54 ·Teams 26	-
Number of submitted works	906	51	29	80	1,066
Number of awarded works	16	12	11	11	50
Prize awarded	5.30 million won	8.80 million won	22 million won	11 million won	47.10 million won





Part 03

**Systematic Handling of Corruption
and Public Interest Reports, and
Protection of Whistleblowers**



Chapter 1.

Promotion of Reforms in Our Society by Handling Reporting Cases

1. Operation of the System for Reporting Corruption and Public Interest Violations

The corruption reporting system was established to protect people's basic rights and interests, ensure appropriateness of public administration, and establish a social environment with integrity by preventing power abuse or violations of the law on the part of public officials, thereby efficiently regulating the corrupt acts specified in the ACRC Act. The system was introduced under the former Anti-Corruption Act enacted on July 24, 2001 and enforced on January 25, 2002.

The public interest reporting system is a framework to establish a transparent society. It is an efficient measure to eradicate chronic corruption in our society by preventing and controlling acts of violating public interests in the private sector, such as those undermining public health and safety, the environment, consumer interests, fair competition and the equivalent public interest. The system started to be implemented on the basis of the enactment of the Protection of Public Interest Reporters Act on September 30, 2011.

A report received at the corruption/public interest violation report center is assigned to the department in charge of handling the reported cases and goes through examination and check by inspectors, review by commissioner in charge, and then deliberation by the ACRC's internal committee. When the case is recognized to be in need of an inspection according to the Board of Audit and Inspection Act, the case is referred to the Board of Audit and Inspection; when the case involves criminal charges or raises the need for criminal

investigations, it is referred to the investigative authorities; and other cases are referred to the supervisory institution of the public agency in question.

The investigative agency to which the report is referred should finish an audit, investigation or inspection, and notify the result to the ACRC within 10 days. The ACRC shall inform the reporter of the result summary upon being notified of the investigation or inspection result, and shall report it to the internal committee. In addition, in cases where the audit, investigation or inspection by the investigative authorities is deemed inadequate, re-inspection may be requested to the investigative authorities based on rational reasons such as the submission of new evidentiary materials.

(1) Statistics of Corruption Reports Received and Resolved

Total 142,993 cases of counseling and guidance regarding corruption have been provided. While the number moves slightly up and down every year, it shows overall trend of increasing.

Counseling & Guidance Services by Year

(Unit: case, %)

Mode of use	Total		'02~ '08	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
		%												
Total	142,993	100	40,157	6,742	5,597	5,275	6,406	10,727	9,596	9,728	11,104	10,884	12,312	14,465
Phone call	118,475	82.9	28,779	5,129	5,063	4,689	5,714	9,943	8,287	8,577	9,719	10,014	11,082	11,479
Internet	14,365	10.0	5,461	1,364	396	361	325	400	812	742	1,001	485	676	2,342
Visitation	10,153	7.1	5,917	249	138	225	367	384	497	409	384	385	554	644

* The number of counseling and guidance services offered through fax, mail, and in-person meeting is included in the number of the "visitation" category.

From January 25, 2002, when the former Korea Independent Commission against Corruption was launched, to the end of December 2019, a total of 61,346 reports were submitted, with 301 reports received per month on average.

Number of Reports Received Annually

(Unit: case)

Category	Total	'02~'08	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
No. of cases	61,346	13,781	2,693	3,099	2,529	2,527	3,735	4,510	3,885	3,758	4,066	7,328	9,435
Monthly average	301	163	224	258	211	211	311	376	324	313	339	610	786

From January 25, 2002 to the end of December 2019, a total of 61,346 reports were received and 60,274 out of them were resolved.

Status of reports handled

(Unit: case)

Category	Total	Referral	Notification of violation of code of conduct	Forwarding to public institutions	Closed
Report handling	60,274	2,833	954	10,847	45,640

The number of referral cases was total 2,833 and as of December 2019, the rate of confirmation of suspicion out of 2,407 cases except for 426 cases on which investigation and inspection were underway was 74.0%.

Result notification by investigative agencies

(Unit: case, %)

Total	Notification of investigation result			Under investigation	Confirmation rate (②/①)
	Sub-total ①	Corruption confirmed ②	Clear from suspicion		
2,833	2,407	1,782	625	426	74.0

Among those referral cases, suspicion of corruption was confirmed in total 1,782 cases, as a result of inspection. Consequently, 4,452 people were prosecuted; 2,029 were disciplined; and 820.3 billion won was found out to be subject to collection or recovery as a result of confirmation of acts of corruption.

Results of cases referred to investigative agencies

Result by individual (no. of persons)				Institutional warning (no. of cases)	Others (no. of cases)	Amount to be collected or recovered (mil. won)
Total	Prosecution	Discipline	Accusation/ dismissal from office			
6,587	4,452	2,029	106	219	531	820,268

* The number does not include 426 cases under investigation

(2) Statistics of Public Interest Reports Received and Resolved

Between the original implementation of the Public Interest Whistleblower Protection Act and the end of December 2019, a total of 33,452 reports were submitted to the ACRC. Public health violations, including production of harmful food products and sales of unlicensed medical products, were the most common type of report with 12,697 cases (38.0%), followed by public safety violations, including faulty construction and non-establishment of fire-fighting facilities, with 5,433 cases (16.2%).

Status of reports received by type

(Unit: case, %)

Year	Total	Health	Safety	Environment	Consumer Interest	Fair competition	Equivalent public interest	Others
Total	33,452	12,697	5,433	2,976	2,024	748	11	9,563
2011~2015	19,233	9,267	3,004	1,839	874	267	-	3,982
2016	2,611	937	377	232	149	69	-	847
2017	2,521	543	524	191	190	121	-	952
2018	3,923	821	706	179	202	161	1	1,853
2019	5,164	1,129	822	535	609	130	10	1,929

Out of the 33,452 cases received as public interest reports, 33,092 cases have been resolved since the implementation of the act, with 17,711 referred or forwarded to investigative organizations.

Status of reports handled

(Unit: case)

Year	Type of handling			
	Total	Referred	Forwarded	Closed
Total	33,092	1,032	16,679	15,381
2011~2015	19,177	443	11,860	6,874
2016	2,560	79	1,155	1,326
2017	2,238	85	534	1,619
2018	3,952	37	943	2,972
2019	5,165	388	2,187	2,590

As for the result of public interest violation cases, 7,421 cases out of 17,711 cases referred or forwarded since the implementation of the act were confirmed of the suspicion, resulting prosecution/accusation for 1,874 cases, imposition of fine for 130 cases, and penalty surcharge/administrative fines for 1,923 cases.

Result of cases referred & forwarded

(Unit : case, KRW mil.)

Cases received	Result of handling			Result of cases referred and forwarded					Result of investigation					
	Total (A+B)	Referral/forward (A)	Closure (B)	Result notified				Under investigation by others	Prosecution	Accusation	Fine	Additional charge	Administrative fine	Others
				Total (D=F+G)	Suspicion confirmed (F)	Rate of confirmation (F/D)	Suspicion unconfirmed (G)							
33,452	33,092	17,711	15,381	15,535	7,421	47.8%	8,114	2,176	881	993	130 (645)	898 (13,916)	1,025 (1,751)	3,771

(3) Reinforcement of Protection of Corruption and Public Interest Reporters

Improvement of the Protection Program for Corruption Reporters

The enforcement of the amended ACRC Act on October 17, 2019 greatly reinforced the level of protections for corruption reporters. The range of protections provided for reporters was expanded to include those who have testified about a corrupt act at a court or the National Assembly or who have filed a report or complaint about a corrupt act to an investigative

agency. Punishment was reinforced for those who violate the duty to protect corruption reporters. The amended act provided a legal ground for criminal punishment towards those who have forced withdrawal of corruption reporting or interrupted corruption reporting. The Act also introduced the charge for compelling compliance, recommendation for reconciliation, and relief fund for corruption reporters, enhancing the level of protections for corruption reporters to what is provided for public interest reporters.

The amendment of the ACRC Act on December 10, 2019, which will take effect on June 11, 2020, substantially strengthened the level of punishment for those who violate the duty to protect corruption reporters. The amended act imposes stricter punishment on those who have let others know the corruption reporter's personal information or facts that suggest he/she is a corruption reporter without the reporter's consent, or those who have published such information or exposed it to the media without consent. The penalty was reinforced to imprisonment with labor for not more than five years or a fine not exceeding 50 million won, from imprisonment with labor for not more than three years or a fine not exceeding 30 million won. The level of punishment for those who do not comply with a request to temporarily suspend the process of disadvantageous measure taken against the whistleblower without a legitimate reason was also strengthened to imprisonment with labor for not more than one year or a fine not exceeding 10 million won, from imprisonment with labor for not more than six months or a fine not exceeding 5 million won before.

Promotion of Improvement in the Protection Program for Public Interest Reporters

The laws subject to public interest reporting are enlisted in the attached table of the Act on the Protection of Public Interest Reporters. The number of the laws subject to public interest reporting was 180 at the time of the enactment of the Act and it increased to 284 after going through multiple amendments. However, it has been pointed out that the Act has loopholes in protecting reporters because it fails to include all statutes related to acts of violating public interest, which led the ACRC to conduct a complete enumeration study on all of the current laws through a commissioned policy research agency from March to July 2019. After

preliminary consultation with the competent government agencies on the amendment of the Act, the Commission made the prior announcement of legislation from November to December 2019. In 2020, the ACRC will submit to the National Assembly the amended bill for the Protection of Public Interest Reporters Act that would greatly increase the number of laws subject to public interest reporting.

2. Operation of the Center for Reporting Welfare and Subsidy Fraud

The government discussed the need to establish government-wide measures to fight corruption that causes losses of public funds and eradicate fraudulent claims in the field of welfare. The Joint Government Report Center for Welfare Fraud was established within the ACRC on October 15, 2013 for comprehensive management on fraudulent claims handled by different government agencies and on-site inspection at any time. In December 2014, it was decided to create a unified system for reporting and monitoring fraudulent claims of subsidies by integrating the fragmented system under the competency of the ACRC, based on the Comprehensive Measures against Fraudulent Claims of Government Subsidies. On January 6, 2015, the Joint Government Report Center for Welfare Fraud was reorganized into the Center for Reporting Welfare and Subsidy Fraud, which is entitled to handle the reports on subsidy fraud as well as welfare fraud.

Targets for report are the fraudulent receipt of any public services or goods related to government policy, project, or budget (including wages, subsidies and support funds, support for human resources, and material resources).

The reports on fraudulent claims for government subsidies are handled through the same process with that of handling corruption reporting cases. However, collaboration between relevant agencies is critical to effectively detecting and punishing the fraudulent claims for subsidies, since eligibility standards and requirements for benefits and/or subsidies become more technical, complex and varied, and the techniques for fraudulent claims are increasingly becoming more covert and clever. Therefore, the Report Center is sharing

information and investigative personnel with relevant agencies from the investigation phase to verify facts.

Since the launch of the Center for Reporting Public Subsidy Fraud, 6,314 cases of fraudulent receipt of public subsidy have been reported. Among these reports, 6,131 cases (97.1%) were handled and concluded, with 1,951 cases (31.8%) referred to investigative or supervisory institutions.

Status of reports received and handled

(Unit: case)

Year	Reports received	Reports handled			
		Sub-total	Referred	Forwarded	Closed
Total	6,314	6,131	1,248	703	4,180
2019	1,536	1,526	321	225	980
2018	1,466	1,446	265	225	956
2017	927	862	168	66	628
2016	1,032	1,020	192	22	806
2015	896	901	197	60	644
2014	802	766	103	78	585
2013	145	101	1	21	79

Of the cases referred, investigation of 1,505 cases was completed, with 1,165 cases confirmed as fraudulent receipts of public subsidies. Accordingly, the recoverable or collectible amount was decided to be 121.3 billion won.

Status of reports referred and forwarded

(Unit: case)

Referred and forwarded	Completed (Result notification)			Under investigation
		Confirmed of suspicion	Clear from suspicion	
1,951	1,505 (100%) (121.3 billion to be recovered)	1,165 (77.4%)	340 (22.6%)	446



Chapter 2.

Effective Protection and Reward for Whistleblowers

1. Protection of Corruption and Public Interest Whistleblowers

The corruption and public interest reporting system is a policy to prevent corruption in the public sector and acts of violating public interest in the private sector, based on people's awareness of the need for their voluntary reporting. The system of protecting those reporters was created to encourage anyone to report about corruption and violation of public interest with a peace of mind, by making sure that those who make reports are protected. The corruption reporter protection system has been in operation since 2002, when the former Korea Independent Commission against Corruption was launched as part of the former Anti-Corruption Act. The public interest reporter protection system has been enforced since 2011 when the Protection of Public Interest Whistleblowers Act was enacted. The Act was amended several times afterwards.

(1) Corruption Reporter Protection System

The subject of corruption report includes the acts of corruption defined in Article 2, subparagraph 4 of the ACRC Act as well as acts of violating the code of conduct for public officials, which are specified in Article 8 of the Act. Reporting should be performed in the form of document submission with affixation of name, along with clarification of the subject of the report and evidence of the acts of corruption. If a reporter faces disadvantageous actions due to such reporting, he/she is entitled to protection. A reporter is not entitled to protection however, if he/she knew or could have known that content of the report was false.

The system of protecting corruption reporters largely includes guarantee of confidentiality that prohibits disclosing of or alluding to the identity of a corruption reporter without the reporter's consent; guarantee of position and other economic and administrative rights that are granted to reporters subjected to disadvantageous measures in their position such as getting disciplined or employment disadvantages or discrimination in working conditions from the institution they work for because of corruption reporting, making statements, or document submission pursuant to law; and protection of personal safety. In addition, if a reporter's criminal involvement is revealed as a result of his/her reporting, culpability of the reporter can be mitigated or exempted.

(2) Public Interest Reporter Protection System

Acts of public interest violation subject to reporting are defined as acts that undermines public health, safety, the environment, consumer interests and fair competition, and other type of public interest, which are subject to criminal punishment or administrative disposition such as cancellation of license or permission or injunction, etc., according to 284 applicable laws specified in the Protection of Public Interest Whistleblowers Act. Anyone who had reported occurrence of an act of violating public interest or concern of such occurrence to public interest reporting institutions including the ACRC in the form of document with relevant evidence and has faced disadvantages because of the reporting is entitled to protection. However, if the reporter did the reporting with knowing the fact that the content of the report was false or performed the reporting for a dishonest purpose, the reporter is not entitled to protection.

Protective measures for public interest reporters largely include protection of confidentiality to prohibit the disclosure of a reporter's identity or media coverage about him/her without the reporter's consent, protection of the reporter from disadvantages taking place due to public interest reporting or recovery from damages that have already been caused, as well as protection of personal safety.

(3) Performance of Protecting Corruption Reporters

Between the 2008 launch of the ACRC and the end of December 2019, a total of 356 and annual average of 30 requests for protection were received by reporters and cooperators.

Requests for protective measures for corruption reporters or cooperators (Unit: case)

Category	Total	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
Total	356	20	14	13	11	27	27	25	23	5	17	51	123
Guarantee of position	260	18	12	9	11	19	20	16	20	5	14	33	83
Protection for physical safety	26	2	2	3	-	2	4	3	3	-	1	-	6
Identity Disclosure	55	-	-	1	-	6	3	6	-	-	2	15	22
Disadvantages	15	-	-	-	-	-	-	-	-	-	-	3	12

The ACRC received 260 requests for guarantee of position, 230 of which were handled, and 71 accepted. Of the 26 requests for protection for physical safety, measures were taken in 22 cases. Of 55 requests for the confirmation of details regarding identity disclosures, the ACRC made requests of disciplinary actions or filed criminal accusations against related persons in 14 cases.

(4) Performance of Public Interest Violation Reporters

From the date of initial enforcement of the act through December 2019, a total of 329 requests for whistleblower protection were received, including 171 requests for protective measures and 75 requests for the confirmation of identity disclosure details. The ACRC handled 291 of them, 103 of which were accepted.

Public interest whistleblower protection requests handled

(Unit: case)

Year	Total	Protective measures, etc. (accepted)						Rejected	Dismissed	Withdrawn	Under investigation
		Subtotal	Protective measures	Physical Protection	Confirmation of details on identity disclosures	Prohibition of disadvantageous measures	Mitigation of culpability				
Total	329	103	41	26	17	3	16	66	25	97	38
2011	6	2	2	-	-	-	-	2	-	2	-
2012	9	3	1	1	-	-	1	2	1	3	-
2013	19	5	4	1	-	-	-	6	2	6	-
2014	14	7	1	2	3	1	-	4	-	3	-
2015	12	3	2	-	1	-	-	4	-	5	-
2016	20	7	5	1	1	-	-	6	-	7	-
2017	28	12	7	1	1	-	3	10	-	6	-
2018	53	22	6	7	2	1	6	10	5	16	-
2019	168	42	13	13	9	1	6	22	17	49	38

(5) Cases of Protection of Corruption and Public Interest Reporters

☆ *Decision on protective measure: protective action for the whistleblower who reported on animal euthanasia*

A whistleblower requested a protective action when faced with disadvantages of work suspension and a ban on access to the animal shelter after reporting an animal advocacy group that euthanized abandoned animals under its protection without a legitimate reason. The ACRC decided that the disadvantages imposed on the reporter was due to the reporting and demanded the group that it permit the reporter's access to the shelter and cancel the work suspension.

☆ *Request for physical protection: protective action for personal safety of the whistleblower who reported on fraudulent claims for government subsidies*

A whistleblower requested a protective action for personal safety out of concern over revenge from other employees of the company he/she worked for, after reporting on the company's fraudulent claim for government subsidies aimed at providing support for workers enrolled in educational institutions. The ACRC recognized the need for such protection and registered the reporter for the 112 emergency personal protection to the relevant police station, where police officers are immediately sent to ensure the reporter's safety when he/she calls 112 for help, and took action to step up police patrol in the places near from the reporter's workplace.

☆ *Confirmation of details on identity disclosures: confirmation on the personal information disclosure of the whistleblower who reported on drugs*

A whistleblower made a proxy report through a lawyer on the suspicion of purchase and use of drugs. After the reporting, daily newspapers published articles in which the name of the reporter was disclosed, revealing the identity of the reporter. The ACRC accused the journalist and newspaper companies that failed to fulfill their duty of caution and supervision of violation of confidentiality, and called for caution and demanded that measures be established to prevent the recurrence of such incident.

2. Compensation for Corruption and Public Interest Reporters

The reward and award system for reporters is to provide financial compensation to reporters whose reporting about corruption or violation of public interest contributed to promotion of public interest or directly led to recovery of or increase in revenues or decrease in public expenses. The system is playing an effective function in eradicating corruption and preventing violation of public interest, which can encourage people's voluntary participation in corruption and public interest reporting by rewarding individuals' acts of courage done for public interest despite diverse risks.

(1) Awards

When whistleblowing greatly contributes to public interest, the reporter may be recommended by a public institution or by the ACRC for an award, according to the Awards and Decorations Act. If the reporter fulfills specific criteria for the payment, he/she can be paid with a maximum of 200 million won in monetary award. Since its establishment in 2008 until 2019, the Commission paid nearly 845 million won in total for 93 cases in monetary awards for corruption reporting. As for public interest reporting, nearly 332 million won was paid in total for 42 cases until 2019 from 2016, when the program started to be implemented.

(2) Rewards

Unlike awards, a reward is paid to the whistleblower at his/her own request, in cases where the report leads to a direct recovery of the public institution's income. The maximum amount of rewards is 3 billion won. Since its establishment in 2008 until 2019, the Commission paid nearly 17.282 billion won in total for 775 cases in reward for corruption reporting. As for public interest reporting, nearly 8.361 billion won was paid in total for 6,193 cases until 2019 from 2011, when the program started to be implemented.

Annual payment of rewards

(Unit: KRW 1,000)

Year	Corruption reporters			Public interest violation reporters		
	Cases	Benefits incurred *	Rewards paid	Cases	Benefits incurred*	Rewards paid
Total	757	200,063,756	16,954,222	6,193	113,482,406	8,361,857
2009	20	5,811,771	642,146	-	-	-
2010	23	4,505,568	603,641	-	-	-
2011	12	18,834,014	1,499,401	-	-	-
2012	40	11,131,730	1,400,444	32	147,860	28,475
2013	37	8,393,380	951,210	319	1,230,929	227,708
2014	30	6,878,647	619,347	657	2,239,585	397,340

2015	29	28,770,531	1,426,658	511	1,988,446	379,997
2016	90	23,997,537	2,275,033	2,476	8,344,742	1,603,578
2017	113	26,539,641	2,108,374	1,710	11,198,923	1,976,511
2018	166	36,836,590	3,114,994	277	66,077,269	2,213,658
2019	197	28,364,346	2,312,974	211	22,254,652	1,534,593

* Benefit incurred: the value of the recovered or increased revenues of the State or local governments

(3) Relief Fund

The reporter can be paid with relief fund for the costs incurred to themselves and those who helped them, including cost for physical and mental treatments, moving costs, litigation expenses, wages lost during the period of disadvantage caused by the act of reporting. The Commission paid nearly 25 million won in total for 17 cases in relief fund for public interest reporting until 2019 from 2011, when the program started to be implemented.

(4) Major Cases

☆ *Reporting a fraudulent claim for medical care expenses*

A whistleblower made a report that an unqualified person was operating a hospital. The reporting brought 5.26 billion won in recovered income for the local government, and the reporter was paid with 503 million won in reward.

☆ *Reporting a research entity misappropriating the fund for research commissioned by the government*

A whistleblower reported that a research entity misappropriated the research fund by submitting false tax invoices while performing the government project. The reporting led to 570 million won in recovered income, and the reporter was paid with 120 million won in reward.

☆ *Submission of fraudulent cost reports by a defense contractor*

A whistleblower reported that a defense contractor submitted fraudulent cost reports. The act of reporting greatly contributed to public interest by preventing losses in public finances, and the reporter was paid with 30 million won in monetary award.

☆ *Corruption at National Police Hospital*

A whistleblower reported embezzlement of doctors at National Police Hospital by falsely inflating the quantity of implant materials. The reporting greatly contributed to public interest by leading to the criminal punishment for the persons involved and improving the prescription system of the hospital, and the reporter was paid with 10 million won in monetary award.



Chapter 3.

Preparation for Enactment and Enforcement of the Act on Prohibition of False Claims for Public Funds and Recovery of Illicit Profits

With a series of fraudulent claims for public funds and an increase in the government's obligatory spending on the welfare budget, the ACRC has pushed forward with the enactment of a general law on the recovery of and sanctions on fraudulent claims for public funds since 2014.

In the complete enumeration survey conducted by the ACRC in April 2018 on 1,446 laws, 913 were found to have a legal ground for support from public finances (3,379 provisions). Among them, 138 had a provision for recovery in the case of fraudulent double claims, and only 21 had similar provisions such as additional sanctions imposed as a financial penalty, on top of the recovery of the falsely claimed funds.

Since 2014, the ACRC has pushed forward with the enactment of a general law on the recovery of and sanctions on fraudulent claims for public funds. On April 16, 2018, the Act on Prohibition of False Claims for Public Funds and Recovery of Illicit Profits was enacted and was to be implemented on January 1, 2020.

1. Main Content

The Public Funds Recovery Act stipulates that relevant public institutions recover the entire amount of the unfair gains and interests from the following four types of fraudulent claims: ① unqualified or ② excessive claims for public finance payments such as subsidies, rewards and contributions; ③ use of the funds for any purpose other than the specified purpose or use; and ④ erroneous payment of the funds. In the case of unqualified and excessive claims for, as well as the misuse of public funds, the Act states that additional sanctions of up to five

times that of the recovered amount be imposed on top of the recovery of gains.

In addition, the Act stipulates that the competent administrative agency disclose the list of those who make fraudulent claims in large amount or on a habitual basis, and allows the ACRC to check and inspect the implementation status of the recovery of illicit gains and imposition of additional sanctions. The Act provides thorough protective measures for whistleblowers to make sure that they do not face any disadvantages as a result of the act of reporting, and that their personal safety is guaranteed. It also specifies rewards for whistleblowers to facilitate reporting on fraudulent claims for public funds.

2. Public Relations and Briefing to Public Institutions

The ACRC produced a promotional video about the implementation of the Public Funds Recovery Act, which was posted on a bill board inside Seoul Station and more than 16,000 bill boards and monitors owned by government agencies and public institutions based on the ACRC's request for media cooperation.

The Commission also produced news articles on the implementation of the Act and posted them on the 'LAW' page of the search portal  **NAVER** on November 20, November 27 and December 4, so that the general public can have easy access to the content. A video of the Act's major content was produced and posted on  SBS News' account on YouTube. The ACRC produced and aired radio advertisements on SBS and TBS Radio, and publicized the Act on large display monitors at bus stops in Gwanghwamun, Seoul.

For public institutions that are subject to the Public Funds Recovery Act, educational videos were produced and distributed in November 2019, and promotional posters and leaflets about the implementation of the Act were delivered in December 2019. At the beginning of the Anti-Corruption Week in the same month, regional briefing sessions on the Act were held in Seoul, Gwangju, Daegu, Wonju and Sejong before the Act's implementation, where 581 agencies subject to the Act and 900 relevant staff members were provided with explanations on the major content of the Act.



Chapter 4.

Operation of System to Restrict Employment of Former Public Officials Dismissed for Corruption Charges

Public officials who have rightly resigned, or have been dismissed or removed from office for corrupt acts in connection with their duties, shall be prohibited from getting employment at public institutions or for-profit companies closely related to the department or institution to which the public official belonged for five years before he or she resigns, for five years after the date of resignation. Since its introduction into the Anti-Corruption Act in 2001, the Restriction on Employment of Public Officials Dismissed for Corruption has expanded the scope of subject individuals and institutions of application, according to the revision of the applicable act in March 2016.

The ACRC identifies violators employed by the restricted institutions through the conducting of regular inspections on the employment status of public officials who have been dismissed for corruption and ascertaining whether regulations applied to the employed have been violated.

Over the past five years (2014~2018), a total of 1,621 public officials were dismissed for corruption.

By type of corruption, the number of receipt of money, entertainment, or other valuables was the highest at 1,051; followed by 296 for embezzlement of public funds; 75 for abuse of authority or dereliction of duty; and 36 for document forgery or counterfeiting. 163 were dismissed for other reasons, including inappropriate handling of the task and violation of statutes related to budget and finances.

Breakdown of the reasons for dismissal of public officials

(Unit : persons)

Type of corruption	Total	2014	2015	2016	2017	2018
Total	1,621	390	320	312	308	291
Receipt of money, entertainment	1,051	272	223	206	191	159
Embezzlement or misappropriation of public funds	296	79	69	52	51	45
Abuse of authority or dereliction of duty	75	15	6	24	15	15
Document forgery or counterfeiting	36	8	8	5	3	12
Others	163	16	14	25	48	60

The ACRC conducted an inspection on the employment of former public officials dismissed for corruption. The Commission detected 29 and 24 violators of the employment restriction provision in the inspections conducted in the second half of 2018 and the first half of 2019, respectively, some of whom were hired by entities that had been closely related to their public duties before their dismissal.

In the first half of 2018, the number of such violators was 12, which nearly doubled in the latest inspections. This is attributable to the amendment of the ACRC Act in September 2016, which expanded the scope of institutions that are subject to employment restrictions on former public officials. Out of violators of the employment restriction provision, the number of those who were hired by entities related to their former public duties was 2 in 2015, 3 in 2016, 11 in 2017, 31 in 2018, and 15 in the first half of 2019.

In the inspection conducted in the first half of 2019, the ACRC reviewed the data on other income – a category for consulting fees paid to former public officials - the first time provided by the National Tax Service. Thereby the Commission detected 4 people who violated the employment restriction provision by applying the extended scope of employment to the former public officials who retired on September 30, 2016 and later and are subject to the

restriction provision. For 11 former public officials who were found to have been illegally employed, the ACRC requested that the relevant public agency take accusatory measures. For 5 of them who were employed at that time, the Commission demanded an additional measure for dismissal or revocation of their employment.



Chapter 5.

Innovation of Anti-Corruption Tasks by Advancing National Integrity Information System

In the process of public institutions receiving and handling reports in accordance with the Protection of Public Interest Reporters Act and the Improper Solicitation and Graft Act, most of them provided only limited on-line features such as reporting and inquiry responses or accepted reports only off-line. This caused inconveniences to people filing a report or submitting an application to such institutions because they had to make in-person visits or submit materials via mail.

In addition, despite the importance of information feedback to efficiently handle anti-corruption tasks, those tasks were operated both on-line and off-line so it was difficult to do comprehensive search of information due to an overlap. The sharing and feedback of information for corruption prevention was not well established, which made it even more difficult for the personnel in charge to perform their duties in an efficient way.

In 2017, the ACRC started to push forward with reorganizing the comprehensive information system for corruption prevention (BPR/ISP) to allow the public to use relevant services with more ease and convenience while enhancing work efficiency of the personnel in charge at public institutions. Starting from 2018, the Commission has been working to establish the system in stages.

Progress of establishment of the National Integrity Information System

Schedule	Stage	Plan
May Oct. 2017	BPR/ISP	Reorganization of tasks and establishment of the digitization strategy plan
June 2018 - Jan. 2019	Stage-1	Establishment of the system to handle ACRC's anti-corruption tasks
June 2019 - Feb. 2020	Stage-2	Establishment of the system to handle public institutions' anti-corruption tasks
Mar. - Dec. 2020	Stage-3	Establishment of the system to share and analyze information on anti-corruption



Part
04

Protecting People's Rights through
Field-Centered Resolution of Civil
Complaints



Chapter 1.

Handling of Civil Complaints

1. Overview

Definition

The term “complaint” means any complaint on any illegal, unjustifiable or passive action of an administrative agency, etc. (including an actual act and omission) or unreasonable administrative system which violates a citizen's right or causes inconvenience or burden to a citizen (including complaints and grievances of soldiers on service and those who perform their mandatory service related to military). – Article 2 of Subparagraph 1 of the Anti-Corruption and Civil Rights of the Anti-Corruption and Civil Rights of the ACRC Act

Corrective Recommendations and Expression of Opinions Regarding Illegal and Unfair Administrative Measures

If the ACRC finds substantial grounds to acknowledge that measures taken by administrative agencies are illegal and unfair, it makes corrective recommendations to the concerned administrative agencies. If the ACRC finds substantial grounds to the arguments of the petitioners, it expresses opinions.

Improvement Recommendations and Expression of Opinions Regarding Irrational Legislation and Institutions

If areas for improvement of relevant laws, systems or policies are identified as a result of

investigation of a civil complaint, the ACRC recommends reasonable improvements or expresses its opinions to the head of the concerned agency.

Complaint Mediation and Settlement between the Petitioner and Respondent from the Perspective of a Third Party

The ACRC serves as an arbitrator and mediator, a way of alternative mediation resolution (ADR), between petitioners and administrative agencies to work toward amicable agreement and settle public conflicts.

Cooperation, Support and Education of Ombudsman of Korea (Local Ombudsman)

As the national ombudsman, the ACRC provides the civil complaint handling body of local governments with support so that the body can function as a local ombudsman.

Comprehensive Evaluation of Civil Complaint Service of Local Governments and Other Administrative Agencies

The ACRC, together with the Ministry of the Interior and Safety, conducts an annual comprehensive evaluation of civil complaint service provided by local governments, education offices, public institutions, etc. to improve their complaint handling capacity and public satisfaction.

2. Major Activities

In 2019, the ACRC delivered 633 corrective recommendations and opinion expressions, which is a 41.3% rise from the previous year. The Commission enhanced the effectiveness of its recommendation by building a new regulation exempting an administrative agency from auditing when it engages in active administration by taking a follow-up measure according to the Commission's recommendations and opinions.

The ACRC identified and resolved collective complaints involving a total of 45,000



complainants. It is also pushing for a legislation so called "Act on Mediation of Collective Complaints" that will enable the Commission to systematically handle collective complaints. The ACRC fundamentally addressed the cause of complaints with policy and institutional improvement measures created after analyzing common complaints raised in eight areas. It held 12 corporate grievance meetings, 12 meetings with vendors in the traditional markets and 101 rounds of the on-site outreach program.

Characteristics of the ACRC's complaint handling

- ▶ To serve as the national ombudsman of South Korea
- ▶ To make the final deliberation on complaints on behalf of the government
- ▶ To indirectly oversee the Administration with corrective recommendations and expressed opinions
- ▶ To provide customer service on the government's policy and administration
- ▶ To deliver prompt, convenient and flexible complaint handling experience from a third party perspective



Chapter 2.

Status of Complaints Handled

1. Receiving and Handling Civil Complaints

The number of civil complaints received by the ACRC over the past three years has soared by 110%.

Comparison of major indicators over recent years

Category	2017	2018	2019	YoY Change
Case received	26,533	30,712	56,186	82.9%
Case processed	26,623 (16,149)*	29,609 (14,094)*	42,031 (17,947)*	60.3% (27.3%)
Acceptance rate	25.2%	24.7%	20.7%	-4.0pp
Average processing time	18.8 days	19.8 days	23.0 days	3.2 days
Satisfaction	78.5	76.7	75.9	-0.8

* (Parentheses) is the number of similar / repeating complaints processed and joined.

When examining complaints by the result of case handling, the number of guidance reply has decreased while those of corrective recommendation, opinion expression, guidance after deliberation and dismissal have increased in the last three years.

Result of complaints handled

Year	Total	Complaints								Other complaints
		Subtotal	Corrective recommendation	Opinion expression	Mediation agreement	Guidance after deliberation / dismissal	Rejection	Transfer/ referral	Guidance reply (completion)	
2019	17,947	11,855	317	316	1,819	2,907	812	1,756	3,928	6,092
2018	14,094	9,769	210	238	1,965	1,115	555	89	5,597	4,325
2017	16,149	10,263	174	211	2,201	696	456	85	6,440	5,886

When breaking down the cases by field, collective complaints regarding new towns in urban area and housing fields particularly escalated in 2019.

Complaints received by fields

No.	Field	2017	2018	2019	No.	Field	2017	2018	2019
1	Urban area	1,675	1,609	11,019	14	Industrial resource	1,138	450	581
2	Police	1,154	795	1,919	15	Construction	429	1,115	382
3	Health & welfare	613	932	730	16	National defense	822	887	1,605
4	Taxation	1,277	1,295	1,028	17	Environment	407	309	284
5	Roads	949	938	923	18	Water resources	219	149	154
6	Housing	1,168	546	10,999	19	Education	201	542	396
7	Civil & judicial affairs	179	478	295	20	Military	90	90	78
8	Labor	437	630	501	21	Personnel administration	217	417	384
9	Patriots & veteran's affairs	456	306	348	22	Culture & tourism	138	190	147
10	Finance	547	503	591	23	Broadcasting & communications	82	196	148
11	Traffic	525	474	548	24	Maritime & fisheries	70	68	12
12	Agriculture and forestry	652	380	375	25	Foreign affairs & unification	8	23	24
13	Administration & safety	710	1,210	1,326	26	Others	12,370	16,180	21,392

In 2019, the ACRC made 670 decisions in regards to the number of public institutions resulting 330 corrective recommendations and 340 opinion expressions. Among them, 95 (14.2%) complaints were in the category of finance and taxation followed by 89 (13.3%) in housing and construction, 88 (13.1%) in urban area and water resources, and 84 (12.5%) in

industries, agriculture and forestry, and environment.

The ACRC delivered corrective recommendation and opinion expression on 3,002 complaints over the past five years, among which 2,632 suggestions (87.7%) were accepted.

Although the decision delivered by the Commission is not legally binding, it encourages entities subject under the recommendation to abide by the decision through measures as follows:

First, the ACRC visited 109 agencies in 2019 to make sure if they follow the ACRC's 184 corrective recommendations and expressed opinions in accordance with the Article 52, "Confirmation and Inspection on Observance of Recommendation, etc."

Next, the Commission holds meetings with entities that have low recommendation acceptance rates to devise strategies for handling civil complaints. In 2019, we had such sessions with the Korean Rural Community Corporation, the Korea Land & Housing Corporation and the Korea Workers' Compensation & Welfare Service.

Last, the ACRC reports on how compliant each institution is with our recommendations during cabinet (vice-minister) meetings, and policy consultation meetings between central administrative agencies and local governments as well as through press releases in order to encourage the heads of agencies to adopt the Commission's recommendations.



Chapter 3.

Handling Complaints to Enhance People's Satisfaction

1. Activating Alternative Dispute Resolution

The ACRC actively responds to the voices of many citizens and utilizes the mediation system in order to proactively respond to ever-increasing public conflicts. Mediation is an alternative dispute resolution method that is based on the consultation, compromise, and concession of both parties, rather than a solution to be accepted only by either complainants or the administrative agency.

Along with rapid economic growth, the enhancement of public awareness of the rights of citizens and the maturity of civil society participation intensify social conflicts which are not small in scale and with complicated interests. As a result, more than 200 collective complaints are being raised with the ACRC every year.

The Commission resolved 47 collective complaints involving 26,000 complainants through on-site mediation in 2019.

Status of complaint resolution through mediation

Category	'08	'09	'10	'11	'12	'13	'14	'15	'16	'17	'18	'19
Collective complaints received	334	259	280	285	361	362	241	255	242	216	227	264
No. of complaints resolved through mediation	28	26	19	24	42	43	54	65	72	76	65	47
Mediation ratio	8.4	10.0	6.8	8.4	11.6	11.9	22.4	25.5	29.7	35.2	28.6	17.8

Major Case of On-Site Mediation of Collective Complaints

Korea Land and Housing Corporation (LH) created Millak District 2 of Uijeongbu city as a public housing district in December 2014 while Seoul Regional Construction & Management Administration completed the construction of a bypass of the National Route 3 in August 2015. Public concerns were raised over possible damage from noise in the neighborhood as the housing district and the newly built road are closely located to each other. After the residents failed to reach an agreement with the LH on measures to prevent noise, they filed a collective complaint with the ACRC. The Commission examined the site and held working-level discussions with all the parties involved to finalize a mediation plan in a meeting on February 21, 2019 presided by the Chairperson Pak Un Jong of the ACRC. The plan covers building additional soundproof tunnel and walls around the bypass, thoroughly managing the soundproof facilities, and Uijeongbu city installing speed detection devices at certain locations.



Collective complaint mediation session (Feb. 21)



Examining the site and listening to concerned parties

Status of complaint resolution through mediation

No.	Mediation date	Collective complaint	Category
1	Jan. 11	Improvement of geometric design of Ocheon intersection	Roads
2	Jan. 18	Building of highway ramps connecting National Route 32 of Cheonan expressway to the nearby village	Roads
3	Jan. 23	Payment of accounts receivable insurance money, etc.	Corporate complaints
4	Jan. 24	Resolution of problems entailed by expansion construction of access road to Sosa District 2 of Pyeongtaek city	Urban area
5	Jan. 25	Safety enhancement of high-risk road sections around Hupo bus terminal	Roads
6	Jan. 30	Installation of safety facilities on the roads near a village	Roads
7	Feb. 15	Building of a partition for pedestrians inside Sancheock tunnel	Roads
8	Feb. 21	Establishment of measures to tackle noise from the national route passing Millak District 2 of Uijeongbu city	Environment
9	Feb. 22	Building of an underpass on National Route 700 of Chilgok expressway	Roads
10	Feb. 28	Creation of a safe school zone	Safety
11	Mar. 22	Transfer of land ownership in a public housing district	Urban area
12	Mar. 28	Mitigation of damage inflicted by infrastructure expansion of Jeju airport	Roads
13	Apr. 3	Correction of address registration mistakes over residential buildings	Urban area
14	Apr. 18	Establishment of measures to address noise from a construction site near Cheongyo village in Hwaseong city	Roads
15	May 2	Reduction of excessive claim charged for public land use	Safety
16	May 3	Withdrawal of municipal order to discontinue a housing construction project in Baekbong District of Namyangju city	Corporate complaints
17	May 7	Establishment of measures to reduce noise from Gyeongchunbuk-ro motorway and Gyeongchun Line railway in Galmae District of Guri city	Environment
18	May 10	Building of a bridge near Jeongok station	Roads
19	May 17	Building of a bridge on a railway construction site near Moonam village in Samcheock city	Roads
20	June 13	Building of a soundproof tunnel around the north road in Wirye neighborhood	Environment
21	June 14	Expansion of the Makgol bridge	Roads
22	June 20	Implementation of a project to commemorate people sacrificed in the subway fire incident in Daegu	Others
23	June 21	Establishment of measures to reduce railway noise	Environment
24	June 21	Relocation of Songpa public garage	Roads
25	June 28	Free transfer of public land for Daesong industrial park development project	Urban area
26	June 28	Building of a bridge on a road	Roads

No.	Mediation date	Collective complaint	Category
27	July 9	Compensation for damage caused by Samjahyun tunnel construction	Corporate complaints
28	July 16	Development of measures to relieve safety concerns on the road in front of Bangok post office	Safety
29	July 19	Sale of a ditch area	Roads
30	July 25	Change of location of a railway bridge	Roads
31	Aug. 21	Integration of an apartment building into the gas supply system	Roads
32	Aug. 29	Change of geometric design of a ramp	Roads
33	Aug. 29	Improvement of sidewalk safety around Cheonan Girls' Middle School	Safety
34	Sept. 4	Building of noise reduction equipment	Environment
35	Sept. 17	Creation of safe sidewalks for students in Gamil District	Safety
36	Oct. 2	Purchase of a contaminated soil treatment facility as compensation	Corporate complaints
37	Oct. 30	Building of safety barriers around railway that don't sacrifice scenery in Deungmyeong beach village	Environment
38	Nov. 1	Establishment of traffic safety measures such as enhancement of sidewalk safety for students	Safety
39	Nov. 7	Improvement of geometric design of on-ramp to Hwachon town near East Hongcheon tollgate	Roads
40	Nov. 12	Correction of address registration mistakes of a building	Urban area
41	Nov. 14	Share of an access road	Roads
42	Nov. 26	Correction of address registration mistakes of a building	Urban area
43	Nov. 26	Enhancement of sidewalk safety	Roads
44	Dec. 5	Close-down of Jinbu military flying field	National defense
45	Dec. 13	Compensation for damage caused by leaks from an underground water line	Others
46	Dec. 18	Relief of damages to the living environment of locals inflicted by a distribution center of Costco Wholesale Korea	Environment
47	Dec. 19	Development of migration support measures for Sasi village residents	Roads

2. On-Site Outreach Program for Complaint Resolution

Since 2003, the ACRC has been operating an on-site outreach program to visit every place in the country to listen to and solve the problem people are suffering from. On-site outreach program is divided into a local type and customized type. The local type provides comprehensive complaints consultation by visiting 2-4 local governments every month. The customized type provides specialized counseling services on the spot for those who need special attention, such as multi-cultural families, foreign workers, disabled people, defectors from North Korea, soldiers active in military affairs, small and medium enterprises, etc. Also, from 2019, the ACRC began to use the newly introduced on-site outreach program bus to operate a counseling tour in public places including stations, terminals, and local festivals where large crowds gather.

Between the establishment of the ACRC in 2008 and 2019, the on-site outreach program team has visited 655 regions, handling 20,051 cases. This is a drastic expansion of the program compared with before the launch of the ACRC, when its predecessor had visited 55 regions and handled 1,543 cases between 2003 and 2007.

In addition, the outreach program engages in proactive mediation efforts over civil complaints to resolve more than 40% total grievances on site every year. With the aggregate number of on-site complaint resolutions reaching the 7,000 mark last year, the program has positioned itself as a major complaint resolution instrument where citizens can feel the benefits of the initiative first hand.

The program secured both quantitative and qualitative achievements in 2019. The ACRC facilitated the operation of the program last year to hold more than 100 rounds, a record number reached for the first time since the program adoption in 2003. Not only that, the on-site complaint resolution rate rose to 50.4% in 2019 from 47.7% in 2018.

Annual on-site complaints consultation result

(Unit : case)

Category		Total	Before 2008	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
No. of regions		710	55	20	28	33	46	51	51	52	57	61	71	84	101
Results	Complaint received	3,034	541	86	272	199	129	196	178	245	235	234	268	240	211
	On-site resolution	7,082	-	96	244	290	244	332	633	634	650	778	880	1,032	1,269
	Consultation	11,478	1,002	381	1,004	1,000	865	1,103	937	737	821	843	855	891	1,039
	Total	21,594	1,543	563	1,520	1,489	1,238	1,631	1,748	1,616	1,706	1,855	2,003	2,163	2,519

* figures for local and customized type combined

Other than the local on-site outreach program targeting local residents, a small scale customized on-site outreach program has been in operation since 2011 for those who need social care, such as small business owners, foreign workers, multi-cultural families, North Korean defectors, etc.

In 2019, the ACRC further reached out to the underprivileged to resolve their grievances. As an ongoing effort initiated during PyeongChang 2018 Olympic Winter Games, it ran the on-site outreach program during major domestic and international events* to address participants' complaints and inconvenience in advance, which allowed the Commission to support the successful holding of the events.

※ Gwangju World Aquatics Championships, Chungju World Martial Arts Masterships, ASEAN–Republic of Korea Commemorative Summit in Changwon, Sinchon Christmas Street Festival, Failexpo in Gwanghwamun Plaza, Vietfest Seoul in Gwanghwamun Plaza, etc.

2017	2018	2019
Total 39 rounds	Total 51 rounds	Total 65 rounds
· Large-scale permanent rental housing tour (Daegu, Gwangju, Busan, Incheon, Seoul) (6) · Business ombudsman meetings (12) · Multicultural families (2) · Soldiers (Paju, Nonsan, Pohang, Goseong) (4) · People vulnerable in welfare terms (Cheongju, Jeonju) (2)	· Permanent rental apartments (4) · Foreign workers (10) · Corporate grievance meeting (16) · Changwon International Shooting Competition · Anti corruption special on-site outreach program · Soldiers and conscripted police officers (7) · Railway construction site etc. (3) · Public contract conferences (2)	· Rural markets (14) · Domestic and international events (10) · Rental apartment complexes (5) · Soldiers and conscripted police officers (4) · Residential land development & construction sites (5) · Foreign workers and other vulnerable (5) · Small and medium-sized enterprises & micro businesses (12) · Public institutions (10)



Chapter 4.

Efforts to Prevent Complaints and Strengthen the Relief of Rights and Interests

A brief description of a complaint is dissatisfaction about the administrative services provided by various administrative or public agencies. Since the process of dealing with complaint causes psychological and economic cost, it is better to prevent any complaint from happening to improve people's convenience.

1. Evaluation of Complaint Handling Status of Administrative Agencies

Each year, the ACRC conducts an evaluation of complaint handling of local governments. It is encouraging and supporting the fairness and accountability of the complaint processing and the satisfaction of the public administration service, and for this, the evaluation indicators are being developed and supplemented, and the target organizations are gradually expanding.

Since the development of the assessment indicators in 2010, we have broadened the scope of evaluation target to now include 243 local governments and 17 local education offices as of 2018. The institutions are assessed to be given one of five grades. The ACRC encourages each institution to make voluntary efforts for improvement by sharing the assessment result with the media and providing awards based on the performance.

2. Activating Local Ombudsmen

The ACRC recommends the establishment of a local ombudsman, which has the expertise and independence to resolve the complaint of each local government and its affiliates promptly and fairly.

We laid the legal foundation in the Act on the Establishment and Operation of the Ombudsman of Korea in 2005. As of December 2019, we have local ombudsmen established and in operation in 42 local communities.

Local ombudsmen establishment and operation status

* Upper level local government (6) : Seoul Metropolitan City, Daegu Metropolitan City, Ulsan Metropolitan City, Gyeonggi-do Province, Gangwon-do Province, Chungcheongnam-do Province

* Lower level local government (36) : Gangdong-gu District, Gangbuk-gu District, Gwanak-gu District, Guro-gu District, Dongdaemun-gu District, Mapo-gu District, Seodaemun-gu District, Seongdong-gu District, Eunpyeong-gu District, Yangcheon-gu District, Dongjak-gu District, Bucheon City, Anyang City, Seongnam City, Yongin City, Hwaseong City, Siheung City, Namyangju City, Anseong City, Yeosu City, Suwon City, Paju City, Pyeongtaek City, Wonju City, Gangneung City, Jecheon City, Yeongdong-gun County, Sangju City, Yangsan City, Iksan City, Yeosu City, Ulju-gun County, Daegu Buk-gu District, Daegu Dong-gu District, Michuhol-gu District, Gwangsan-gu District

※ No. of local ombudsmen : 20 in 2015 → 26 in 2016 → 30 in 2017 → 37 in 2018 → 42 in 2019

In an effort to increase the capability of local ombudsmen, in 2019, the ACRC amended the fundamental legislation for handling complaints, the Enforcement Decree of the Civil Petitions Treatment Act to include local ombudsmen as the civil complaint handling body, and published and distributed an operation guide of local ombudsmen that reflects the revision of the Decree.

3. Operation of Special Complaints Investigation Team

The ACRC has ran a dedicated team to look into complaints that are out of the ordinary since July 2011 to respond to repetitive or unusual complaints*. The team has resolved cases involving 196 people out of those involving 237 individuals by reaching an agreement with, engaging in mediation for, asking for an understanding of, or involving in persuasion of the complainant.

※ Cases where the petitioner files a complaint repetitively or engages in aggressive activities such as protests, disturbances, violations, blackmails, threats, and accusations

State of special and repetitive complaints handling

Total	Resolved			Under investigation
	Sub-total	Agreed & mediated	Understood & persuaded	
237	196	64	132	41

The source of civil complaints out of the ordinary can be attributable to the complainant, administrative agency or different factors in different circumstances. However, they all result in giving stress to the administrative agency employee who's responsible for the case and degrading the quality of overall administrative services by requiring the agency to commit excessive resources into resolving the specific case. Meanwhile, the complainant, unfortunately, end up experiencing a lower quality of life and living standards while consuming unnecessary time and effort in pursuing their complaint.

Special complaints are a problem that all administrative agencies have, although there is a difference in degree, and it is a task that needs to be addressed through pan-governmental cooperation. So, to share ACRC's experience and example of handling special complaints with all administrative agencies and to facilitate the strengthening of the special complaints processing capacity, the 'manuals for the special complaints' were revised and published and distributed to the administrative agencies. It was posted online on the ACRC website and downloaded 7,900 times. In 2019 alone, special complaints workshops were held five times and 77 travel lectures were given for 18,262 central and local administrative agency employees to share how to better respond special complaints.

On top of our efforts to deal with individual complaints out of the ordinary, the ACRC conducted investigation projects to fundamentally tackle the source of complaints through relevant policy and institutional improvement and alignment by analyzing common complaints, and included collective grievances in the scope of special complaints to take a more progressive approach in figuring out what we can do for improvement.

In 2019, South Korea saw an increase in accidents occurred in citizen's everyday life, including road accidents, drowning incidents, falls and mountain hiking accidents. In an effort to develop preventative measures against these accidents, the ACRC teamed up with the authorities that are responsible for managing facilities with frequent accidents, including the National Fire Agency and local governments to come up with safety enhancement measures through nationwide examination of the public facilities. We analyzed big data collected by emergency response agencies by applying factors such as urgency for improvement and the number of accidents to select 442 public facilities. The ACRC then reflected the opinions of facility managing bodies such as local governments and public corporations, and of professional organizations to set up a total of 1,202 (average 2.85 measures per institution) improvement measures and recommended the measures to those selected facilities.





Chapter 5.

Complaint Handling by Field

1. Administration, Culture and Education

The administration, culture, education, foreign affairs, unification, civil affairs and legal affairs sector can be categorized into five sub-sectors: administration/safety, personnel administration, culture/tourism, education, and foreign affairs/unification/civil affairs/legal affairs. Administration/safety concerns the issues related to local finance, land registry, resident and family relation registration, civil defence/disaster/fire-fighting, and general administrative affairs. Personnel administration handles complaints over personnel management, compensation/travel expenses, reward/punishment/appeal, test, pension, administrative management. Culture/tourism deals with issues about culture promotion, cultural assets, culture industry, tourism and sports. Education involves complaints related to educational policy, school management, educational management, lifelong/vocational training, and policy on teachers. Foreign affairs/unification/civil affairs/legal affairs address foreign affairs, immigration, unification, overseas Koreans and others.

The number of civil complaints the ACRC addressed in 2019 grew by 1,855 to 6,006 from 4,151 year on year. However, the increase primarily occurred in the category of 'others' with a 73% rise, which technically doesn't count as civil complaints. Except for the grievances in the 'others' category, the number of complaints still rose from 1,803 in 2018 to 1,944 in 2019 with a 28% increase in the education category that drew much of the citizens' attention.

Complaints handled by sector

(Unit : case)

Year	Total	Administration/ safety	Personnel administration	Culture/tourism	Education	Foreign affairs/ unification/ civil affairs/ legal affairs	Others
2019	6,006	1,056	336	136	305	111	4,062
2018	4,151	954	381	136	238	94	2,348

When examining the cases by the result of complaint handling, a spike was found in guidance after deliberation where we provide information on the ways and the process of filing a complaint. It was due to fact that the number of cases in Guidance reply category was integrated into Guidance after deliberation since 2019. There was another increase in the number of complaints resulting in corrective recommendations and expression of opinions regarding an administrative agency's violation of law, unfair measure, etc.

Result of complaints handled

(Unit : case)

Year	Total	Corrective recommendation	Expression of opinion	Mediation/ settlement	Dismissal	Rejection	Guidance after deliberation	Transfer/ referral	Guidance reply	Withdrawal/ closure
2019	6,006	25	27	128	0	106	483	72	0	5,165
2018	4,151	14	19	157	3	115	209	2	583	3,049
Change	1,855	11	8	-29	-3	-9	274	70	-583	2,116

☆ *Corrective recommendation key example: Administration/safety*

Excessive charge by a local government for use of common property

(1) *Summary of the complaint*

The Petitioner was occupying some land that was a part of the road of a local government for a residential purpose. The government charged the petitioner excessive amount of fee for the land use.

(2) *Complaint handling process and result*

The official purpose of the land at issue was for roads. However, since the land was not recognized as road route in accordance with the Road Act, the land was considered to be common property and not to be subject under the Act. Therefore, given the local government illegally charged the Petitioner for the land use in accordance with the Road Act, the ACRC recommended the local government to return to the Petitioner the amount exceeding the usage fee for the five years for which the statute of limitation has not expired among the amounts already paid to the Respondent.

☆ *Settlement key example: Others*

Re-entry of a foreign employee

(1) *Summary of the complaint*

As of October 30, 2018, the Petitioner was running a small business and intended to employ an Uzbek worker after acquiring an approval from the Ministry of Employment and Labor. However, the employee was not able to enter the border due to a delay in visa issuance. Thus, the Petitioner asked for an assistance to help the worker to enter Korea as soon as possible.

(2) *Complaint handling process and result*

The Petitioner, with the help of the Korea Federation of SMEs, a Labor Ministry-affiliated organization, made a second request to the Uzbek Agency for Foreign Labor Migration Affairs for issuing a certificate of confirmation of visa issuance on August 14, 2019. The Korean Embassy in Uzbekistan received and confirmed the issued certificate and provided a visa, and the Uzbek employee entered Korea in late August, 2019. The Petitioner confirmed the resolution of his case and the ACRC closed the complaint as settled on September 25, 2019.

2. Defense & Veterans Affairs

The national defence and veteran's affairs sector can be categorized into three sub-sectors: national defence, veteran's affairs, and military. National defence concerns issues related to military installation protection zones, land for military use, general national defence affairs, and military service affairs. Veteran's affairs involve complaints over decorated patriots and veterans and their benefits. Military handles issues related to beatings and harsh treatment in military barracks and general services for soldiers in service, affairs for discharged soldiers and civilian military employees.

In 2019, the ACRC handled 1,237 complaints. When examining the cases by field, the number of cases handled rose by 45.5% (280 cases) and 5.3% (14 cases) in the national defense and veterans' affairs sector respectively, while the figure went down by 34.1% (28 cases) in the military sector where complaints from active duty personnel are concerned. By type of handling results, while there were rises in corrective recommendation by 135.7% (19 cases), mediation agreement by 22.2% (48 cases), rejection by 78.3% (23 cases), guidance after deliberation by 243.3% (219 cases), drops were found in opinion expression by 4.9% (2 cases), dismissal by 40.0% (4 cases) and guidance reply by 6.2% (33 cases).

Complaints handled by sector

(Unit : case)

Year	Total	National defense	Veteran's affairs	Military	Others
2019	1,237	895	279	54	9
2018	967	615	265	82	5

Result of complaints handled

(Unit : case)

Year	Total	Corrective recommendation	Expression of opinion	Mediation/settlement	Rejection	Dismissal	Guidance after deliberation	Guidance reply, etc.
2019	1,237	33	39	266	81	6	309	503
2018	967	14	41	218	58	10	90	536

☆ *Institutional improvement key example: Veterans affairs*

Disability evaluation of a veteran with symptoms developed due to Agent Orange

(1) Summary of the complaint

The Petitioner was a Vietnam War veteran who was diagnosed, in 2004, with having mild symptoms caused by exposure to Agent Orange and had since been on treatment. As his symptoms worsened, he received a checkup in Gwangju Veterans Hospital to get a higher disability rating in 2016. However, the Petitioner rather ended up being ruled out from the beneficiary list as the hospital found his conditions improved compared to 2004, thus had since not received the compensation. Two years later, in 2018, he did another checkup and was again diagnosed with having mild symptoms. The Petitioner asked for the 2-year disability allowance he had missed from 2016 to 2018 as the hospital had misdiagnosed his conditions earlier.

(2) Complaint handling process and result

The ACRC requested the Korea Medical Association for advice on why the Petitioner's disability rating fluctuated from the initial 18% down to 9% in 2016 then again up to 27% in 2018. Based on the advice from the Association, the Commission expressed its opinion that given the fact that the diagnostics over skin disease are heavily affected by the individual's condition and other circumstances at the time of testing, the disability rating agency should consult with medical experts to develop a specific set of disability evaluation methods, checkup process and rating standards designed for skin disease, instead of applying the general evaluation and rating process where a single checkup determines the rating.

☆ *Mediation key example: National defense*

Close-down of Jinbu military flying field

(1) Summary of the complaint

A collective complaint was raised by locals who resided in Jinbu township, Pyeongchang county, Gangwon Province. The county governor and the commander of the 36th Infantry Division agreed on relocating Jinbu military flying field in September 2015 and had follow-up meetings several times, but were not able to implement the plan as they couldn't find an alternative place for the field. The residents requested for the close-down of the flying field.

(2) Complaint handling process and result

Vice-Chairperson Kwon Taesung of the ACRC presided over a meeting joined by representatives of 907 Petitioners, Governor Han Wang-gi of Pyeongchang county, Commander Shin Hui-hyun of the 36th Infantry Division of the ROK Army, and Chief of Staff Lee Bo-hyung of the Aviation Operations Command on Thursday, December 5, 2019 at 3 p.m. in a meeting room of the Jinbu township office. All the participants agreed on the mediation plan devised by the Commission with Petitioners' assurance of not to lodge an appeal on the decision afterward.

3. Police

The police sector can be categorized into four sub-sectors: investigation, traffic, public safety, and general policing affairs. Complaints in the Investigation sector concern illegitimacy and unfairness in an investigation process or procedure such as delays in a probe as well as unjust investigation. Traffic complaints are related to illegitimacy and unfairness in the procedure of a traffic accident investigation, objection to crackdowns on traffic violations and driver's license appeal, and improvement of traffic safety facilities. Public safety handles complaints regarding prevention of crimes by setting up security cameras and ramping up security patrols, etc., reporting to and mobilizing of the police, and unfriendly policemen. Finally, general policing affairs concern issues related to conscripted police service, coast guard safety, and police administration.

The number of complaints received and handled in 2019 was 1,530, up by 808 (212%) from the previous year.

Complaints handled by sector

(Unit : case)

Year	Total	Investigation	Traffic	Public safety	General policing affairs	Others
2019	1,530	782	321	59	365	3
2018	722	287	195	21	218	1

Result of complaints handled

(Unit : case)

Year	Total	Corrective recommendation	Expression of opinion	Mediation/settlement	Dismissal	Rejection	Guidance after deliberation	Transfer/referral	Withdrawal/closure/etc.
2019	1,530	45	34	168	52	145	210	210	666
2018	722	19	19	185	21	28	96	20	334

☆ *Corrective recommendation key example: Traffic*

Appeal against administrative fine

(1) Summary of the complaint

The Petitioner mortgaged his car to secure a loan. After the lending institution bankrupted, the Petitioner's vehicle was missing and became a fake registration vehicle. During this period, traffic tickets were issued to and paid by the Petitioner. The Petitioner asked for the return of unfairly charged administrative fines.

(2) Complaint handling process and result

Given that it was confirmed that the Petitioner was not owning and managing the vehicle at issue during which the fines were charged; that the Road Traffic Act exempted drivers from being charged for an administrative fine when they have their vehicle stolen or for other compelling reasons; and that some other police stations refunded for the fines the Petitioner had paid during the period at issue, the ACRC found the Respondents' rejection of the refund unfair and thus advised them to return the payment.

4. Welfare, Labor and Broadcasting & Communications

The welfare, labor, and broadcasting and communications sector can be categorized as follows: the health and welfare area handles complaints related to social welfare, health, medical service, pharmaceutical service, family and gender equity, food, health insurance, and national pension; the employment and labor area concerns issues over labor standards, labor-management policies, occupational health and safety insurance, employment stability, vocational training, employment insurance, and assurance of wage claims; and the broadcasting and communications area involves complaints related to wired and wireless phone and broadband services.

When examining cases by field, in the health and welfare category, we found many civil complaints regarding providing support with the basic livelihood security programs, improving welfare of people with disabilities and calculating premium of the national health insurance program. In the employment and labor sector, major complaints were of late paychecks, wrongful dismissal, industrial disasters, employment insurance and vocational education. As for broadcasting and communications, most of the grievances concerned TV license, relocation of utility poles with communication cables, and the start and termination of a cell phone or internet service plan. The ACRC made progress in protecting the rights and interests of those who were left behind through implementation of the on-site outreach and other programs as we put our focus on resolving civil complaints regarding livelihoods of the vulnerable. By type of handling, 16 cases resulted in corrective recommendation (including three cases in which we made recommendations or expressed our opinion on institutional improvement), 46 cases in opinion expression (including 19 cases where the Commission expressed our opinion on institutional improvement), and 175 cases in settlement this year.

Complaints handled by sector

(Unit : case)

Year	Total	Health & welfare	Employment & labor	Broadcasting & communications
2019	1,628*	822	639	163
2018	1,547	780	586	173

※ Four complaints received in 2019 don't fit into above categorization.

Result of complaints handled

(Unit : case)

Year	Total	Corrective recommendation	Expression of opinion	Resolution by agreement	Resolution by Mediation	Dismissal	Rejection	Guidance after deliberation	Transfer/ referral	Closure/ guidance reply	Withdrawal / closure
2019	1,628	16	46	175	1	6	36	126	472	634	116
2018	1,547	7	12	254	-	19	64	23	34	970	164

☆ *Corrective recommendation key example: Health and welfare*

Request for withdrawal of an administrative fine imposed on the wrongful use of a disabled parking placard

(1) Summary of the complaint

The Petitioner was using a disabled parking placard after being registered as disabled and left the permit on his vehicle as the Petitioner had not been informed that the registration had canceled and thus the placard and his disability ID had required to be returned. However, the Respondent imposed an administrative fine worth KW 2 million or USD 1,600 for the Petitioner's alleged wrongful use of the permit.

(2) Complaint handling process and result

Given the fact that the Petitioner's possession and use of the handicap parking permit was in compliance with then Act on Welfare of Persons with Disabilities; that although the Petitioner had submitted his disability certificate, the Respondent had not informed the Petitioner of the result of the new disability evaluation and its decision to cancel the Petitioner's registration; that the Respondent had not notified the Petitioner to return his disability ID, which made it hard to confirm whether the Respondent's decision to cancel the Petitioner's registration took effect; and that it is hard to make such conclusion that the Petitioner willfully "used the permit in a wrongful manner", the ACRC found the Petitioner's claims were reasonable and therefore advised the Respondent to withdraw the penalty.

☆ *Opinion expression key example: Labor***Request for withdrawal of disapproval of application for medical benefits under Industrial Accident Compensation Insurance program****(1) Summary of the complaint**

The Petitioner's son was dispatched to China office of a Korean electronics company and working for the overseas corporation. During his business trip to Jeju Province of South Korea, he was injured in a traffic accident on his way back to the hotel with a major Chinese client after having dinner at a nearby restaurant. He suffered from a subdural hematoma and applied for medical care benefits. The Respondent rejected the application as it found the Petitioner's son was an employee of the Chinese corporation without any application history for the Korean employment insurance plan, and not considered as a worker employed in the business under Korea's sovereignty. The Petitioner, therefore, requested for the withdrawal of Respondent's application rejection decision.

(2) Complaint handling process and result

Given the fact that according to the Ministry of Employment and Labor, the eligibility for the workers' compensation program was dependent on the condition of whether an individual is under expatriate employment or on a business trip, but the documentation that the Company provided was not enough to prove if the Petitioner's son was under expatriate employment; that the Supreme Court ruled whether a case is subject to the Industrial Accident Compensation Insurance Act was based on the substance over form principle, with substance being whether an individual actually works for a domestic business; that the documentation submitted by the Respondent wasn't sufficient to verify factual relations; and that as records identified that the Company paid the son of the Petitioner his wages into his Korean bank account after deducting income and residence tax withholdings as well as the national social insurance premiums during his employment under the China office, the ACRC expressed its opinion that the Respondent should reexamine the application for the workers' compensation with regard to the incident that Petitioner's son experienced.

5. Finance and Taxation

The finance and taxation sector consists of two areas: the finance area handles complaints related to national property, banking, insurance, securities, fair trade, tobacco, and procurement; and the taxation area concerns complaints related to national taxes, tariffs, and local taxes.

In 2019, the number of handled cases increased by 3.2% compared to 2018. By sector, the finance sector increased by 23.9% and the taxation sector decreased by 3.5%.

Complaints handled by sector

(Unit : case)

Year	Total	Finance	Taxation
2019	1,610	482	1,128
2018	1,559	389	1,170

Result of complaints handled

(Unit : case)

Year	Total	Corrective recommendation	Expression of opinion	Mediation/ settlement	Dismissal	Guidance after deliberation	Rejection	Transfer/ referral	Guidance reply	Withdrawal/ closure
2019	1,610	83	12	189	11	475	135	38	-	667
2018	1,559	93	13	262	33	156	51	13	591	347

☆ Corrective recommendation key example: Finance

Unreasonable delay in examining contractual terms and conditions

(1) Summary of the complaint

The Petitioner applied for an examination on contractual terms and conditions, but neither the result of the examination was notified to the Petitioner nor the examination process period was extended.

(2) Complaint handling process and result

Although the Respondent exceeded 60-day period in examining contractual terms and conditions required by Article 6.2 of the Enforcement Decree of the Act on the Regulation of Terms and Conditions, it didn't inform the Petitioner of its decision to extend the review. The ACRC deemed such business process illegal and advised the Respondent to improve the rules and system regarding the extension of the examination process. The Respondent accepted the Commission's recommendation and notified us that it would make changes to the current regulation with regard to the examination extension.

6. Industry, Agro-Forestry, Environment and Maritime

The industry, agro-forestry, environment and maritime sector can be sub-sectored as follows: the industry and resources area concerns complaints regarding general trade affairs, patent, electricity, oil, mining, natural gas, postal service, and postal finance; the agro-forestry area involves complaints related to agriculture, stockbreeding, food policy, agro-livestock cooperatives, and forestry administration; the environment area addresses complaints over pollution, stockbreeding, waste, water supply, drinkable spring water, national parks, and sewage system; and the maritime area concerns issues over maritime and fisheries, fisheries cooperatives, maritime transport and ports.

In 2019, the number of complaints we handled was 864, down 22 (2.5%) from 2018. The Commission handled a number of complaints in various fields, including 363 cases (42.0%) in industry and resources sector, 320 cases (37.0%) in agro-forestry field, 152 cases (17.6%) in environment category, 9 cases (1.0%) in maritime and fisheries field and 20 cases (2.3%) in others category.

Complaints handled by sector

(Unit : case)

Year	Total	Industry & resources	Agro-forestry	Maritime & fisheries	Environment	Others
2019	864	363	320	9	152	20
2018	886	280	363	18	211	14

There were 173 cases (20.0%) accepted, among which 23 cases (2.7%) were resolved with corrective recommendation, 33 cases (3.8%) with opinion expression and 117 cases (13.5%) with mediation and settlement. Meanwhile, 691 cases (80.0%) were not accepted, leading to dismissal, withdrawal and guidance after deliberation.

Result of complaints handled

(Unit : case)

Year	Total	Corrective recommendation	Expression of opinion	Mediation/ settlement	Dismissal	Rejection	Guidance after deliberation	Transfer/ referral	Guidance reply	Withdrawal/ closure
2019	864	23	33	117	1	66	197	5	0	422
2018	886	25	33	154	4	67	74	6	314	209

☆ *Corrective recommendation key example: Industry*

Violation of safety distance involving high pressure gas piping

(1) Summary of the complaint

The Respondent built a gas pipeline in replotting area under an urban development project. Although the law required the pipeline to be at least one meter apart from the end of the nearby road, the distance was found to be less than a meter. The Petitioner requested the Respondent to keep the safety distance by relocating the piping, but the Respondent didn't comply with the request, which allegedly violated the ownership rights of the Petitioner, including limits on utilizing the underground space when building a structure.

(2) Complaint handling process and result

Given that although the piping standards in the Enforcement Rule of the Urban Gas Business Act obligated the outer surface of a pipeline be at least one meter horizontally away from the end of a road, this rule had not been complied with due to the design and construction error; that it was identified the Respondent had been in charge of the overall piping building project encompassing orders, design, supervision and completion inspection, but had failed to thoroughly manage each phase of the project; and that the dispute between the Respondent and its contractor over design and building defects had caused losses to the Petitioner and other owners of the land area at issue for years, the ACRC found the Petitioner was not able to fully exercise his rights over his property such as not being able to use the underground space in designing a structure due to the Respondent's failure in keeping the legal safety distance between the pipeline and the road. The Commission therefore advised the Respondent to devise and execute a relocation plan of the line as early as it could.

7. Housing & Construction

The housing and construction sector includes housing and construction administration areas. The housing sub-sector involves housing construction projects, supply and management of public rental housing, operation of the national housing fund, housing management, rental housing management, residential improvement project, redevelopment/reconstruction projects, establishment of housing associations, and real estate brokerage. The construction administration area concerns building permission/reporting, approval for building use and change of use, building register management, compliance charges/vicarious execution for illegal building, and building and technical license.

The number of complaints received and handled in 2019 was 1,030, up by 305 (42.1%) from the previous year. When breaking down the cases by sector, the number of complaints related to housing was 672 and that of construction was 358, up 215 (47.0%) and 90 (33.6%) cases respectively.

Complaints handled by sector

(Unit : case)

Year	Total	Housing	Construction
2019	1,030	672	358
2018	725	457	268

When looking at the result of the complaints handled, 383 cases (37.2%) were accepted, including 28 cases of corrective recommendation, 52 cases of opinion expression and 303 cases of mediation and settlement. On the other hand, 647 (62.8%) complaints were not accepted, including 24 cases of dismissal, 65 of rejection, 189 of guidance after deliberation, 107 of transfer/referral, and 262 of withdrawal/closure.

Result of complaints handled

(Unit : case)

Period	Total	Corrective recommendation	Expression of opinion	Mediation/ Settlement	Dismissal	Rejection	Guidance after deliberation	Transfer/ referral	Guidance reply	Withdrawal/ closure
2019	1,030	28	52	303	24	65	189	107	-	262
2018	725	19	52	155	16	47	35	6	198	197

☆ *Corrective recommendation key example: Housing***Request to continue to reside in a public rental housing***(1) Summary of the complaint*

As the housing was small, a child of the Petitioner who had lived with the Petitioner in a public rental housing, acquired a residence and moved out from his parent's place and removed himself from the household register to form his own. The Respondent sought to revoke the tenancy agreement with the Petitioner as it assumed the Petitioner became disqualified for the housing with his acquisition of a property. The Petitioner claimed that it was unavoidable result in the process of his child being separated from the family and moving out to a new place that the child acquired, and thus requested to allow him to stay living in the housing.

(2) Complaint handling process and result

Given that the Special Act on Public Housing recognized any case where a family member happens to own a house due to marriage, etc., reports one's address change, and separates from his parents' household register within 14 days from owning the property, an exception to the refusal of the renewal of a contract for public housing residency and this exception clause was to protect the tenant's rights not only on the occasion of marriage but on other occasions where a family member acquires one's own house, separates oneself from the parents' household register, reports one's address change within the period set by the Resident Registration Act, the ACRC advised the Respondent to make sure the Petitioner kept residing in the public housing at issue, and expressed its opinion to the Ministry of Land, Infrastructure and Transport that it should deliver clear, authoritative interpretation to the relevant agency to avoid any confusion that might arise in the implementation of applicable regulations.

☆ *Corrective recommendation key example: Construction*

Disapproval of a building agreement

(1) Summary of the complaint

The Petitioner, along with the co-owner of his land, requested permission to build a structure on a building agreement basis, which is an institution that delivers regulatory benefits with regards to the Building Act when co-owners of two or more adjacent land or structure units agree on the construction and details of a structure. The Respondent, however, disapproved the request as it found the land area arbitrarily split and merged for the deal, thus it was not appropriate to offer the construction project benefits under the building agreement initiative for the alleged single structure. The Petitioner demanded the Respondent to apply the building agreement institution for the construction.

(2) Complaint handling process and result

Given that the location of the structure enabled it to be subject to a building agreement; that the institution was designed not to regard a structure built under a building agreement as a single unit; that the reason of the Respondent's rejection for the permit that the structure at issue should be seen as one unit was not in compliance with the initiative's purpose since the law doesn't limit the subject for building agreement, the ACRC advised the Respondent to reexamine the Petitioner's application for approval of a building agreement, and expressed its opinion to the Ministry of Land, Infrastructure and Transport that it should make institutional changes so that the building register and other public records could indicate whether a structure is under a building agreement.

8. Urban Area and Water Resources

The urban area and water resources sector can be divided into two parts: the urban area handles complaints related to not only urban planning projects such as urban and residential area development projects, compensation for loss incurred by public housing projects, relocation and livelihood support, and provision of residential areas, etc., but also urban management plans, including decisions on infrastructure design during the urban planning such as transport, space and noise control, management of green belts, and permission for development among others; and the water resources area concerns complaints related to rivers and dams.

In 2019, the number of complaints received and processed were 1,429, including 1,265 cases in the urban area, 163 cases in the water resources and another case that belonged neither of the two categories. When examining the complaints by the handling result, 52 cases resulted in corrective recommendation and 35 in opinion expression, up 300% and 29.6% respectively from the year before.

Complaints handled by sector

(Unit : case)

Year	Total	Urban area	Water resources	Others
2019	1,429	1,265	163	1
2018	903	763	140	-

Result of complaints handled

(Unit : case)

Year	Total	Corrective recommendation	Expression of opinion	Mediation/settlement	Dismissal	Rejection	Guidance after deliberation	Transfer/referral	Guidance reply	Withdrawal/Closure
2019	1,429	52	35	138	21	49	306	500	-	328
2018	903	13	27	220	16	33	69	-	383	142
YoY Change	526	39	8	-82	5	16	237	-	-	186

☆ *Corrective recommendation key example: Urban area*

Compensation for a burnt-down house and provision of a relocation plan

(1) Summary of the complaint

The Petitioner's land and structure that had been included in the scope of an urban development project conducted by the Respondent was burned down before it was expropriated. The Respondent claimed it couldn't compensate the Petitioner for the loss of the structure nor include the Petitioner who had lived in the building in its resident relocation plan. The Petitioner found the Respondent's decision unfair and asked for rectification.

(2) Complaint handling process and result

Given that the Petitioner had moved in and lived in the building at issue before the development project had been announced, but he failed to reside in the building until the expropriation was carried out due to the fire incident, which could be excused under the Land Compensation Act that provided legal ground for an individual to receive compensation even if the one doesn't live in a residence due to unavoidable circumstances such as military service, medical treatment, etc.,; that the Respondent finished appraising the building and a compensation package was set to be provided; and that considering that the Petitioner was a vulnerable person with a level 4 physical disability, although the Petitioner was responsible for managing his own property, it would be too much of a penalty not to provide the Petitioner with compensation for the loss of his property due to an unpredicted fire accident, the ACRC concluded it was reasonable for the Petitioner to receive the compensation and be part of the relocation program and thus provided recommendations to the Respondent accordingly.

☆ *Corrective recommendation key example: Water resources*

Compensation for the submerged land by a dam construction

(1) Summary of the complaint

The Petitioner owned a land that had been under water after a dam had been built nearby in the 1970s, but hadn't been compensated for the loss. Although the Respondent had been gaining profits through the sales of electricity and water earned from the dam, it refused to provide compensation to the Petitioner, claiming that the land became a part of the river after the dam construction, owned by the state afterwards.

(2) Complaint handling process and result

Given that the land the Petitioner once owned became a part of the river of the reservoir created by the dam construction, which made it not eligible for compensation under the current Act on Special Measures for Compensation of Land Incorporated into River Zone that compensates for a land that naturally has been under water and become state-owned land, the ACRC concluded and recommended that the Respondent should provide the Petitioner with a prompt compensation according to the former "Industrial Complex Development Promotion Act." The Commission also advised the Respondent to make institutional improvement by amending the relevant law so that the Respondent would examine all the land area of around seven million m² (2.3 times the size of Yeouido) in the reservoir that had been submerged by the dam construction to compensate the owners for their loss.

9. Transportation and Road

The transportation and road sector includes sub-sectors as follows. The transportation part involves complaints over remedy for damage(s) incurred by accidents by road vehicles (buses, taxis, trucks, etc.)/flights/trains/subways ; issues on license/registration (cancellation, release from seizure, etc.); parking, standing and other vehicle-related fines and penalties; compensation for the land excluded from railroad construction projects; and compensation for losses. The road part concerns issues related to compensation for the land excluded from road construction projects, appeal against property appraisal for compensation, compensation for losses, construction of entry and exit route, appeal for road occupation, occupation fees and indemnities, and soundproof walls.

In 2019, the number of complaints filed in the transportation and road sectors was 1,156, up 40 (3.6 %) from the previous year. In detail, the number of cases in the transportation sector rose by 46 (12.2%) while the number for the road sector dropped by 3 (0.4%).

Complaints handled by sector

(Unit : case)

Year	Total	Transportation	Road	Others
2019	1,156	424	731	1
2018	1,116	378	734	4

By the result of handling, among a total of 1,156 cases we dealt with in 2019, the number of complaints that the Commission accepted and resolved through corrective recommendation, opinion expression, mediation, and settlement was 253, accounting for 21.9% of the total, 2.4 pp lower than the previous year's 24.3%.

Result of complaints handled

(Unit : case)

Year	Total	Corrective recommendation	Expression of opinion	Mediation/settlement	Rejection	Guidance after deliberation/dismissal	Transfer/referral	Guidance reply	Withdrawal/closure
2019	1,156	6	27	220	109	378	163	0	253
2018	1,116	5	17	249	66	233	8	376	162

☆ *On-site mediation key example: Road***Safety enhancement for locals through expansion of a bridge to be built during a road construction***(1) Summary of the complaint*

The Respondent was constructing a highway and planning to build a bridge that connects a nearby village to the road, but the Petitioner was concerned about a high risk of traffic accidents on the bridge as it was narrow and other impacts such as the violation of the residents' right to a view. The Petitioner requested the Respondent to expand the width of the bridge and come up with measures to address potential damages to the village such as noise from the road.

(2) Complaint handling process and result

The ACRC resolved the complaint through on-site mediation. After multiple site examinations and discussions with the Petitioner, Respondent and other parties involved, the Commission was able to bring all stakeholders to reach a deal that included measures to expand the width of the bridge from originally designed eight to ten meters, to install lighting under the bridge for pedestrian and driver safety, and to build a sidewalk under the bridge connected to another path leading to the village.

10. Business Grievances

The ACRC formed the Business Complaints Team in December 2017 to address the difficulties and complaints businesses have, and has been dealing with business grievances by continuing to hold the Corporate Grievance Site Meetings.

Result of complaints handled

(Unit : case)

Year	Total	Corrective recommendation	Expression of opinion	Mediation/ settlement	Guidance after deliberation	Dismissal/ rejection	Transfer/ referral	Guidance reply	Withdrawal/ closure
2019	372	6	11	114	112	21	11	63	34
2018	251	2	4	110	8	26	-	46	55

The Business Complaints Team received and handled 372 grievances in 2019, among which 131 cases (35.2%) were accepted where 6 complaints resulted in corrective recommendation, 11 in opinion expression, and 114 in mediation and settlement.

Result of corporate grievance site meetings

(Unit : case)

Year	Total	Resolved					Provision of Information	Open				Resolution rate (%)
		Subtotal	Complaint	Institutional improvement	Policy suggestion	On-site consultation		Subtotal	Complaint	Institutional improvement	Policy suggestion	
2019	185	75	9	1	40	25	43	67	12	6	49	40.5
2018	287	97	14	-	37	46	72	118	22	10	86	33.8

During the corporate grievance meetings in 2019, we received 185 complaints. The Commission resolved 75 (40.5%) cases of them, provided detailed information on policy and institution in 43 cases, and is handling the rest of 67 grievances. 73 percent of participants of the meetings said they were satisfied with the sessions and found them helpful to their business operation.

☆ *Key example: Corporate grievance meeting*

Restrictions on business type in an industrial park

(1) Summary of the complaint

An industrial park, which was the national hub of medical equipment, allowed only medical device companies and banned other business types from moving into the complex, which caused a challenge for the Petitioner where he had to build a plant in another industrial park as it was planning to venture into a new business that was relevant to its main medical equipment business. The Petitioner asked for lowering the barrier for other business to enter the park.

(2) Complaint handling result

Based on the review of the applicable laws and site examinations, the ACRC resolved the complaint by having the local government who had the jurisdiction over the industrial park to revise its management plan on the complex in accordance with Article 33 of Paragraph 1 and 4 of the Industrial Cluster Development and Factory Establishment Act to allow cosmetics manufacturing business and food processing business to move in an agro-industrial complex and a general industrial complex respectively, and announce the updated plan.



Part
05

**Operating Fair and Prompt
Administrative Appeals**



Chapter 1.

Operation of Administrative Appeals

1. Overview of Administrative Appeals

(1) Primary Roles of Administrative Appeals

The administrative appeals system has two objectives: protecting people's rights and interests, and autonomous control of administration. Protecting people's rights and interests involves the protection of individual rights and interests from illegal or unjust measures of administrative agencies, while autonomous control of administration allows administrative agencies the opportunity to voluntarily correct their wrongdoings, thereby guaranteeing the legality and purposefulness of their administrative actions.

Article 1 of the Administrative Appeals Act clearly explains that the purpose of administrative appeals is the protection of people's rights and interests and the voluntary control of administration when it states that "the purpose of this act is to relieve citizens from the infringement of rights or interests caused by any illegal or unjust disposition or omission of public power by administrative agencies through the administrative appeals procedures, thereby achieving a due operation of administration."

Protection of People's Rights and Interests

The administrative appeals system is aimed at protecting people's rights and interests from illegal or unjust measures of administrative agencies. It is possible to request that the relevant agency take a more proactive measure through a judgment of unjustness or an

appeal for the performance of obligation, requests which cannot be filed through the administrative litigation system. The administrative appeals system is, therefore, relatively more efficient than administrative litigation in terms of protecting people's rights.

Autonomous Control of Public Administration

Autonomous control of administration allows administrative agencies to autonomously assess and review whether enacted measures are illegal or unjust, thereby ensuring the autonomy and appropriateness of public administration.

Enhancing Efficiency and Expertise in Public Administration

In today's administrative environment, where promptness is essential, the administrative appeals system provides a rational alternative to judicial procedures, as it allows for a swift and simple resolution of administrative disputes, thereby making the process more convenient and efficient. In addition, expert knowledge of administrative agencies enables the protection of people's rights and interests in a fair and precise manner.

(2) Characteristics of the Administrative Appeals Commission

Deliberation and Adjudication

Administrative appeals commissions are collegiate bodies invested with the authority to deliberate and rule on adjudication requests. The commissions are required to deliberate and rule on arguments from an objective third-party perspective, through the examination of evidence and the review of related laws.

Collegiate Administrative Body

The administrative appeals commissions begin their sessions when the majority of the members are present, and rule by a majority vote of the present members. In order to

ensure the objectivity and neutrality of the commission members, the commissions are not entirely composed of public officials, but non-standing private sector members, such as lawyers and professors are included.

Quasi-Judicial Administrative Agency

In accordance with the Administrative Appeals Act, when deliberating and ruling on appeals, various judicial procedures—such as intervention of stakeholders, the exclusion, avoidance or evasion of members, the appointment of agents and examination of evidence—are applied.

Temporary Institutions

Administrative appeals commissions play a pivotal role in administrative appeals; however, they exist as temporary, not permanent, institutions convening for meetings only when an appeal has been filed and deliberation and adjudication becomes necessary.

(3) Types of Administrative Appeals Commissions

Central Administrative Appeals Commission (CAAC)

Established under the ACRC, the Central Administrative Appeals Commission (CAAC) deliberates and rules on appeals filed against the following agents and agencies for their disposition or omission:

- Heads of administrative agencies or their subsidiary agencies
- Mayors of special, metropolitan and special autonomous cities, provincial governors, and the governor of the special autonomous province
- Educational superintendents and assemblies of special, metropolitan and special autonomous cities, provinces and the special autonomous province

- o Other administrative agencies jointly established by the state, local governments, public corporations, etc.

The CAAC consists of fewer than 70 members, including a chairperson and no more than 4 standing members (currently 3). The chairperson of the CAAC is also a vice chairperson of the ACRC, and when the chairperson is absent or unable to perform duties due to inevitable circumstances, a standing member (in order of seniority of service as a standing member, and in cases of equal seniority of service, in order of age) may act on that chairperson's behalf.

CAAC meetings are attended by nine members: a chairperson, standing members and non-standing members designated by the chairperson for each meeting. The commission rules by a majority vote of the present members when a majority is present.

Municipal and Provincial Administrative Appeals Commissions

The municipal and provincial administrative appeals commissions are established under the mayors of special, metropolitan and special autonomous cities, provincial governors and the governor of the special autonomous province to deliberate and rule on appeals filed against the following agents or agencies for their disposition or omission: municipal and provincial administrative agencies, heads of cities, counties and other local governments and the relevant agencies, and assemblies of cities, counties and other local governments and administrative agencies jointly established by two or more local governments or public corporations. The municipal and provincial administrative appeals commissions, as collegiate bodies, have the same characteristics as the CAAC.

Other Administrative Appeals Commissions

Apart from the CAAC and seventeen municipal and provincial administrative appeals commissions, the Administrative Appeals Act is also applied to administrative appeals

commissions within the following institutions: municipal and provincial offices of education (seventeen commissions), high prosecutors offices (six commissions), regional corrections headquarters (four commissions), the Board of Audit and Inspection, the National Intelligence Service, the Presidential Secretariat, the Korea Communications Commission, the National Assembly Secretariat, the National Court Administration, the Constitutional Court Secretariat, the National Election Commission Secretariat and the National Human Rights Commission, etc.

Specialized Administrative Appeals

Article 4 Paragraph 1 of the Administrative Appeals Act stipulates that unless it is necessary given the extraordinary and exceptional nature of a specific case, other acts shall not provide for specialized administrative insubordinate procedures that substitute the administrative appeals under this act, or any exceptional case of the administrative appeals procedure under this act. Cases in point include administrative appeals regarding taxes, patents, expropriation and use of land, personnel matters, unfair labor practices, and insurance benefits such as those provided by the National Health Insurance Service.

2. Operation of Administrative Appeals

(1) Accessible and Attentive Administrative Appeals

Public Representation for Administrative Appeals

The ACRC introduced the public representation in administrative appeals system on November 1, 2018. The institution was designed for the applicants who lack the ability to secure enough funds to hire a representative for an administrative appeal. When a qualified individual submits an application, the CAAC chairperson appoints a representative who will stand on behalf of the applicant in an appeal free of charge. Those who can enjoy the benefits of the system include the individuals who are on the basic livelihood security

program, the basic state pension program, the single parent support program and the disability pension program, North Korean defectors who are eligible for the public support as stated in the North Korean Refugees Protection and Settlement Support Act, and those who are seen by the CAAC chairperson to be lacking in the capacity of mobilizing resources to hire a representative among those who have filed an administrative appeal.

Administrative Appeal Mediation System

As the responsiveness of the public administration has weakened in the fast changing society, various types and sizes of disputes have increased rapidly between the people and administrative institutions. However, the administrative appeal solves the public conflict by satisfying only one party between the applicant and the respondent, and therefore, it shows some limitations in resolving the public conflict within the administration.

In an effort to address the challenge, the ACRC proposed an amendment of the Administrative Appeals Act by introducing a mediation system to resolve disputes in administrative appeals in a swift and fair manner as far as the rights and interests of the parties involved are not violated. The amendment of the Act was made and promulgated in October 2017, which paved the way for the implementation of the mediation system on May 1, 2018. The CAAC mediated and settled 17 administrative appeal cases by bringing the applicant and the respondent to an agreement.

(2) Field-Centered Administrative Appeals

Circuit Administrative Appeals

Circuit administrative appeals, which are included in on-demand administrative appeal services, allow claimants who have difficulties attending deliberation in person, to instead receive local visits from CAAC representatives. These appeals were initially held at Daejeon and Daegu Metropolitan Cities in 2014, and a small pilot meeting—attended by four

members—was held in 2014. As the CAAC moved to the Government Complex Sejong in 2015, circuit administrative appeals have since been expanded and continued on a larger scale up until 2019. The 2019 CAAC plenary meeting was held in Daegu city for the first time outside Sejong city.

Field Evidence Examination

As the CAAC deliberates and makes decisions on hundreds of cases per week, written deliberations are more common than actual face-to-face hearings. In order to overcome the limitations of written deliberation and conduct close examinations of facts, officials in charge of reviewing administrative appeal cases proactively conduct field evidence examinations. The number of field evidence examinations the CAAC performed in 2019 was 316.

(3) Enhancement of Exchange and Cooperation with Relevant Agencies, and Capability of the Staff

Specialized Education by Sector

Reflecting the introduction of the public representation for administrative appeals system and the mediation system, the specialized education by sector has been carried out with contents of an introduction to the revised provisions of the Administrative Appeals Act and the new system in addition to the administrative appeal practice and system and major rulings of information disclosure cases. The central government officials in the relevant fields came as instructors so that they could help greatly in practice.

Exchange and Cooperation with Municipal & Provincial Administrative Appeals Commissions

The CAAC has been holding ad-hoc policy consultation talks with 17 municipal and provincial administrative appeals commissions since 2011.

The CAAC convened 8 different regional meetings with 17 municipal and provincial administrative appeals commissions on the working level to discuss forming official dialogue channels.

Operation of Training Course for Administrative Appeal Experts

To improve the expertise of the administrative appeal review officers and to improve the quality of the review and shorten the period, since 2011, the ACRC have opened 'Administrative appeal specialist training course' as part of ACRC Academy. To strengthen professionalism, the contents include, theories on issues by case, the latest cases, specialized education for the mediation system, and administrative litigation practice, etc.

(4) Administrative Appeals that Cooperate and Communicate

The 4th Mock Administrative Appeal Contest

The mock administrative appeal contest was first held in 2016, intended to make administrative appeals more accessible to the public and to provide law school students-future members of the legal community-with opportunities to understand and experience administrative appeals, which are representative measures for the protection of people's rights. The fourth contest in 2019 welcomed 162 participants from 26 teams of 12 law schools across the country.

On- and Offline Promotion

The ACRC strengthened on- and off-line promotion through various channels to promote administrative appeal to the public in a more familiar way. Thanks to our efforts, in 2019, the ACRC saw the public awareness of the administrative appeals system improved by 8.7 pp from the previous year in its annual survey of the public awareness of Commissions's major policies on 2,000 adult respondents.



Chapter 2.

Achievements of the Central Administrative Appeals Commission

1. Administrative Appeals Received and Closed

The CAAC received 24,076 administrative appeals in 2019, an increase of 1,033 cases from the previous year. The number of general complaints increased by 4,346, while cases concerning veteran's affairs and driver's licenses fell by 12 and 3,301 respectively. The number of closed cases stood at 21,534 in 2019, a decrease of 3,619 cases from the year before. The closing of general cases increased by 2,356 while that of veteran's affairs and driver's licenses decreased by 294 and 5,681 cases respectively.

Result of appeals received and processed over the past seven years

(Unit : case)

Year	Received	Deliberated & adjudicated				Acceptance rate (%)	Withdrawn / referred
		Total	Accepted	Rejected	Dismissed		
2013	25,570	24,405	4,227	18,820	1,358	17.3	1,089
2014	25,301	25,270	4,131	19,164	1,975	16.3	1,068
2015	24,425	24,947	3,933	18,627	2,387	17.4	1,433
2016	26,730	26,080	3,901	19,315	2,864	16.8	1,699
2017	27,918	25,775	3,584	19,105	3,086	15.8	1,307
2018	23,043	25,153	3,814	18,928	2,411	16.8	1,401
2019	24,076	21,534	1,567	14,166	5,801	10.0	1,271

2. Analysis of Cases by Type

When breaking down the cases, the CAAC received in 2019 by type, 13,526 (56.20%) cases

involved appeals on driver's licenses, 9,258 (38.4%) on general complaints and 1,292 (5.4%) on rewards for patriots and veterans.

Violations regarding driver's licenses constitute the largest percentage of the cases received. It could be attributed to the fact that many citizens possess their own vehicles, and that the Road Traffic Act requires claimants to go through an administrative appeal procedure before filing an administrative litigation against an administrative disposition.

Statistics on cases received by type

(Unit: case, %)

Year	Appeals on driver's licenses		Cases on rewards for patriots and veterans		General complaints	
	Received	Ratio	Received	Ratio	Received	Ratio
2017	20,742	74.3	1,445	5.2	5,731	20.5
2018	16,827	73.0	1,304	5.7	4,912	21.3
2019	13,526	56.2	1,292	5.4	9,258	38.4

(1) General Complaint Cases

General complaint cases vary in origin, and include cases concerning employment and labor, information disclosure, national defense, legal affairs, land and transportation, a variety of exams, health and welfare, school bullying, fiscal affairs and finance, the environment, and culture.

The number of cases handled in 2019 was 7,607, an increase of 2,356 (44.9%) from the previous year. The CAAC saw a surge in the number of cases rejected by 5,588 (163%) compared to 2018. The major reason for the spike is that some applicants filed for administrative appeals multiple times against each administrative agencies, which calls for a measure to discourage those who take advantage of free-of-charge appeals filing system and submit the same claims repeatedly. The CAAC is collaborating with the National Assembly in exploring various institutional options to address repetitive claims so that it can provide other citizens who need to redeem their compromised rights through administrative appeals.

General complaint cases received and closed

(Unit: case)

Year	Cases received	Cases closed			
		Subtotal	Accepted (acceptance rate)	Rejected	Dismissed
2017	5,731(20.5%)	4,669	266(14.0%)	1,633	2,770
2018	4,912(21.3%)	5,251	596(19.1%)	2,530	2,125
2019	9,258(38.4%)	7,607	297(14.7%)	1,722	5,588

The majority of general complaint cases requires significant time and personnel for case review due to the often complex nature of the case content, and the significant number of related records. In addition, the types of cases vary as disposition agencies include central administrative agencies and their affiliated organizations, as well as local governments and their affiliated organizations. One out of six to seven cases or around 15% of the general complaints were accepted.

(2) Cases Concerning Rewards for Patriots and Veterans

Cases concerning rewards for patriots and veterans are those appeals related to applications for persons of distinguished service to state, persons of distinguished service to national independence, war veterans, patients suffering from actual or potential aftereffects of defoliants, and persons of distinguished service according to the related laws on rewards for patriots and veterans and their families. Most cases are disputes over registration as persons of distinguished service to state against the Ministry of Patriots and Veterans Affairs and Regional and District Offices of Patriots and Veterans Affairs.

Cases on rewards for patriots and veterans are relatively less complex compared to general complaint cases. However, as the events that serve as the backgrounds of disputes—such as the Korean War and Vietnam War—occurred long ago, there are often few related existing records to serve as proof of wounds of claimants. In addition, cases regarding rewards for patriots and veterans require both legal and medical assessment to determine correlation

between a claimant's wounds and public duties served.

In order to resolve cases concerning rewards for patriots and veterans based on professional advice, the Specialized Committee on Rewards for Patriots and Veterans and Medical Treatment, which consists of medical experts, is operated under the CAAC. Assessment and advisory consulting from outside professionals also frequently takes place.

Cases concerning rewards for patriots and veterans received and closed

(Unit: case)

Year	Cases received	Cases closed			
		Subtotal	Accepted (acceptance rate)	Rejected	Dismissed
2017	1,445(5.2%)	1,343	42(3.3%)	1,244	57
2018	1,304(5.7%)	1,442	53(3.9%)	1,317	72
2019	1,292(5.4%)	1,148	40(3.7%)	1,038	70

(3) Driver's License Cases

Appeals on driver's licenses are those claims concerning administrative appeals regarding administrative dispositions of suspension or cancelation of driver's licenses in accordance with the Road Traffic Act. Each year, approximately 370,000 administrative dispositions are handed down in a massive and repetitive manner, which led to a number of similar appeals filed.

Appeals on driver's licenses have the characteristics of "cases related to livelihood," as they are closely associated with employment or the means for living of claimants. The quantity of such appeals is larger than that of general complaint cases or cases regarding rewards for patriots and veterans; however, such cases present few juridical controversies, and factual relevance (such as the fact that a claimant was driving under the influence of alcohol) is comparatively straightforward.

Cases on driver's license received and closed

(Unit: case)

Year	Cases received	Cases closed			
		Subtotal	Accepted (acceptance rate)	Rejected	Dismissed
2017	20,742(74.3%)	19,763	3,276(16.8%)	16,228	259
2018	16,827(73.0%)	18,460	3,165(17.3%)	15,081	214
2019	13,526(56.2%)	12,779	1,230(9.7%)	11,406	143

The number of driver's license cases accounted for 56.2% of the total administrative appeals and the acceptance rate has remained around 17% in recent years. As driving under the influence is inflicting growing damage to the society, there has been a widespread call among the public for holding drunk drivers accountable with heavier penalties. As a result, the Road Traffic Act was amended on December 24, 2018 to enhance the field sobriety testing standards with stricter blood alcohol concentration requirements as well as the penalty for violators with stretched suspension period of the license. The implementation of the revised law starting on June 25, 2019 brought the acceptance rate of drivers' license cases sharply down, and is expected to sustain the downward trend going forward.

3. Resolution Time

Article 45 of the Administrative Appeals Act specifies that a ruling on an administrative appeal should be made within 60 days from the date on which a respondent or commission received the written appeal. In the event that inevitable circumstances exist, a chairperson may extend the period by 30 days ex officio, meaning that cases should be resolved within 90 days under these special circumstances ¹⁾.

1) Administrative Appeals Act

Article 45 (Period for Making Rulings)

① A ruling shall be made within 60 days from the date on which the appellee or the commission has received a written appeal under 23. Provided, that if unavoidable circumstances exist to the contrary, the chairperson may extend the period for another 30 days ex officio.

② If a ruling period is extended under the proviso to paragraph (1), the chairperson shall inform the parties thereof by seven days before the ruling period expires.

Due to the steady increase of cases received and a lack of personnel, overdue cases resolutions occur every year. In particular, written responses from the disposition agencies regarding general complaints cases with difficult and complex content are often sent past the due date, which is ten days from the receipt of the claim.

The CAAC has taken a number of measures to reduce appeal resolution time, including improving internal processes, placing special focus on cases which have remained unresolved for lengthy periods, enhancing the expertise of working-level personnel, and requesting concerned agencies to observe submission deadlines. Thanks to our efforts, the average appeal resolution time in 2019 was 68.76 days, 13.85 days down from 82.61 days in 2018. In addition, the number of case resolutions after passing the legally set due date of 90 days was 3,601 (16.7%) in 2019, 2,501 down from the previous year's 6,102 (24.3%).

Resolution time in the past three years

(Unit: case)

Year	Total number of cases resolved	Resolution time on average (days)	Number of cases resolved within resolution time		Number of cases exceeding resolution time
			Within 60 days	Within 61-90 days	Exceeding 90 days
2017	25,775	77.16 days	15,981 (62.0%)	3,986 (15.5%)	5,808 (22.5%)
2018	25,153	82.61 days	15,774 (62.7%)	3,277 (13.0%)	6,102 (24.3%)
2019	21,534	68.76 days	16,210 (75.3%)	1,723 (8.0%)	3,601 (16.7%)

4. Oral Hearings

Administrative appeals can be deliberated orally or in writing. Oral hearings consist of the hearing of statements and deliberation conducted with the pertinent parties at a commission office. Oral deliberation provides additional clarity compared to written deliberation as question and answer sessions allow easier analysis of factual evidence, and dubious information and contradictions can easily be detected and resolved. Because of these strengths, oral hearings have been adopted as a general principle of deliberation in trials,

becoming an official part of lawsuits. The Administrative Appeals Act institutionally guarantees the claimant's right to apply for oral hearings by allowing oral deliberation to be conducted upon request, except for in certain cases in which deliberations in writing deemed sufficient.

5. Suspension of Execution and Temporary Disposition

The Administrative Appeals Act adopts the principle of non-suspension of execution. This means that the disposition which is subject to appeal remains in effect despite an appeal having been made. However, if it is deemed that non-suspension could possibly cause serious loss to a claimant, a suspension of execution can be requested by the party or ex officio.

Suspension of execution plays an important role in protecting procedural rights of the public; however, it is not always a sufficient response to breaches of rights and interests due to illegal or unjust dispositions of refusal or omission, because it is limited to restoring the status as it was prior to disposition. In consideration of this, the Administrative Appeals Act allows for the enactment of temporary dispositions in order to more ably protect against instability for parties who cannot be relieved by suspension of execution alone.

When it is highly likely that a disposition or omission will be deemed illegal or unjust, but suspension of execution is not adequate in providing relief, a temporary disposition to grant protection to the party from a possible disadvantageous risk may be requested.

Application for and result of suspension of execution

(Unit: case)

Year	No. of applications	Result			Execution suspended	Withdrawn/referred
		Accepted (rate)	Rejected	Dismissed		
2017	2,170	286(14.0%)	1,763	57	120	74
2018	1,949	293(15.9%)	1,550	48	105	89
2019	1,767	223(14.3%)	1,336	55	89	105

Application for and result of temporary disposition

(Unit: case)

Year	No. of applications	Result			Temporary disposition granted	Withdrawn/referred
		Accepted	Rejected	Dismissed		
2017	44	-	25	10	5	11
2018	46	1(3.0%)	32	9	1	4
2019	37	-	27	6	1	6

6. Examples of Administrative Appeals

☆ [2018-12576] Request for withdrawal of the decision to exclude the Applicant from veteran support program

【Issue】

Whether the Applicant was a veteran per Article 2.1.1 of the Support for Discharged Soldiers Act

【Summary of the appeal】

The Applicant joined (was commissioned) in the Army on November 19, 1966 and was expelled on July 5, 1970. He was later assigned to the reserve forces, completed his tenure, and retired. The Applicant applied for the veteran support program on March 22, 2018, but the Respondent rejected the application on April 12, 2018 per Article 2 of the Support for Discharged Soldiers Act and Article 40 of Subparagraph 4 of the Military Personnel Management Act as it learned that the Applicant had a history of being expelled from the Army.

【Summary of the CAAC decision】

Given that the Military Service Act was amended by Act No. 3999 on February 17, 1988 to include new provisions of Article 40 of Paragraph 3 and 4 that allow individuals to request the authorities to revoke the previous transfer disposition and assign back to their former rank in reserve service, if individuals who had been expelled or removed from their post to be assigned in the supplementary service, become mentally and physically healthy and well-behaved so that the reason to transfer ceases to be valid; that the Applicant was assigned back to his former rank of warrant officer in the reserves on November 17, 1989, and completed his obligation of military service per Article 72 of the Military Personnel Management Act by serving in the Army until his retirement age, the CAAC confirmed according to Article 2.1.1 of the Support for Discharged Soldiers Act that the Applicant was a veteran who completed his tenure obligated by the Military Service Act or the Military Personnel Management Act, and found that Respondent's rejection of the Applicant's claim for benefits on the veteran support program was against the law and unfair.

☆ [2018-17575] Request for withdrawal of rejection to correct information in a licensee driver record

【Issue】

Whether a traffic accident occurred due to the Applicant's fault

【Summary of the appeal】

The Applicant was a bus driver who hit a pedestrian while driving the vehicle around a curve on September 22, 2017 about 10 p.m., and resulted in injuring the victim with a traumatic amputation in the toe area. The Respondent, a police station in charge of the area where the accident occurred, documented that the Applicant was involved in an accident, causing a serious injury to the victim in the traffic accident history of the Applicant's driver record per Article 137.2 of the Road Traffic Act. The Applicant demanded the Respondent to delete the accident record on August 10, 2018, but the Respondent rejected the request on September 4, 2018 claiming that the accident was indeed caused due to the Applicant's fault.

【Summary of the CAAC decision】

Given that the Applicant had been driving under the speed limit while keeping his eyes forward; that it would be difficult for the Applicant to spot the victim who had been walking into the road from between motorcycles parked on the sidewalk at night time; that it would be hard for the Applicant to prevent from hitting the victim even if the Applicant had recognized the victim when the victim had been approaching into the road as the victim had been only approximately 9.5 meters away from the bus the moment he had made into the road; and that the fact that his case concluded as 'no authority to file prosecution', meaning that a case lacks proceeding conditions or punishment can not be imposed, hardly proved that a judicial deliberation was made on whether the incident constitutes a crime, the CAAC concluded that the incident occurred beyond human control or due to the negligence of the victim, and thus found the Respondent's disposition was against the law and unfair.

☆ [2019-3605] *Request for revoking the decision to exclude the Applicant from an alternative livelihood program beneficiary list*

【Issue】

Whether the Applicant was eligible for an alternative livelihood program by cultivating a land lot during a set period, whose ownership was transferred to the Respondent for a residential land development project

【Summary of the appeal】

Although the Applicant's land was within the scope of a residential land development project, the Respondent excluded the Applicant from its alternative livelihood program on December 5, 2018 claiming there was no documentation to prove that the Applicant had been cultivating the land during a set period for assessing the program beneficiary.

【Summary of the CAAC decision】

The beneficiary selection criteria of the alternative livelihood plan of the land development project specified that a program beneficiary had cultivated farmland of 1,000㎡ or larger within the project area from before November 23, 2005 when the project had been publicly announced up until the day when the first compensation had been paid, and was compensated for their business income loss.

Given that the Applicant had inherited the land at issue on February 19, 1973 and had since possessed the land before transferring the ownership to the Respondent on January 5, 2009; that the Applicant had his land first documented as him being owner of the land in the farmland register on February 1, 1991, and the record stayed the same with no history of leasing the land for tenant farming until February 17, 2009; and that the aerial photos provided by the National Geographic Information Institute confirmed that the land was in use of cultivation in 2006, the CAAC concluded that the Applicant had conducted the farming activities on the land from before the project announcement up to when the first compensation had been made, and found the Respondent's decision to exclude the Applicant from the program beneficiary was against the law and unfair as it was deviation of discretion





Part 06

Enhancement of Policy Feedback
through Communication with the
People



Chapter 1.

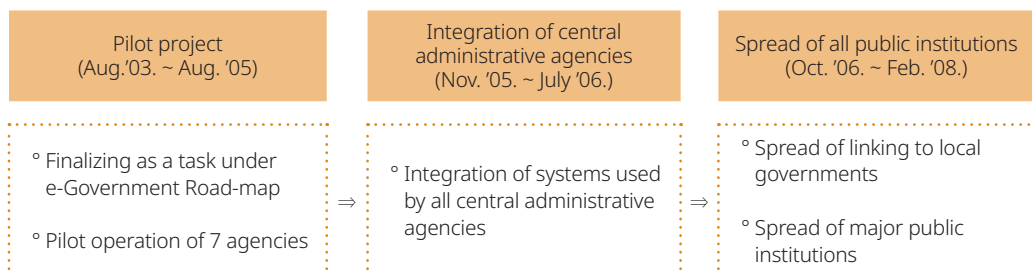
Operation of Public-Oriented Communication System

1. Establishment of One-Stop Communication Channel

As a communication channel between the public and the government, and under the slogan of “No voice left unheard,” the ACRC has launched e-People, an online communication portal integrating the management of civil petitions, public policy suggestions and participation that were previously handled individually by each administrative agency.

Starting with the integration of civil petition, policy suggestion and public participation systems of seven central administrative agencies in August 2005, e-People brought together all central administrative agencies by July 2006, and connected equivalent systems in local governments and major public organizations in February 2008.

History of establishment of e-People system



Since 2016, the ACRC has also led the transformation of e-People into the Integrated e-People Operating System that directly handles all complaints submitted to local governments including civil petitions, inquiries and proposals with the exception of legal complaints. As a result, as of 2019, 1,008 public agencies use e-People.

2. Enhanced Quality Control of e-People Civil Petition Services

The ACRC has supported training and consulting services regarding the operation of e-People in order to enhance the capability of different organizations in handling complaints. The ACRC inspects and assesses the quality of e-People services provided by administrative agencies every year in order to provide the public with a quality civil petitioning service.

Notably, in order to improve the prevalent practice of passing over complaints among organizations (“ping-pong complaints”), the ACRC introduced a system for ping-pong complaint mediation in 2015. Since then, the ACRC has made efforts to stabilize the system with consistent reviews and monitoring in addition to revising the complaint categorization chart that serves as a reference for assigning which organization is responsible for handling certain types of complaints.

As a result, the average handling time of a ping-pong complaint that had been transferred more than three times was down from 3.1 days in 2015 to 2.5 days in 2018 and has since remained at the lower level, providing a basis for prompt submission and handling of complaints. In addition, the ACRC successfully lowered the percentage of ping-pong complaints out of the total grievances from 0.57% in 2015 to 0.31% in 2019.

3. Provision of Multilingual Services on e-People

The ACRC provides e-People services in 14 languages, starting with English, Chinese and Japanese in June 2008.

Timeline of launch of multilingual complaint service

Launch	Jun 2008	Dec 2009	Jun 2010	Nov 2010	Feb 2011	May 2011	Sep 2011	Nov 2011	Dec 2012	Nov 2013	Jun 2016
Language	English Chinese Japanese	Vietnamese	Mongolian	Indonesian	Thai	Uzbek	Bengali	Cambodian	Sinhala	Nepali	Russian Burmese

Multilingual complaints received

Year	2011	2013	2013	2014	2015	2016	2017	2018	2019
No. of case	724	800	1,230	905	1,370	1,561	1,683	1,630	6,345

The multilingual e-People service allows Korean expats and foreigners residing in Korea that have no command of Korean to file civil complaints in their mother tongue. The concerned public organization then handles the civil complaints and notifies the petitioner of the translated outcome.

4. Establishing the Foundation for Online Channel for Partnership between Government and Citizens

e-People Policy Suggestion is a government channel for online and offline policy suggestions that seeks to enhance the quality of administrative services by incorporating people's ideas for policy improvement identified in their daily lives, and to proactively offer user-centered services.

The aim of the system is to gather a range of public opinions from the field on any shortcomings in policy design or undetected issues in the implementation of laws, institutions, or government projects, and to identify better solutions and improvement measures based on public-private partnerships.

The ACRC conducts annual investigations into the operation of Policy Suggestion. In addition, the Commission reviews how each agency is operating the channel and provides their performance results on a quarterly basis to help the institutions identify their progress and address any issue as early as they can.

We strengthened the feedback mechanism over the channel operation by providing rewards to an agency and a personnel who has produced an extraordinary result or taken effective promotion measures.

With our support toward the operation of the policy suggestion channel through continuous monitoring and management, the adoption and implementation rate of citizens' suggestions

by administrative agencies rose from 28.7% in 2018 to 33.9% in 2019.

In order to actively meet the need for public policy participation, the ACRC launched People's Idea Box (idea.epeople.go.kr), a mobile communication platform in 2016. The People's Idea Box aims to address the challenges of the previous communication system with the public and identify policy alternatives with collective intelligence.

People's Idea Box offers users a mix of different functions including idea suggestion, discussion, voting, and survey to identify the optimal policy alternatives based on public consensus. With such functions, the public that is the ultimate beneficiary of policies can directly participate in designing government policies and administrative services as policy prosumers.

The ACRC established and operated a collaborative system with related organizations and private portals in order to activate the public participation platform, and carried out a variety of relevant offline activities.

Based on the MoU reached in 2018 between the ACRC and the National Research Council for Economics, Humanities and Social Sciences consisting of 26 state-run research institutes, we have taken advantage of all available means of expertise through experts' advice, participation in discussions and consulting services regarding the agenda raised in People's Idea Box since April 2019 in order to develop and ultimately realize as many suggestions as we can.

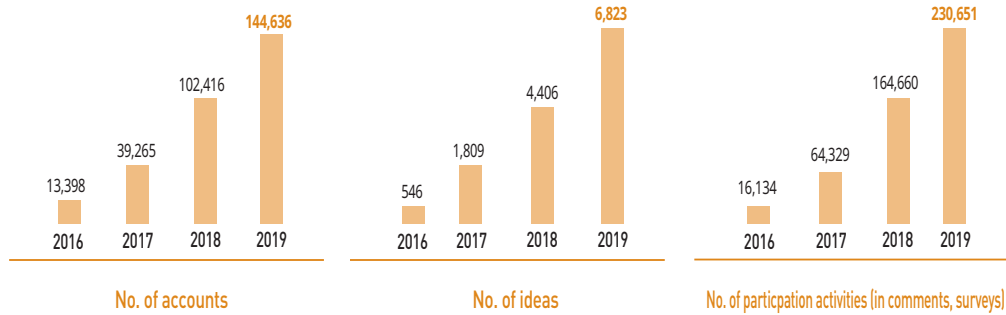
In addition, in order to create a synergy effect of people's participation through collaboration with the private sector as well as the public sector, the ACRC has expanded and strengthened collaboration with Naver that first began in 2016. We carried our survey projects in collaboration with Naver Knowledge iN seven times in 2019, up from annual average of two times before, and held quarterly events with Naver to listen to policy ideas through People's Idea Box.

As a result, we are making progress in encouraging more public to participate in policy-



making, which is demonstrated by the fact that the numbers of accounts, ideas and participation counts each year have been increasing fast since the introduction of People's Idea Box in March 2016. The public awareness of the channel surged to 26.4% in 2019 from the first tally of 17.2% in 2018.

Annual achievements of People's Idea Box





Chapter 2. Operation of 110 Government Call Center

The 110 Government Call Center was established in order to provide a “one-call, one-stop” service through which petitioners can make inquiries, reports, or suggestions regarding government affairs by dialing 110. Call center operators are able to offer direct counseling or redirect calls to relevant organizations.

The nationwide 110 call service began on May 10, 2007, and the call center was relocated from Seodaemun, Seoul to Government Complex Gwacheon on May 20, 2013. On July 1, 2016, the ACRC also added the 110 Non-Emergency Call Center in Yeongdeungpo, Seoul. The centers combined have 263 counselors (138 in Gwacheon and 125 in Yeongdeungpo) who handled 29 million accumulated calls in 2019, including 3.14 million that year alone.

Simple inquiries or standard counseling are internally managed and concluded at the call centers, while those requiring professional help are connected to relevant organizations through direct calls to the person in charge or call-backs to the petitioner from the organization.

The call center average daily call volume has been on the upward trend with 5,808 calls in 2007 to 11,569 calls in 2019.

Average daily calls

2007	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017	2018	2019
5,808	5,824	6,251	7,592	8,594	8,416	8,446	9,251	9,967	10,306	10,868	11,982	11,569

In addition, the call center is showing a good performance with a 93.3% of response rate and 84.5% of service level. The ACRC is continuously trying to improve the quality of counseling by providing measures to help respond calls and training counselors.

1. General Counseling Services

In 2019, the 110 Government Call Center received 3,139,917 calls, among which 2,928,671 were answered and 3,120,408 were handled. The calls handled outnumber the calls answered because they include the additional number of calls made from the Call Center to the petitioners to provide the requested service. In 2019, the average number of inbound calls per day stood at 11,569, a 3.4% decrease from 11,982 in 2018. The response rate and service level reached 93.3% and 84.5%, respectively, nearly the same as those of 2018, indicating stable call services are being offered to the public.

Category	Inbound calls	Calls answered	Rate of calls answered	Service level*	Inbound calls per day
Counseling status	3,139,917	2,928,671	93.3%	84.5%	11,569

* Service level: rate of calls answered within 20 seconds

2. Professional Counselling Services

On January 22, 2018, with the implementation of professional counselling for the Fair Trade Commission, professional counselling services has started for 7 ministries including Ministry of Interior and Safety, Statistics Korea, Ministry of Patriots & Veterans Affairs, Ministry of Food and Drug Safety, Ministry of Personnel Management, Fair Trade Commission, and Ministry of Culture, Sports and Tourism, and has provided counselling to 854,545 cases.

Number of cases handled with professional counselling in 2019

Total	Ministry of Interior and Safety	Statistics Korea	Ministry of Patriots & Veterans Affairs,	Ministry of Food and Drug Safety	Ministry of Personnel Management	Fair Trade Commission	Ministry of Culture, Sports and Tourism
854,545	120,087	38,876	257,672	321,088	11,765	101,695	3,362

3. Main Phone Number 110 Project

Because each government agency used to operate their own call center, citizens had to experience inconvenience, and because of redundant investment of the national budget into

these call centers, inefficiencies were created. To resolve such issues, based on the decision made on effective operation of the government call centers in March 2014, the ACRC completed integrating the call centers of 11 government ministries in Gwacheon. In addition, we are making sure that when citizens reach out to the phone number 114 to ask for the contact information of government agencies such as the Ministry of Culture, Sports and Tourism or the Rural Development Administration, they are encouraged to dial 110.

Number of cases 110 call center handled on behalf of ministries in 2019

Total	Ministry of Oceans and Fisheries	Ministry of Agriculture, Food and Rural Affairs	Ministry of Education	Ministry of Land, Infrastructure, and Transport	Ministry of Foreign Affairs	Ministry of Science and ICT	Korea Meteorological Administration	Ministry of Health & Welfare	Ministry of Justice	Korea Customs Service
103,753	6,118	32,437	7,655	20,327	3,293	11,686	433	14,095	7,249	460

4. Operation of Non-Emergency Call Center

To streamline the call numbering system, emergency call has been integrated into 112~119, and non-emergency call and various complaint call have been integrated into 110. The non-emergency call counselling center (hence, 'the second Yeongdeungpo call center') which has been operating since July 2016, handled total 2,258,679 calls in 2019 alone.

Non-emergency call center's counseling in 2019

Administrative agencies to whom cases are submitted	Total cases	Cases closed	Cases referred
Total	2,258,679	1,765,679 (78.2%)	493,000 (21.8%)
16 newly integrated agencies, fire stations and maritime police stations	95,738	57,962 (60.5%)	37,776 (39.5%)
317 existing integrated agencies in the central government, local governments, and major public institutions	2,162,941	1,707,717 (79.0%)	455,224 (21.0%)

5. Major Activities of the 110 Call Center

Establishing Efficient Cooperation System for Government-Integrated Call Center

Working level officers from public institutions who take advantage of the 110 Government Call Center system met in April and September, 2019 to discuss major policy and operational direction of the center for more efficient collaboration across the board. The agenda covered during the meetings included the result of implementing counselor protection measures, provision of free call rates for the use of call center service, and plans to make the integrated call center more intelligent through the use of the government cloud platform.

Active Participation in Government-wide Policy of Rooting out Power Abuses across the Public Institutions

As more active protection measures are required for 110 call center counselors who engage in emotional labor at the forefront of the service of the people, the ACRC initiated the efforts to protect them on October 1, 2018. Additionally as a measure of rooting out power abuses across the public institutions, we adopted a chat counseling system available on a mobile application in July 2019.

Acting as a Communication Channel for the People in Case of a Nationwide Emergency such as Typhoon Danas

110 call center operates round the clock when hikes in calls are expected such as when disasters occur or major policies are introduced or changed. When natural disasters hit the nation such as a forest fire in Goseong, Gangwon province as well as typhoons Danas in July, Francisco in August, Lingling in September and two more in 2019, the ACRC tried to minimize public confusion, by promptly passing the results of its counseling analysis of the public's inquiries for typhoon pathways, prevention, response methods, and disaster text messages, to relevant departments, including the Ministry of Interior and Safety, asking them to keep

citizens informed and develop response measures.

Responding Civil Complaint Phone Calls on Behalf of the Ministry of Culture, Sports and Tourism

In an effort to better collaborate with other government ministries, the ACRC set up a team within the 100 call center to have it in charge of responding inquiries and complaints regarding cultural industry, tourism, video games, sports facilities, etc. Extraordinary human resources at the center is supporting the Ministry function more efficiently by helping it focus on dealing with its online inquiries and complaints as well as its policy while the team at the center handle much volume of the Ministry's phone calls.

Expanding Benefits for Citizens by Providing Free Rates for the 110 Call Center Services

The ACRC provides text counselling and reservation services through the 110 website and the mobile web. It also operates various communication channels such as introducing 'Visible ARS' Smart Counseling System using mobile phones (March 2018), and providing online counseling (chat and social media), and video counseling using sign language and interpretation services for the deaf. In addition, the ACRC put a system into operation that meets global era by providing translation service for the foreigners in cooperation with Korea Tourism Organization, Foreigner Service Center, and Korea Support Center for Foreign Workers. The 110 call center began providing free rates for phone calls in October 2019 in collaboration with relevant public institutions such as the Ministry of Science and ICT, which triggered a 19 percent increase in the monthly call volume compared to the same period of last year.

Developing Various Promotional Contents and Raising Awareness through Collaborative Promotion

The ACRC conducted online events five times by strengthening participatory PR using social media. The Commission is also making efforts to promote the 110 call center by distributing press releases on issues and utilizing high-impact media such as TV advertisements in cooperation with the Ministry of the Interior and Safety.

We are continuing to introduce the 110 government call center to a wider public by holding a promotional event during the Korea Deaf Convention in November and putting up promotional materials on the website of a local newspaper or on a billboard outside a subway station in order to raise public awareness of the service.

Celebrating the First 110 Day to Encourage and Boost Morale of Counselors

We held our first “110 Day” on January 10 in 2019 to encourage counselors who experience emotional labor while responding to the public. The ACRC presented rewards to the best counselors and the winners of a competition, and had a conversation with the staff on workplace hardships to keep their morale up.





Chapter 3.

Policy Improvement through Analysis of Complaint Big Data

In 2019, the number of complaints filed by the people to the central ministries and local governments reached 10,370 thousand cases. Compared with the previous year, it increased by 48.1%, rising every year since the data collection began (960 thousand in 2013 → 1.71 million in 2014 → 3.34 million in 2015 → 4.65 million in 2016 → 5.27 million in 2017 → 7 million in 2018)

Through the pan-government complaint information analysis system which collects and analyzes big data on civil petitions through e-People, local governments' channels (city and provincial portals, Saeol, etc.) and public proposal, etc., the ACRC analyzes complaints in various ways, such as analyzing trends of the weekly and monthly complaints, analyzing issues of public concern or having social impacts, and analyzing complaints related to specific policies. In addition, we identify cases that cause inconvenience to the public due to the lack of a system, irrelevant laws, excessive regulations, and wrong practices and have them improved.

Weekly and Monthly Analysis of Complaint Big Data

The ACRC publishes periodical reports of "Voices of the People" by analyzing complaint big data to identify weekly and monthly trends of civil complaints, current state of complaints by institution, and major complaint cases. The weekly and monthly reports are provided to some 1,270 public agencies and research institutes, and open to the public.

In 2019, the Commission published 38 weekly and 12 monthly reports of Voices of the People. A total of 143 cases was provided to the public bodies through the reports, and 94 cases of them were found to be used for institutional improvement, policy reference, publicity and education in related institutions.

Civil complaint cases used for policy making

Year	Total cases	Cases referred to	Application type				Cases not referred to
			Institutional improvement	Public relations/ training	Investigation/ check	Others	
2015	199	116	61	24	11	20	83
2016	207	118	72	6	9	31	89
2017	133	74	48	5	1	5	59
2018	156	94	42	18	6	28	62
2019	143	94	44	10	11	29	49

Analysis of Major Complaints Highly Relevant to People's Livelihoods

The ACRC offers direct or indirect support for improvement of policies by providing relevant agencies with improvement opportunities and policy implications after conducting in-depth analysis of complaints related to major national policies, social issues and issues of public interest. In 2019, the ACRC conducted detailed studies on seven cases. The majority of them were about social issues encompassing environment, safety, residency, local communities and income to support the government's initiative in realizing an inclusive nation.

Operation of Complaint Forecasting System

The complaint forecasting system was introduced to prevent or minimize damage, conflicts, and inconveniences. The complaint forecast system was piloted in 2013 and implemented in full scale in 2015. The system monitors the complaints of the past three years and selects cases that occur repeatedly at specific times, and forecasts the types of complaints and major cases one month before when the type of issue is anticipated to appear in order for relevant institutions to be prepared with response measures.

In 2019, a total of 19 complaint forecasts was conducted. The forecasts released in 2019 included the ones on the year-end tax settlement for income earners in January, high school allocation in February just before when new school year starts, forest fires and travels in April and May when more people engage in outdoor activities, beaches and flight tickets in August

and September during summer vacation, and old diesel cars in December when concentrations of fine dust are high.

Release of the Website “Complaints Big Data at a Glance”

As we’ve moved into the “Data Age” from the Information Age, we wanted to create an environment where anyone can take advantage of complaint big data. The ACRC initiated a data visualization project to open big data such as statistics and analysis of civil complaints based on the data collected through the Complaint Information Analysis System, which had only been shared among government agencies, and began providing the Complaints Big Data at a Glance service in 2019.

Complaints Big Data at a Glance visualizes complaints data collected through the Complaint Information Analysis System in a wide range of types and forms. It is designed for users to download various core data, such as the current state of complaints by region, institution, sector, the TOP keyword of complaints, and customized statistics so that anyone can leverage the data to develop programs and services.

Development of Next-Generation Complaint Information Analysis System

The previous version of the Complaint Information Analysis System was adopted in 2012 and was perceived to perform with low accuracy and speed in analyzing civil complaint data from today’s standards of big data analytics. Furthermore, civil complaints are unstructured information that requires a tailored advanced analysis technique for the specific data type.

We therefore initiated a project in 2018 to develop a next-generation complaint information analysis system to take advantage of artificial intelligence and other cutting edge big data analysis tools and enhance accuracy in data classification as well as speed of processing information, and finished building the upgraded version of the system in 2019.

The introduction of the Next-Generation Complaint Information Analysis System enabled us to clean data by using a linguistic dictionary for each complex complaint data type, sophisticate the natural language processing technique through machine learning, and



adopt a number of data analysis techniques, including classification and clustering as well as network analysis. In addition, the new version of the system utilizes a wide range of external big data, such as online news articles and trending search keywords on web portals to identify major social issues in advance, which is another core feature we anticipate will boost the application of civil complaints big data.

<Major features of the next-generation complaint information analysis system>

- Adoption of natural language processing technique and building of a dictionary for complaint big data analysis
- Introduction of machine learning to find similarities among complaints and group them by type as well as identify issues
- Advancement of data visualization tools
- Development of an analysis system to identify patterns and trends in complaints through the use of news articles, social media content and information on web portals



Chapter 4.

Reinforcement of Complaint Counseling

The key mission of the Government Complaints Counseling Center is to promote public welfare and ultimately protect the rights of the marginalized members of the society by listening to the voices of those in despair, and offering proper and prompt counseling.

Specifically, the center aims to provide guidance on laws, institutions and procedures of administrative affairs (e.g. permission, authorization, patent, license, approval, designation, recognition, recommendation, tests, inspection, qualification), and to offer petitioners with counseling and guidance on how to respond to violation of rights or any inconvenience arising from administrative measures.

The ACRC operated the Sejong Counseling Center serving petitioners or residents of Chungcheong and other areas and the ACRC Seoul Complaints Center serving residents of the Seoul Metropolitan Area. However, the Seoul center was reorganized and expanded in October 2019 to become the Government Complaints Counseling Center, which was designed as the gateway for filing complaints against the government institutions to prevent the inconveniences of complainants who have to go to various institutions by not knowing their jurisdiction or by making multiple complaints. With the opening of the integrated center, we are also providing online counseling services via the website.

Before	⇒	After
ACRC Seoul Complaints Center		Government Complaints Counseling Center
■ Provided counseling on secondary complaints at the Seoul center while general complaints and those involving multiple institutions at the relevant agencies		■ Provide counseling for all types of complaints at the integrated center
■ Only in-person and phone counseling channels available		■ Online channel added
■ Co-counseling on complaints involving multiple institutions & mediation functions not available		■ Co-counseling on complaints involving multiple institutions & mediation functions added

In addition to counseling service from complaint investigators, the counseling centers have also brought in experts from different fields, such as lawyers, certified labor attorneys and tax accountants, as special counselors and appointed retired public officials with abundant experience as complaint counselors to help petitioners find appropriate solutions.

In 2019, the Sejong and Seoul centers combined counseled and guided on a total of 11,019 complaints.

Moreover, the ACRC operates a video counseling system between Sejong and Seoul to facilitate services between the complaint investigators at Sejong and petitioners in the metropolitan area who are unable to travel all the way to the head center in Sejong. A total of 679 video counseling sessions took place in 2019.

Counseling by center

(Unit: case)

Category	Total	Sejong	Seoul	Online
2019	9,024	3,092	5,932	1,995
Average daily	36.4	12.5	23.9	31.7
Investigator	5,788	2,763	3,025	1,995
Lawyer	1,464	208	1,256	
Certified labor attorney	116	3	113	
Tax accountant	139	18	121	
Complaint counselor	1,517	100	1,417	
2018	9,091	3,030	6,061	-
Average daily	37.0	12.3	24.6	-
2017	9,658	2,927	6,731	-
Average daily	39.7	12.0	27.7	-
2016	10,229	3,191	7,038	-
Average daily	41.1	12.3	28.3	-





Part 07

Institutional Improvements for
Fundamentally Correcting Factors Causing
Public Inconveniences and Corruption



Chapter 1.

Overview and Examples of Institutional Improvements

1. Overview

Institutions are norms designed to deal with the needs of society as a whole; perfect institutions, which are able to satisfy all members of the society, are rare. Furthermore, even if there are nearly perfect institutions, continuous improvements and complementary efforts are required to keep up with changes in society brought about as time passes by. People are increasingly calling for more rational laws, regulations and institutions in a modern society where policy environment is dramatically changing due to rapid technological advances and rising international influence over nations.

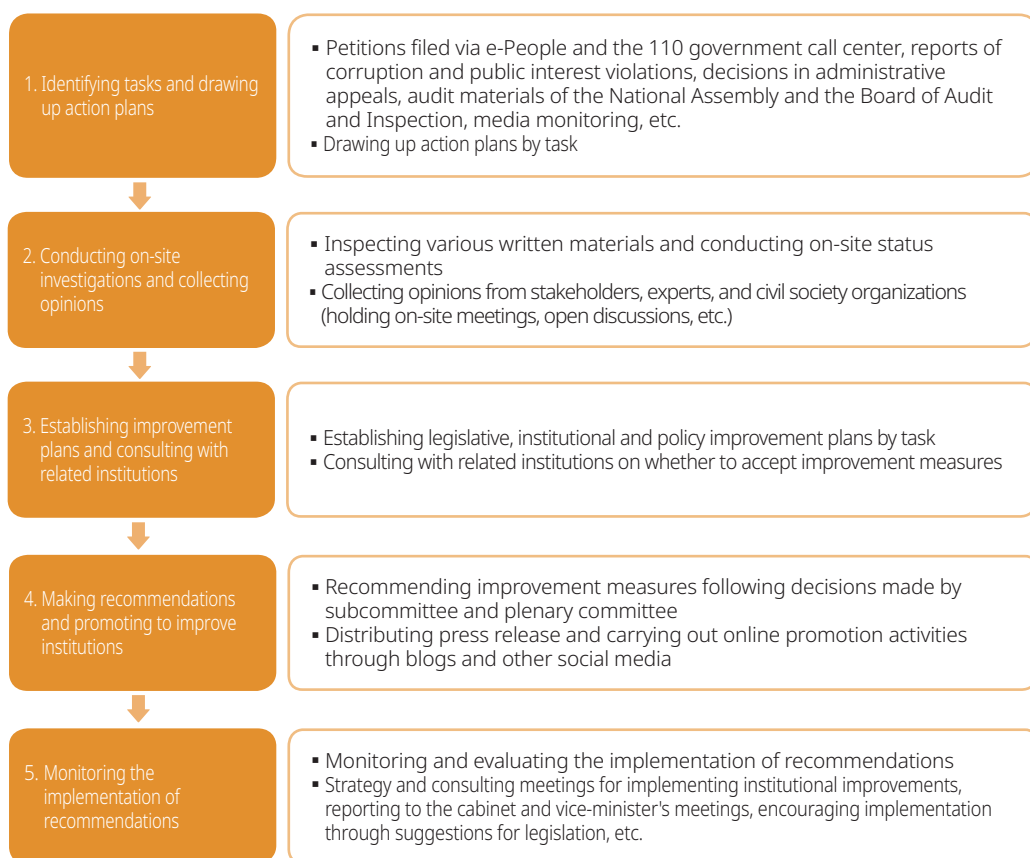
The ACRC manages a wide range of communication channels between the government and the people, including e-People, 110 Government Call Center and People's Idea Box. It has protected rights of citizens by conducting investigations based on the reports we've received via a variety of channels from the public and identifying corruption vulnerabilities to find and make improvements on issues in institutions and policies. The Commission is making efforts to prevent similar cases from occurring to fundamentally tackle inconveniences and grievances in everyday life as well as corruption vulnerabilities in systems.

Article 12 of the ACRC Act stipulates that the ACRC is responsible for: providing recommendations or opinions when it has been deemed necessary to improve an administrative system that may be the cause of a civil petition for grievances (Paragraph 3), surveying and evaluating the status with respect to civil petitions for grievances by the ACRC and improving administrative systems (Paragraph 4), formulating anti-corruption policies and making corruption prevention recommendations to assist public organizations to strengthen their system and policies, and conducting status surveys of public institutions for the purposes (Paragraph 5).

Based on this, the ACRC selects laws and systems that need improvement for the prevention of corruption (Article 27 of the Act) and the resolution of grievances (Article 47 of the Act), and after taking into account the facts and opinions of stakeholders, it recommends reasonable improvement to the head of the relevant organization.

In addition, the ACRC has the authority to request information and to monitor the current state of affairs (Articles 12 and 29 of the Act), to monitor and confirm compliance with recommendations, to make public announcements thereof (Articles 27, 52, 53 of the Act), and to propose legislation with regards to institutional improvements (Article 77 of the Act), for the purpose of effective enforcement of institutional improvements.

Flow chart of institutional improvement



2. Institutional Improvement in Corruption-Prone Areas for Eradicating Chronic and Systematic Corruptions

In 2019, the ACRC put the major focus on ▲ foul play and favoritism in daily life, ▲ budget waste, ▲ the collusion between the public and private sector, and ▲ supervisory loopholes in its anti-corruption efforts and delivered recommendations on 13 laws and regulations. By doing so, we tried to root out recurring corruption vulnerabilities that have been identified yet not tackled for years.

In particular, many people have expressed sympathy and support for the need to improve the operational system of mobile gift cards or public sports facilities, which are very close to people's everyday life but give privileges to only a few.

As for the recommended tasks of 'Enhancing effectiveness in reducing and exempting liability of whistleblowers' and 'Adjusting punishments for subcontracting an electrical construction project', we identified areas of improvement while dealing with reports on relevant cases and attempted to fundamentally address the institutional problems by issuing recommendations to improve the institutions.

Furthermore, we were able to deliver some tangible results in a short time about on the recommendations of 'Prevention of financial and accounting frauds by universities' and 'Prevention of corruption in operating open lectures in universities' as relevant agencies were collaborative.

Tasks recommended for institutional improvement to prevent corruption

Area	Task title	Date of recommendation passed
Foul play and favoritism in daily life	Enhancement of fairness in the use of mobile gift cards	Aug. 19
	Increase of transparency in the use of public sports facilities	Oct. 21
Budget waste	Prevention of financial and accounting frauds by universities	Jan. 21
	Prevention of improper reception of financial awards for whistleblowers	Dec. 23
Collusion between the public and private sector	Prevention of potential privilege in operating open lectures in universities	Feb. 18
	Prevention of damage to citizens and financial loss during the sale of public lands	Aug. 5
Supervisory loopholes	Improvement of effectiveness in operating whistleblower award and reward funds by local governments	Jul. 15
	Enhancement of transparency in operating support services for special education for students with disabilities	Jul. 15
	Increase of transparency in providing information on medical history by the National Health Insurance Service	Oct. 21
	Enhancement of fairness in hiring process of non-public official employees working for government agencies	Dec. 2
	Enhancement of effectiveness in reducing and exempting liability of whistleblowers	Dec. 2
	Prevention of employees of public service-related organizations from taking a leave of absence for any purpose other than the specified purposes	Dec. 2
	Adjustment of punishments for subcontracting an electrical construction project	Dec. 23

3. Improvement in Unreasonable Institutions for Revitalizing Livelihoods of People

In 2019, the number of complaints received through e-People was 9.97 million, more than double the figure of last year's 4.47 million. The number of policy improvement proposals that were discussed on People's Idea Box, a mobile based communication platform, reached 6,800.

The ACRC analyzed the complaints and policy proposals that were continuously and repeatedly filed and confirmed whether there were unreasonable laws or systems behind them, and it has sought to provide a rational improvement plan that will fundamentally resolve complaints and public inconveniences through a thorough investigation.

In 2019, the ACRC established and recommended 31 measures to improve the system of four major areas of employment, livelihood & safety, housing & welfare, and health care.

For example, the Commission attempted to resolve grievances involving some 28,000 skilled industrial personnel arisen in the process of employment and career moves. We also tried to strengthen public safety by tackling 'blind spots' such as through enhanced safety management of 3,031 nationwide water play areas in water parks, fountains, housing complexes, etc.

Furthermore, the ACRC made a recommendation to enhance protection measures for tenants with small security deposits by including them in the coverages of the deposit guarantee insurance. Another recommendation was made to develop more effective driving safety courses for senior drivers of 3.07 million aged 65 and over, and 0.75 million aged 75 and over.



Tasks recommended for institutional improvement to resolve grievances

Area	Task title	Date of recommendation passed
Employment	Resolution of grievances arisen in operating the alternative military service as skilled industrial personnel	Mar. 4
	Improvement in operating the hazardous chemical safety training	May 13
	Improvement of food hygiene education and streamlining relevant administrative procedures	May 13
	Enhancement of convenience of tax return for income earners	Jun. 24
	Resolution of inconveniences in filing for the early employment incentive	Sept. 9
Livelihood & safety	Enhancement of safety and water quality management of water play areas	Jan. 21
	Improvement of management of gas stations left untended for a long time due to business suspension or shutdown by implementing safety measures, etc.	Apr. 15
	Enhancement of protection of personal information of complainants in public agencies	Apr. 15
	Expansion of the rights of the victims affected by the illegal activities of government employees by inviting the victim in the disciplinary process of the wrongdoer, etc.	May 27
	Reinforcement of user convenience and operation transparency in the cultural benefits system for the underprivileged	Jul. 15
	Improvement in the operation of driving safety training for senior citizens	Sept. 23
	Enabling the revision of traffic accident history on driving records	Nov. 14
	Change of usage standards of points in Good Driver Mileage (driver safety incentive program)	Nov. 18
Housing & welfare	Institutional improvement in overcharge and payment of electricity rates occurred due to the supplier's fault	Feb. 18
	Enhancement of protection measures for tenants with small security deposits	Mar. 4
	Clarification of requirements for relocation payment beneficiaries in a housing redevelopment project	Mar. 18
	Increase of information accessibility for the visually impaired	Mar. 18
	Enhancement of transparency in charge and operation of water rates in apartments	Apr. 1
	Improvement of charge and collection of sewage fees	Apr. 29
	Elimination of 'blind spots' in supporting foster homes	Sept. 23
	Institutional improvement in the tax return system for income earners	Oct. 7
	Improvement in the notice of the move-in date for residents of apartment houses	Dec. 2

Housing & welfare	Enhancement of transparency in compensation for damages from blackouts	Dec. 23
	Institutional improvements for expats who experience inconveniences while residing in Korea	Dec. 23
Health care	Enhancement of transparency in building and operating the dispensary in pharmacies	Feb. 18
	Institutional improvement through analysis of civil complaints regarding fine dust pollution (1) - reinforcement of safety net for those who are vulnerable in the fine dust issue	Jun. 10
	Institutional improvement through analysis of civil complaints regarding fine dust pollution (2) - rationalization of support programs for eco-friendly vehicle owners	Jun. 10
	Institutional improvement through analysis of civil complaints regarding fine dust pollution (3) - enhancement of the effectiveness of measures to cut fine dust pollution	Jun. 10
	Increase accessibility of the process of application to refuse life-prolonging medical treatment in advance	Sept. 23
	Enhancement of the quality of long-term care for the elderly in the face of population ageing issue	Nov. 18
	Tackling the 'blind spot' in the veteran support scheme	Dec. 2

4. Institutional Improvement Focused on Tasks Closely Linked to People's Daily Life

All policies should be pursued from the perspective of the people who are consumers. The ACRC, in 2019, focused its efforts on redesigning the law and system improvement process from the supplier, government-centered perspective to people-oriented way, so that the public can lead the process from finding a task to post-management.

The ACRC put people at the center when making institutional improvement. For example, we held a public event where we brought citizens in to identify tasks for institutional improvement, and incorporated what people suggested in devising improvement plans by reflecting what was discussed and suggested on People's Idea Box. As a result, we recommended 56 improvement measures closely related to people's daily life.

During a cabinet meeting in December we reported major tasks of institutional improvement the ACRC has worked on and the progress we've achieved in 2018 and 2019. For example, we enabled persons with disabilities to apply for reissuing their welfare cards, which had been only applied and issued in the jurisdiction of one's address, anywhere in the country since July 2018. Despite losing their welfare cards, persons with disabilities have been allowed to enjoy fare discounts at highway toll gates with a temporary ID card since May 2019. Korea Train Express passengers have been able to change the seat and departure time up until three hours prior to the departure since July 2019, which is expected to save cancellation fees for 240 thousand passengers a month or worth around KRW one billion (USD 800 thousand) a year.

Major improvement tasks by area that are closely linked to people's lives

Area	Task title
① Resolution of job- and childcare-related grievances of those in their 2-30s	· Expansion of beneficiaries of commuting allowance for young people who work for small and medium sized enterprises in industrial parks · Inclusion of wage payments during maternity leave in the coverage of substitute payment by the government to employees when their company goes bankrupt
② Enhancement of protection on socially and economically vulnerable and safety in everyday life	· Increase of prevention for tuberculosis infection by providing more people with free latent TB infection tests · Expansion of the support coverage of medication costs for wartime veterans
③ Reduction of the economic burden in people's daily life	· Elimination of the 'blind spot' that excludes parents from receiving a childbirth allowance at their local government for not meeting requirements for length of residence in the jurisdiction · Expansion of refund eligibility for fees of public professional licensing exams
④ Enhancement of citizens' right to know on important information	· Notification of the precautions regarding passport damages to prevent citizens from being denied entry to a foreign nation · Notification of the automatic cancellation when payment is not processed in reserving facilities at national parks
⑤ Increase of the convenience of administrative services	· Improvement in the payment and refund process for fees of college entrance exams · Expansion of eligibility at the local ordinance level for reporting illegal activities on fire protection system

5. Reinforcement of Post-Management for the Real Effect of Institutional Improvement

Since its launch in February 2008 until 2019, the ACRC recommended institutional improvement on 868 cases for corruption prevention and grievances relief. To make sure these diverse tasks can be carried out by the agencies in charge so that people can feel the benefits of the institutional improvement and enhanced quality of life, the Commission is continuing to implement its follow-up management of the tasks.

In 2019, the ACRC put personnel in charge of 356 tasks on which the Commission has provided recommendations for the past six years since 2013 to check on the progress of the implementation of its recommendation. We then identified 88 public agencies that were

taking passive approaches or having difficulties in improving laws, regulations and guidelines to hold implementation strategy meetings on institutional improvement tasks by region and agency type, and provided one on one consulting services to 27 organizations to devise detailed plans for the implementation and support them to implement institutional improvement recommendations.

The Commission put its focus on reviewing the progress of the tasks that have not been delivered but are among social issues. We also made the progress of institutional improvement of each public agency and best practices available to the public by releasing the information to the media. We shared the implementation progress on enhancing the effectiveness of regulations that ban local council members from holding concurrent position, and the implementation progress of each local government on improving the system of building and managing public sculpture by local governments with the media in March and July respectively to draw more attention from the society on the tasks and increase the willingness of the relevant agencies in carrying out their tasks.

In addition, the ACRC suggested local councils to enact or amend ordinances to help local governments for their prompt implementation of ten improvement tasks that are closely linked to residents' everyday life, including improving the safety management of outdoor fitness equipment, increasing fairness in handling the statements of those who are suspected of parking violation, and improving practices of using the organizations' budget in providing money or valuables to retirees or employees who have served in the organization for a long time.

Furthermore, in an effort to deliver tangible results on improving institutions where citizens can feel the benefits, the Commission newly reflected the outcome of local governments' institutional improvement on tasks that are related to citizens' grievances into the Comprehensive Evaluation on Complaint Service, thereby reflecting implementation results of anti-corruption recommendations and grievance resolution recommendations in the Anti-Corruption Initiatives Assessment and the Comprehensive Assessment of Complaint Service, respectively.



Chapter 2.

Examples of Improvement in Areas Vulnerable to Corruption

Prevention of Financial and Accounting Fraud in Universities

According to the data released by the public website Higher Education in Korea, as of 2018, South Korea has 417 universities consisting of 58 public and 359 private colleges. As of 2016, the central and local governments provided them with funding worth KRW 6.403 trillion or USD 5.264 billion, or a total of KRW 12.9405 trillion or USD 10.618 billion after including indirect support of payroll cost, operational expense, etc.

However, the law didn't require public universities to establish internal auditor. As for private colleges, it was the educational foundations, owner of colleges which have auditor, not the colleges themselves. A few universities, with internal auditors, were found to have the chancellor to appoint the auditor, which compromised the auditor's independence and the college's internal capability to supervise its overall management of finance, HR, organization among others. As a result, internal audit was done as a mere formality, and we could hardly expect the audit to uncover any corruption because the exposure of wrong-doings or irregularity meant less financial support from the governments such as in the form of a reduction in business expenses.

ACRC investigation in Aug. 2018

- 34 of the 42 (81.0%) public universities except for public institutions, and 30 out of 42 (71.4%) private colleges that have been through the audit by the Ministry of Education for the past one and a half year were found not to have an dedicated internal audit personnel.
- Although the audit of the Ministry of Education presented 350 findings on 30 private universities from January 2017 to July 2018, only five of the college's internal audit found 34 findings.

The government had assessed internal and external control of universities when conducting the University Basic Competence Assessment and the University Accreditation, which serve as the criteria in funding universities. However, the assessment lacked the independence of colleges' internal audit and assessment criteria for their own audit, which in fact didn't much affect the result of the government's assessment. Although exposures of the identity of whistleblowers and retaliatory measures against the deep throats were occurring, whistleblowing process, the confidentiality of the reporter's identity and other whistleblower protection measures were not only barely enough, but not taken account into the assessment criteria.

The external audit on private universities, which became mandatory in 2013, was found not to be effective enough. Institutions didn't spend an adequate amount of budget and time on an independent auditor and auditors presented only few findings, which triggered an investigation revealing that there have been 1,106 areas of improvement including 153 violations of the law across 50 universities for the last three years. However, we weren't able to figure out the specifics of those findings and whether they have been fixed as the investigation result for each university wasn't made public.

Private universities had been conservative in disclosing the information about budget, accounting and operation of their institutions. Even if the Official Information Disclosure Act mandated to open business development expenses incurred by the president of a private university, nearly all institutions were keeping it confidential. They also had not disclosed the state of securities investment allowed up to 50% of their reserve fund and contracts with special interest groups such as affiliates and subsidiaries founded for profits, which made us hard to assess the adequacy in operating their reserve funds and the contracts with special interest groups.

The ACRC therefore recommended the Ministry of Education to have universities set up internal and independent audit, and appoint the head of the audit office through recruitment opened to qualified candidates both from and outside the institutions. The Commission made sure that the head position is not taken by relatives to the founder or head of and stakeholders to a university to secure independence, and that the auditing body includes external experts in accounting and finance, among others.

The Commission also recommended that the level of independence and the outcome of the audit as well as institutions' progress of improvement efforts are included in the government criteria for evaluating universities, and that whether whistleblower protection measures with the proper reporting process are put in place is considered in the assessments. In addition, the recommendation advised the Ministry to consider limiting its funding to universities when an external audit discovers them committing fraud and bribery while easing the limit when the internal audit function exposes a wrongdoing, and penalizing the institution when a university retaliates a whistleblower for reporting suspected irregularities.

To increase the effectiveness of the external audit, we made sure that each university opens what the external audit has found and its follow-up measures and subsequent improvement, and if an external audit is done severely poor, the accounting firm is not allowed to continue its audit while the supervising institution appoints an auditor.

Furthermore, the ACRC advised the Ministry to prepare detailed disposition and reporting standards for frequent violations identified during audits for universities to refer to, and promote the openness of major information regarding finance, accounting and operation by publishing business development expenses, state of securities investment using reserve funds and transactions with special interest groups on the website Higher Education. We expect that when all the recommendations above are taken into action, universities will be able to build their own internal control mechanism, leading to increased transparency.

Increase of Fairness in Use of Mobile Gift Cards

While the transaction volume of mobile gift cards skyrocketed from KRW 1.202 trillion or USD 976 million in 2017 to KRW 2.109 trillion or USD 1.713 billion in 2018, problems owing to unfair trade practices have consistently surfaced.

The ACRC conducted a survey of 26,162 citizens to find out that the public called out for improvement regarding mobile gift cards on the issues of expiration and refund of balance (31.3%), exclusion of the terms of use (38.5%), the issuance of receipts for cash payments and practice of product or service providers asking for an additional charge (10.8%) (July '19, ACRC).

To tackle these issues, the ACRC listened to various actors in the public and private sector by asking the relevant industries for their opinions, devising plans for improvement in collaboration with the Fair Trade Commission, and working together with People's Idea Box and Naver to conduct surveys before coming up with the following measures.

First, the ACRC rationalized the expiration and refund rules of mobile gift cards. Any gift card must be valid for at least a year and contain the information notifying that 100% refund is available in case where the product or service cannot be provided. Gift card issuers cannot market the gift card carrying certain monetary value as the one exchangeable for a product or service. Next, we expanded the coverage of standard terms of use to include more new types of gift cards such as promotional coupons that are purchased as well as movie tickets. Lastly, the Commission strengthened the dispute resolution policy for mobile gift card trade. The coupon issuers should notify that balance is refundable when the card expires and specify its obligation to provide receipts for cash payments in the standard terms of use. Moreover, we advised to build the dispute resolution standard for product or service providers asking for an additional charge for using the gift card.

The revision of standard terms of use for mobile gift cards is expected to eliminate unfair trade practices in the market and reduce the inconvenience that citizens experience when using mobile gift cards.





Chapter 3.

Examples of Improvement Regarding Common Complaints

Institutional Improvement by Analyzing Civil Petitions about Fine Dust Pollutions

As fine dust pollution has become a major social issue, e-People and other channels have received some 68,299 civil petitions linked to the fine dust problem over the last three years. The ACRC believed that as the pressing issue of fine dust pollution requires a common approach from the society as a whole, it was necessary to prioritize opinions of the people in tackling the issue. We therefore attempted to take inconveniences and difficulties citizens felt due to the dust, 'blind spots' identified during implementing countermeasures and dust mitigation suggestions raised by the people into consideration when designing the policy.

※ The number of petitions related to fine dust pollution raised via e-People and online petition filing channels of local governments: 7,637 in 2016 → 19,144 in 2017 → 35,813 in 2018 → 5,705 in Feb. 2019

Based on the result of our analysis on 14,649 civil petitions linked to fine dust pollution that the civil complaint analysis system has collected for the past 14 months, the ACRC went through the opinion gathering of citizens, consultation with experts and close discussion with the relevant agencies to develop and announce plans for institutional improvement in relation to the fine dust pollution issue.

Firstly, as the data analysis revealed that citizens' concern and interest are primarily on the support in preventing damage to vulnerable people to fine dust (24.4%) and measures for educational institutions (21.1%), we decided to better protect children, elderly and outdoor workers. First, as buildings with 430㎡ or more of total floor area had been subject to indoor air quality management measures, excluding 86.0% of all kindergartens. Thus, we advised to take a phased approach in including day care centers with less than 430㎡ of floor space into the management plan. Second, air purifiers and dust measuring devices have been

mandated to be built in kindergartens and primary as well as secondary educational institutions, and more air purifiers have been adopted in social welfare facilities for elderly and public places such as subways. We urged to address low utilization of such facilities due to maintenance efforts, including noise, electricity cost and filter change by preparing plans for managing air purifying equipment. Third, we also advised to put safety measures in place when carrying out various government funded direct employment projects such as public works so that employees should not work outside when the level of air pollutants are high.

Secondly, we decided to tackle 'blind spots' identified and difficulties citizens have suffered during implementing dust reduction measures. First, as people rushing to scrap their old diesel cars to receive a government subsidy, it took two months at maximum to cancel the vehicle registration, which led to cases where fines are imposed for the driver not being under a liability insurance plan or failing to conduct regular vehicle maintenance checks. Thus, we decided to exempt drivers who are selected for government subsidy program from their obligation to the insurance and maintenance check when they prove the fact that the vehicle is not in operation any longer through the submission of a certificate of destruction or other evidence. Second, since some drivers had not been able to obtain the allowance by scrapping their cars when they had recently moved in or changed the address, we decided to lift the requirement so that drivers can be eligible for the subsidy even though they haven't lived at their current address for two years or more. Third, as for wood-fired boilers that can emit air pollutants and cause conflicts with neighbors when using wood wastes and mishandled in other ways, we made sure to establish a detailed system use guidelines such as a fuel use standard, and inform users on as well as promote the guidelines, and to develop pollution mitigation measures. Fourth, we decided to assess regional air pollution level and emission of air pollutants to develop plans to improve air quality and address ultra-fine particles in major cities, and expanded air quality control regions to help implement air quality improvement strategies.

Thirdly, we decided to bolster the support in promoting the adoption of electric vehicles, hydrogen cars and other eco-friendly vehicles while retiring aged diesel vehicles that emit nitrogen oxides, which is a major culprit of the fine dust pollution problem. First, to prevent

cases where a driver earns the subsidy for scrapping an old diesel vehicle before purchasing another diesel car, we differentiated the amount of allowance per the type of car the driver buys after retiring the old vehicle that more diesel vehicle drivers can adopt green cars for their next vehicle. Second, we advised to consider increasing the amount of subsidy when aged diesel truck owners scrap their vehicle to buy an electric truck in order to encourage the retirement of old diesel trucks and promote the adoption of electric vehicles. Third, unlike an electric car owner who tries to cancel the registration at home, drivers who had bought an electric vehicle with the government subsidy had not needed to return the battery of the car when exporting the vehicle, giving rise to cases where people took advantage of the loopholes to export the car after driving it for the mandatory two-year period. Thus, we made sure for these drivers to return the battery or pay the amount of battery's scrap value when exporting their car.

While the ACRC was striving for institutional improvement regarding fine dust pollution, since we started out by listening to what citizens experience and feel, we were able to minimize inconvenience inflicted on the people and shape policies that earn many citizens support. When these changes are taken into action, they are expected to better contribute to protecting people's health and safety.

Improvement on Move-In Date Notification by Apartment Builders

The apartments have become a major form of residence to house a half of Korean citizens with 250 thousand average annual supplies in the market over the last five years.

However, when you buy pre-construction apartments and move in later once the apartments are fully built, you don't know when your move-in date would be at the time of signing the contract. Currently once builders notify from and until when the residents can move in after the completion of the construction, residents can begin preparing for moving in.

In this circumstance though, the existing law doesn't regulate how early the builder should notify and how many days are given to the resident to move in, which has led to a number of

civil petitions on the issue.

For instance, a petitioner who would see his rent contract expired in a December was waiting for moving into a new apartment the same month. However, the builder had not announced the date up until mid December, making the resident anxious that he might be displaced. Another example involves the situation where the builder didn't give residents enough days to move into a large apartment complex, creating inconvenience as many households were trying to settle in within such a short period of time.

To address these problems, the ACRC advised that the builders should announce the move-in date certain period prior to the day and establish rules for how many days shall be allowed for the residents to move in.

We expect our recommendations will resolve residents' inconvenience arisen in the course of realizing the dream of owning their own house by minimizing residents' difficulty of rushing into preparations for moving in and providing them enough time in doing so.

